TOTAL
REWARDS

PRUDENTIAL EMPLOYEE SAVINGS PLAN (PESP)

SUMMARY PLAN DESCRIPTION

Active and Former Employees of Prudential
Active and Former Employees of Assurance IQ
Active and Former Prudential Advisors Financial Professional Associates

This document constitutes part of a prospectus covering securities that have been registered under the Securities Act of 1933.

March 1, 2024

Important Notice

This Summary Plan Description (SPD) booklet, including any subsequent related Summaries of Material Modifications (SMMs), is intended to help you understand the main features of The Prudential Employee Savings Plan (PESP or the Plan) applicable to eligible Employees and former Employees of Prudential and Assurance IQ, including Prudential Advisors Financial Professional Associates, and to provide information regarding your benefits. If you need assistance in reading this booklet, call Empower at 1-800-PRU-PESP (1-800-778-7377).

This SPD booklet, including any subsequent related SMMs, constitutes the latest SPD of The Prudential Employee Savings Plan. This document constitutes part of a prospectus covering securities that have been registered under the Securities Act of 1933. The Prudential Employee Savings Plan also covers other eligible individuals as described in other SPD booklets that cover those specific populations.

This SPD booklet, including any subsequent related SMMs, is not a substitute for the official Plan Document(s) which governs the operation of the Plan. All terms and conditions of this Plan, including your eligibility and any benefits, will be determined pursuant to and are governed by the provisions of the Plan Document(s). If there is any discrepancy between the information in this SPD booklet, including any subsequent related SMMs, or in any other Prudential materials relating to this Plan, and the actual Plan Document(s), or if there is a conflict between information discussed by anyone acting on Prudential's behalf and the actual Plan Document(s), the Plan Document(s) as interpreted by the Plan Administrator in its sole discretion will always govern. If you would like to request a copy of the Plan Document(s), you should write to the Plan Administrator at the address shown in the "<u>Plan Administrator</u>" section of this SPD booklet.

Prudential may, in its sole discretion, modify, amend, suspend or terminate any and all of its HR policies, programs, plans and benefits, including those described in this SPD booklet, including any subsequent related SMMs, in whole or in part, at any time, without notice to or consent of any participant, employee or former employee to the extent permissible under applicable law.

Nothing contained in this SPD booklet, including any subsequent related SMMs, is intended to constitute or create a contract of employment nor shall it constitute or create the right to remain associated with or in the employ of Prudential for any particular period of time. In addition, no oral or written statements made by anyone acting on Prudential's behalf are intended to create the right to remain associated with or in the employ of Prudential for any particular period of time. Employment with Prudential is employment-at-will. This means that either you or Prudential may terminate the employment relationship at any time, with or without cause or notice.

"Prudential Advisors" is a brand name of The Prudential Insurance Company of America and its subsidiaries.

PESP Highlights

The following table summarizes the key features of PESP, in effect as of March 1, 2024, except as otherwise provided, as detailed in this SPD booklet.

Plan Feature	Description
Who Can Participate in PESP	Generally, all full-time and part-time Employees are eligible to participate in PESP.
How to Enroll	You may enroll in PESP at any time, starting shortly after your first day of Employment with the Company. Your contributions will begin as soon as administratively possible after enrollment. **Automatic Enrollment** If you do not affirmatively elect either to participate or to decline participation in PESP within 30 days of hire, you will be enrolled automatically until you affirmatively elect otherwise. • Through your automatic enrollment, you will contribute 4% of your Eligible Earnings, subject to Internal Revenue Code limitations. Note that you can stop these contributions at any time or change your contribution rate at any time. – If you were hired on and after January 1, 2017 (August 1, 2023, if you an Employee of Assurance IQ), your contributions based on automatic enrollment were made on a Roth 401(k) basis. – If you were hired prior to January 1, 2017, your contributions based on automatic enrollment were made on a before-tax basis. • The contributions made through automatic enrollment and all related investment results are invested in the Plan's default investment option, also known as the Qualified Default Investment Alternative (described in "**Investing Your Contributions**" of this chart).
Your Contributions	**Before-Tax, Roth 401(k) and/or After-Tax Contributions:** You may contribute any whole percentage from 1% to 50% of your Eligible Earnings on a before-tax, Roth 401(k) and/or after-tax basis, subject to Internal Revenue Code limitations, provided the total of your Before-Tax, Roth 401(k) and/or After-Tax Contributions does not exceed a combined maximum rate of 50% of your Eligible Earnings. **Catch-Up Contributions:** In the year you attain age 50 (and in subsequent years), if you expect to reach one or more of the contribution limits under the Plan for that year, you may be eligible to make additional Before-Tax and Roth 401(k) Catch-Up Contributions to PESP during that Calendar Year, subject to Internal Revenue Code limitations.
Rollover Contributions	You may be able to rollover certain cash distributions into PESP from an Individual Retirement Account (IRA) or another Tax-Qualified Plan, even if you are not actively participating in PESP or if you have ended employment with the Company.
Company Matching Contributions	The Company matches 100% (50% if you are an Employee of Assurance IQ) of your Before-Tax and Roth 401(k) Contributions to PESP (other than your Catch-Up Contributions), up to a combined maximum of 4% of your Eligible Earnings for that period (subject to Internal Revenue Code limitations). Except as noted below, your Company Matching Contribution will be made beginning with your first contribution to PESP. • If you are a Prudential Advisors Financial Professional Associate, your Company Matching Contribution will be made beginning with the first pay period after your one-year anniversary with Prudential. • If you are an Employee of Assurance IQ, your Company Matching Contribution will be made beginning with your first contribution to PESP after January 1, 2024. For Assurance IQ Hourly Agent Employees, Company Matching Contributions will be made beginning with the first pay period after January 1, 2024, that is after your one-year anniversary with Assurance IQ.

Plan Feature	Description
Changing Your Contribution Rate	You may change your Before-Tax, Roth 401(k) and/or After-Tax Contribution deferral rate to any whole percentage from 0% to 50% at any time, subject to Internal Revenue Code limitations. **Auto Increase Feature (formerly the Contribution Accelerator Program)** If you contribute from 1% to 14% on a before-tax or Roth 401(k) basis, you will be automatically enrolled in the Auto Increase Feature unless you are considered a Highly Compensated Employee (Highly Compensated Employees are not eligible for this feature). This means your contribution rate will automatically increase by 1% as soon as administratively feasible following each April 1 or other date you choose, up to a maximum of 15%. You have a right to elect not to participate, or to participate at a different percentage, at any time. ***Note:*** *If you elect a deferral rate of 0%, you are considered to have opted out of the Auto Increase Feature.*
When You Become Vested	You are always fully Vested in your Before-Tax Contributions, Roth 401(k) Contributions, Catch-Up Contributions, After-Tax Contributions, Rollover Contributions (if any), Qualified Matching Contributions, Qualified Non-Elective Contributions and any related investment results on all those contributions. Generally, you become Vested in your Company Matching Contributions, Discretionary Company Contributions and any related investment results if, while Employed by the Company or any of its Affiliates, you complete three years of Vesting Service, reach age 65, die or begin receiving long term disability benefits under The Prudential Welfare Benefits Plan, whichever comes first. If you are a current or former Employee of Assurance IQ, you are fully Vested in your Company Matching Contributions in your Assurance Match Account and any related investment results. If you become an Employee of Prudential, your Company Matching Contributions from Prudential are subject to the Vesting requirements above.
Investing Your and the Company's Contributions	PESP offers a wide range of investment options that include a guaranteed investment account, collective investment trusts, mutual funds, separate accounts, Prudential Financial, Inc. (PFI) Common Stock Fund and a guaranteed retirement income product. You have a choice of selecting your own mix of investments for each Money Source Grouping (Pre-Tax, Roth, After-Tax, Employer Contributions and Employer Contributions [closed]) or selecting an Advisor GoalMaker Model (GoalMaker). GoalMaker enables you to select a model portfolio with a pre-determined mix of investments based on your risk tolerance and your anticipated retirement date. **Qualified Default Investment Alternative (QDIA)** If you are automatically enrolled or you do not make an investment election, your contributions will be invested in the Qualified Default Investment Alternative (QDIA) until you make a different investment choice. The QDIA is the GoalMaker conservative model appropriate for you, based on your assumed target retirement year. Any Company Matching Contributions made to PESP on your behalf will also be invested in the QDIA, the GoalMaker conservative model.
Accessing Your Money While You Are Employed at the Company	PESP is designed primarily to encourage long-term savings for your retirement. However, if you need to access some of your PESP savings during your Employment with the Company or any of its Affiliates, you can request a loan or a withdrawal from your PESP account, according to the rules of the Plan.

Plan Feature	Description
When Your Employment Ends	When your Employment with the Company or any of its Affiliates ends, if your Vested PESP account balance is: • $1,000 or less, your Vested account balance will be distributed in a lump sum cash payment, less applicable tax withholding, unless you elect otherwise. • Greater than $1,000 but not more than $5,000 (or $7,000 starting April 1, 2024), your Vested account balance will be rolled over to an IRA and/or Roth IRA (if applicable) designated by the Plan, unless you elect otherwise. Note: If you are age 65 or older at the time your distribution is made and you do not make a timely distribution election, your account will not be automatically rolled over to an IRA; instead, your account will be distributed to you in a lump sum cash payment. • Greater than $5,000 (or $7,000 starting April 1, 2024) or such higher amount as may be permitted under applicable law), you may defer distribution until a later date or choose how to receive a full or partial distribution.
Survivor Benefits	If you die before your entire PESP account balance is paid to you, your remaining Vested PESP account balance will be paid to your designated Beneficiary(ies) under PESP.
How to Contact Empower	Visit the Empower website (at **www.empower.com/prudential**) or call Empower at 1-800-PRU-PESP (1-800-778-7377).

Inside You Will Find...

Introduction

Throughout this SPD booklet, you will see terms whose first letters are capitalized. When you see these terms, you can check the Glossary at the back for detailed definitions and how the definitions apply to the benefits described in the SPD booklet.

The Prudential Employee Savings Plan (PESP or the Plan) gives you the opportunity to save money and take advantage of savings and investment options that, in general, may not otherwise be available to you. This *Prudential Employee Savings Plan (PESP)* Summary Plan Description (SPD) booklet summarizes the key terms and provisions of the Plan as in effect on March 1, 2024, except as otherwise provided. Refer to any Summaries of Material Modifications (SMMs) or other communication updates for changes to PESP that become effective after March 1, 2024. This SPD booklet:

- Introduces you to the Plan;
- Reviews its benefits;
- Provides you with information to help you decide whether and how much you may want to save through PESP;
- Gives you information regarding the investment options available under PESP; and
- Shows you why it is important to save and gives you the information you need to start planning for your financial future through PESP.

PESP offers you the opportunity to make Before-Tax, Roth 401(k) and/or After-Tax Contributions, up to a maximum of 50% of your Eligible Earnings, subject to Internal Revenue Code limitations.

In addition, the Company generally matches 100% (50% for Employees of Assurance IQ) of your Before-Tax, and/or Roth 401(k) Contributions (but not Catch-Up Contributions), up to a maximum of 4% of your Eligible Earnings, subject to Internal Revenue Code limitations.

PESP offers you three types of income tax advantages:

- PESP reduces your current Federal (and, in most cases, state and local) taxable income through Before-Tax Contributions (see the "**Advantages of Before-Tax Contributions**" section for information);
- PESP defers Federal (and most state and local) income taxes on Before-Tax Contributions (including Catch-Up Contributions), Before-Tax Rollover Contributions (if applicable), Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions, Discretionary Company Contributions and all investment results credited to your PESP account until you receive a distribution from the Plan; and
- PESP distributes investment earnings on Roth 401(k) Contributions completely free of Federal (and most state and local) income taxes if the distribution satisfies all necessary requirements and is considered qualified. (See the "**Advantages of Roth 401(k) Contributions**" section for information.)

When you receive a withdrawal or distribution from the Plan, you will be required to report the tax-deferred amount for income tax purposes. Generally, any income taxes due will be based on your tax bracket at the time of the withdrawal or distribution.

Another advantage of a plan like PESP is the opportunity to invest amounts in the Plan in a range of investment options. You can choose to invest the money in your PESP account among the available investment options in any combination that suits your personal investment goals.

There may be restrictions on some transactions, as described throughout this *Prudential Employee Savings Plan (PESP)* SPD booklet.

Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

How to Contact Empower

Throughout this SPD booklet, you will see references to Empower, which is your primary resource for information about PESP. You can reach Empower online or by telephone.

To check your account balance, transfer funds or perform certain transactions, you have access to your PESP account 24 hours a day, seven days a week. Simply choose whichever method is most convenient for you and follow the instructions in this section.

Online Access

The Empower website is available via the Internet and the Prudential intranet (accessible if you are an active Employee).

Via the Internet

Visit the Empower website (at **www.empower.com/prudential**), enter your username and password in the spaces provided, then click Sign In. If you are signing on for the first time, click Register and follow the instructions to establish your username and password.

Via the Prudential Intranet

Click on the Prudential Employee Savings Plan (PESP) link under Quick Links. If requested, enter your username and password in the spaces provided, then click Sign In. If you are signing on for the first time, you may need to establish your username and password. To do so, click Register and follow the instructions.

Telephone Access

- For the Empower Interactive Voice Response (IVR) system, call 1-800-PRU-PESP (1-800-778-7377) and follow the prompts for the automated system.
- To speak to an Empower Customer Service Representative, call 1-800-PRU-PESP (1-800-778-7377). Customer Service Representatives are available from 8 a.m. to 10 p.m. Eastern time, Monday through Friday, and Saturday from 9 a.m. to 5:30 p.m. Eastern time. If you are deaf or hard of hearing and have a teletype (TTY) line, call 1-800-830-9017.

Mobile App

Download the Empower app via App Store® or Google Play™ (white background with red flags, developed by Empower Retirement, LLC), enter your username and password in the spaces provided, then click Login. If you are signing on for the first time, click Register now and follow the instructions to establish your username and password.

Mail Access

The mailing address for submitting forms and any written correspondence is:

Empower
P.O. Box 56025
Boston, MA 02205-6025

Terms and Conditions

When you use the Empower website, the mobile app and the IVR system, you are agreeing to use them under the terms and conditions prescribed by the Company. These terms and conditions are maintained on the Empower website for easy reference. Or, to obtain a copy, call Empower at 1-800-PRU-PESP (1-800-778-7377).

My Total Rewards Website

Through the My Total Rewards website, you can:

- Find information about your benefits;
- Access benefits forms you may need;
- Get information on how to contact insurers and service providers;
- Find links to carrier websites and online provider directories; and
- Email the Prudential HR Service Center by clicking on the Contact Us link.

You can also use the online chat feature on the My Total Rewards website to get in touch with a Prudential HR Service Center Representative who can answer your questions about navigating the site or general questions about your benefits. Representatives are available between 8 a.m. and 6 p.m. Eastern time, Monday through Friday, except on holidays.

Accessing the My Total Rewards Website

The My Total Rewards website is available via the Internet and the Prudential intranet (accessible if you are an active Employee).

Via the Internet

Log on to **http://mytotalrewards.prudential.com** to access the My Total Rewards website 24 hours a day, 7 days a week.

Via the Prudential Intranet

To access the My Total Rewards website through the Prudential intranet, click on the My Total Rewards link under Quick Links.

Note: The My Total Rewards website is not available to Employees and former Employees of Assurance IQ.

Terms and Conditions

When you use the My Total Rewards website (at **http://mytotalrewards.prudential.com**), you are agreeing to use it under the terms and conditions prescribed by the Company. These terms and conditions are maintained on the My Total Rewards website for easy reference. Or, to obtain a copy, call the Prudential HR Service Center at 1-800-PRU-EASY (1-800-778-3279).

Performing Transactions and PESP Account Balance Information

Performing Transactions

You have access to your PESP account 24 hours a day, 7 days a week. You can perform several types of PESP transactions on the Empower website (at **www.empower.com/prudential**), on the Empower app or by calling 1-800-PRU-PESP (1-800-778-7377), including:

- Enrolling in PESP;
- Waiving participation in the Plan;
- Changing your contribution percentage(s) to the Plan;
- Changing the investment options of your current account balance;
- Changing the allocation of future contributions to different investment options;
- Requesting a loan, withdrawal or distribution, if eligible;
- Viewing statements;
- Creating ad hoc statements; and
- Updating your Beneficiary(ies).

In addition, on the Empower website, you can get updates on PESP enhancements and find helpful education and tips on retirement savings.

Account Balance Information

You can check your current account balance and investment options' performance information, including the current share prices/unit values of each investment option, 24 hours a day, 7 days a week.

Additionally, each quarter, you will receive a statement of your PESP account. When you register on the Empower website, you will select whether you want to receive copies of your quarterly statement on paper or electronically. If you do not make a selection, you will automatically receive your statement electronically.

The electronic statement has all the same features as your paper statement, plus the convenience of certain archives. If you elect to receive an electronic statement, each quarter, you will receive an e-mail alerting you that your statement is ready to be viewed. To see your statement, log on to the Empower website.

If you choose, you can receive quarterly paper statements in addition to your electronic statements. To request paper statements, log on to the Empower website.

Beneficiaries and Alternate Payees under QDROs will automatically receive paper copies of their statements showing account balances.

Joining PESP

Who Is Eligible

Generally, you are eligible to participate in PESP if you are a full-time or part-time Employee of Prudential or Assurance IQ, including a Prudential Advisors Financial Professional Associate.

Who Is Not Eligible

Generally, you are not eligible to participate in the Plan described in this booklet if you are any of the following:

- Any person who performs services for Prudential or Assurance IQ, but is not treated by Prudential or Assurance IQ as an Employee for Federal tax purposes at the time the individual renders services.
- A student intern.
- A Prudential Advisors Financial Professional (a separate SPD booklet describes the eligibility and benefits available to Prudential Advisors Financial Professionals).
- A Prudential Advisors Career Development Program Contract (CDP) Associate or CDP Pre-Contract Affiliate.
- A bona fide Puerto Rico resident.
- A former or Retired Employee, as to new contributions.
- A former or Retired Prudential Advisors Financial Professional, including an Emeritus Financial Professional.
- An International Employee.
- A non-resident alien with no earned income from sources within the United States.
- An Employee of a Non-Participating Affiliate.
- Any individual classified by the Company as an independent contractor.
- An individual service provider compensated through an employee leasing company, temporary employment agency or other third-party agency.
- An individual who would be treated as an employee solely by reason of such individual being treated as either part of an affiliated service group or a leased employee under the Internal Revenue Code and regulations.
- Included in a collective bargaining unit unless the collective bargaining agreement provides for participation in the Plan.

Refer to the Plan Document for a complete listing of the classes of individuals who are ineligible to participate. If you would like to request a copy of the Plan Document, you should write to the Plan Administrator at the address shown in the "**Plan Administrator**" section.

When You Are Eligible to Enroll and Automatic Enrollment

You may enroll in PESP at any time, starting on your first day of Employment with Prudential or Assurance IQ. Once enrolled, you may elect to increase, decrease or stop your contributions and/or change your investment options at any time.

If you were hired by Prudential prior to January 1, 2001, you can choose whether to contribute to PESP at any time. If you did not affirmatively elect to participate in PESP when you were hired, you were not enrolled automatically in the Plan.

If you were hired by Prudential on or after January 1, 2001, or if you are an Employee of Assurance IQ who joined the Plan on or after August 1, 2023, and you do not affirmatively elect either to participate or to decline participation in PESP within 30 days of hire, you will be enrolled automatically in PESP until you affirmatively elect otherwise. Through your automatic enrollment, you will contribute 4% of your Eligible Earnings on a before-tax basis if you were hired by Prudential before January 1, 2017, and on a Roth 401(k) basis if you were hired by Prudential on or after January 1, 2017, or if you are an Employee of Assurance IQ who joined the Plan on or after August 1, 2023, subject to Internal Revenue Code limitations. Note that you can stop these contributions at any time or change your rate of contribution at any time. These contributions and all related investment results are invested in the Plan's default investment option, also known as the Qualified Default Investment Alternative (QDIA), unless you specify otherwise.

The Plan's QDIA is the applicable Advisor GoalMaker Models' (GoalMaker) conservative model based on your assumed target retirement year. This means that any contributions made through automatic enrollment (and related investment results), unless you specify otherwise, will automatically be defaulted to the GoalMaker model designated as your QDIA. See the "**Qualified Default Investment Alternative (QDIA)**" section for more information about the QDIA.

Additionally, if eligible, you will be enrolled automatically in the Auto Increase Feature, which increases your contribution amount as soon as administratively feasible following each April 1 in increments of 1%. (See the "**Auto Increase Feature**" section for information.)

Once your automatic enrollment occurs and within 90 days of your first automatic contribution, you may elect to stop participating in PESP and request a distribution of all contributions without incurring a 10% Federal early distribution tax. Your returned amounts are includible in income in the year in which they are returned.

If you are eligible to receive Company Matching Contributions, your Company Matching Contributions and related investment results (together in your Company Match 1 Account) will be invested in the Advisor GoalMaker Model designated as your QDIA, unless you specify otherwise. (See the "**Who Is Eligible to Receive Company Matching Contributions**" section for more information about eligibility to receive Company Matching Contributions.) Although your Company Matching Contributions are invested automatically in the QDIA, you can redirect these funds to other investment options described in the "**Investing Your PESP Account**" section.

Note: If you were automatically enrolled in PESP before December 24, 2007, the default investment option for contributions (and related investment results) made before that date was the PESP Fixed Rate Fund. Default contributions made before December 24, 2007, remain in the PESP Fixed Rate Fund.

Enrollment

If you are an active Employee and have never contributed to PESP, you can change your contribution percentage or enroll online or by telephone at any time. (See the "**Performing Transactions**" section for more information.) Your enrollment will be processed and your contributions will be deducted from your paycheck as soon as administratively practicable.

Naming a Beneficiary(ies)

When you enroll in the Plan, you are encouraged to designate a Beneficiary(ies), which is the person(s) or entity(ies) to whom your PESP account balance will be paid if you die before your PESP account balance is fully paid to you.

If you are:

- **Single,** you may name anyone you want as your Beneficiary(ies), and generally, you may change your Beneficiary(ies) at any time. If you do not complete a **PESP Beneficiary Designation Form** or an online Beneficiary designation, if you do not complete the designation correctly or if all your Beneficiaries die before you do, your Beneficiary automatically will be your estate.
- **Married (or get married while a PESP participant),** your surviving Spouse at the time of your death is automatically your Beneficiary, as required by law. If you want to name someone other than your Spouse as your Primary Beneficiary, your Spouse's consent is required. You can complete a non-Spouse Beneficiary Designation online by requesting a **Spousal Consent Form** and using a remote online notary service, or you can complete a **PESP Beneficiary Designation Form** and have the form signed by your Spouse and notarized. If you do not complete an online Beneficiary designation or **PESP Beneficiary Designation Form**, if you do not complete the information correctly or if your Spouse on the date of your death never consented to your non-Spouse Beneficiary Designation, benefits automatically will go to your surviving Spouse. If your Spouse and/or all your Beneficiaries die before you do, your Beneficiary automatically will be your estate.

Generally, you may designate or change your PESP Beneficiary at any time either online or via form. For online Beneficiary designations, access the Empower website (at **www.empower.com/prudential**). To request a **PESP Beneficiary Designation Form**, call Empower at 1-800-PRU-PESP (1-800-778-7377).

If you print and return your **PESP Beneficiary Designation Form** via U.S. Mail, send it to:

Empower
P.O. Box 5602
Boston, MA 02205-6025

You should keep a copy of your completed **PESP Beneficiary Designation Form** with other important papers regarding your estate. Naming your Beneficiary is an important part of your retirement and estate planning. We encourage you to consult with your own tax, financial or legal advisor regarding this matter.

In certain rare and extraordinary circumstances, where you are unable to access the online system or fill out a **PESP Beneficiary Designation Form**, but you have provided another written request that clearly states your intent to designate or change your Beneficiary, the Plan Administrator will follow your instructions.

Note that special provisions may apply to a Beneficiary designation if a participant is killed by a person who would otherwise receive benefits under this Plan as a Beneficiary of the participant, depending on the law of the state, territory or other governmental subdivision in which such participant resided immediately prior to their death. In this case, if such law provides that the person responsible for the death of the participant is treated as predeceasing the participant or otherwise ineligible to receive a benefit from the Plan, then the Administrative Committee, provided that it has knowledge of these circumstances, will ensure that the person responsible for the death of the participant will not receive benefits under the Plan. In some cases, there may be no benefit payable.

Contributing to PESP

Your Contributions

While you are an active Employee of the Company, you can make Before-Tax, Roth 401(k) and/or After-Tax Contributions to PESP. You may also be eligible to receive contributions from the Company. The Internal Revenue Code imposes certain limitations that could affect the amount you otherwise would be eligible to contribute (see the "**Maximum Contributions Limit**" section for more information).

Note: If your separation from Employment with the Company is covered by the Worker Adjustment and Retraining Notification Act (the WARN Act), Prudential will provide you with a notice that the WARN Act applies. If the WARN Act applies to your separation from Employment, you may continue to make contributions to PESP until your separation date as indicated in the notice, even if you are not expected to return to work following your leave.

Before-Tax Contributions

You may contribute any whole percentage from 1% to 50% of your Eligible Earnings on a before-tax basis, subject to Internal Revenue Code limitations. If you choose to make Before-Tax, Roth 401(k) and/or After-Tax Contributions, the most you can contribute is a combined maximum rate of 50% of your Eligible Earnings, subject to Internal Revenue Code limitations. (See the "**Catch-Up Contributions**" section to see if you are eligible to make additional Before-Tax Contributions.)

When you make Before-Tax Contributions, your contributions are deducted before Federal income taxes (and, in most cases, state and local income taxes) are paid. You will not pay these income taxes on your Before-Tax Contributions or any related investment results until you receive distributions from PESP.

Advantages of Before-Tax Contributions

If you elect to contribute on a before-tax basis, each dollar you contribute lowers your taxable income. As a result, you end up lowering the annual amount of Federal income tax that you pay. In most cases, you also will lower state and local income taxes. However, you must still pay Social Security taxes on your Before-Tax Contributions to PESP when the contributions are deducted from your pay.

The following table illustrates the potential Federal tax savings of contributing on a before-tax basis. These examples are for illustrative purposes only. All amounts are approximate.

	Potential Federal Tax Savings		
Before-Tax Contributions to PESP (reduction in Federal taxable income)	10% Marginal Tax Bracket	15% Marginal Tax Bracket	25% Marginal Tax Bracket
$1,500	$150	$225	$375
$3,000	$300	$450	$750
$4,500	$450	$675	$1,125
$6,000	$600	$900	$1,500
$12,000	$1,200	$1,800	$3,000
$18,000	$1,800	$2,700	$4,500

Generally, Before-Tax Contributions have no impact on your other Prudential pay-related benefits (such as life insurance) since most of these other benefits are based on your Eligible Earnings before your contributions to PESP are considered.

Roth 401(k) Contributions

You may make Roth 401(k) Contributions in any whole percentage from 1% to 50% of your Eligible Earnings, subject to Internal Revenue Code limitations. If you choose to make Before-Tax, Roth 401(k) and/or After-Tax Contributions, the most you can contribute is a combined maximum rate of 50% of your Eligible Earnings, subject to Internal Revenue Code limitations.

When you make Roth 401(k) Contributions to PESP, your contributions are made with money that has already been taxed. Therefore, you will not pay Federal income taxes on your Roth 401(k) Contributions when they are distributed to you. Additionally, you will not pay Federal income taxes when you take a distribution of any related investment results from your Roth 401(k) Contributions Account, provided your distribution meets the requirements for a Qualified Roth Distribution. (See the "**Special Rules Applicable to Distributions of Roth 401(k) Contributions**" section.) If your distribution is not a Qualified Roth Distribution, you will pay income taxes on any related investment results from your Roth 401(k) Account.

Advantages of Roth 401(k) Contributions

There are several advantages to making Roth 401(k) Contributions:

- The adjusted gross income limits that apply to Roth IRAs do not apply to Roth 401(k) Contributions made to PESP;
- Contribution limits are higher than for a Roth IRA;
- Your Roth 401(k) Contributions can be matched using the same formula as your Before-Tax Contributions to the Plan; and
- Both Roth 401(k) Contributions and any related investment results are tax-free when distributed from PESP if they meet the requirements for a Qualified Roth Distribution. A Qualified Roth Distribution is generally a distribution that occurs:
  - After you reach age 59½, become disabled or die; and
  - At least five years after the year in which you make your first Roth 401(k) Contribution.

  If you take a distribution from your Roth 401(k) Contributions or Roth 401(k) Rollover Contributions Accounts before you reach age 59½, before you become disabled or before the five-year period is satisfied, you will be taxed on any investment results included in the distribution.

For a comparison of your potential Roth 401(k) versus Before-Tax Contributions, sign on to your account on the Empower website.

Catch-Up Contributions

In the year you attain age 50, and in subsequent years, you are eligible to make Catch-Up Contributions. Your contributions may be made on a before-tax and/or Roth 401(k) basis.

Participants eligible for Catch-Up Contributions must reasonably expect to exceed one of the following PESP annual limits during the year they would like to make Catch-Up Contributions:

- Before-Tax and/or Roth 401(k) Contributions limit ($23,000 for 2024);
- Maximum contribution limit ($69,000 for 2024), which includes Before-Tax, Roth 401(k), After-Tax, Company Matching Contributions, any Qualified Matching Contributions, any Qualified Non-Elective Contributions and any Discretionary Company Contributions;
- PESP contributions limit of 50% of Eligible Earnings in any combination of Before-Tax, Roth 401(k) and/or After-Tax Contributions; or
- Highly Compensated Employee contribution limit. If you are a Highly Compensated Employee, as defined in the Internal Revenue Code, you have a lower contribution limit. For 2024, Highly Compensated Employees may contribute up to 17% of Eligible Earnings on a combined before-tax and/or Roth 401(k) basis (see the "**Highly Compensated Employees**" section for more information).

For more information on Plan and Internal Revenue Code limits, see the "**Maximum Contributions Limit**" section.

Catch-Up Contributions are not eligible for Company Matching Contributions. If you want to make Catch-Up Contributions, you may elect any whole percentage from 1% to 100% of your Eligible Earnings to be deducted from each paycheck up to the maximum permitted by Federal law (the maximum limit is $7,500 for 2024). Catch-Up Contributions are credited to your Before-Tax Account and/or your Roth 401(k) Account (as applicable) along with your other Before-Tax Contributions and/or Roth 401(k) Contributions. Your Catch-Up Contributions will be allocated to the same investments you have chosen for your regular Before-Tax and/or Roth 401(k) Contributions. Catch-Up Contributions will be processed and payroll deductions will begin as soon as administratively practicable after you make your election.

The per-paycheck percentage that you elect in any year automatically will be carried into the next year and will be deducted from each of your paychecks in that year unless you elect otherwise. Also, because the maximum Catch-Up Contributions limit may increase in future years, your total Catch-Up Contributions dollar amount may also increase–depending upon your election percentage and whether you can reasonably expect to be eligible to make such contributions in that year.

Beginning January 1, 2025, in the years you turn age 60, 61, 62 and 63, the maximum Catch-Up Contribution you will be permitted to make under Federal law will be increased to the greater of:

- $10,000; or
- 150% of the regular annual catch-up limit.

In the year you turn age 64 and thereafter, the maximum Catch-Up Contribution you will be permitted to make under Federal law will be the regular annual catch-up limit for that year (for example, $7,500 in 2024).

Maximizing Your Catch-Up Contributions

One way to calculate the Catch-Up Contribution deferral percentage that would allow you to maximize your Catch-Up Contributions for the Plan Year is to divide the maximum statutory Catch-Up Contribution amount permitted for the year (for example, $7,500 for 2024) by your annual Eligible Earnings (up to the Internal Revenue Code limit for Eligible Earnings in 2024 of $345,000) and then round to the nearest whole percent. *(PESP contributions must be in whole percentages, so you may have to round up or down to the nearest whole percentage, depending on your financial objectives throughout the year.)* The result is the percentage you may want to contribute as Catch-Up Contributions to your Before-Tax and/or Roth 401(k) Accounts throughout the year.

Rounding up will maximize your Catch-Up Contributions. Once you reach the annual maximum Catch-Up Contribution amount for the year, your Catch-Up Contributions will cease.

Suggested Maximum Catch-Up Contributions Percentage Rate	=	Internal Revenue Code Catch-Up Contributions Limit ($7,500 for 2024) **divided by** PESP Eligible Earnings up to Internal Revenue Code Limit ($345,000 in 2024)

For more information on how to maximize your Catch-Up Contributions to PESP, including examples, see the *Important PESP Information* brochure available on the Empower website (at **www.empower.com/prudential**).

Year-End Account Review

Shortly after the end of each year, your PESP account will be reviewed to determine what portion, if any, of your Catch-Up Contributions and any related investment results are eligible to be classified as Catch-Up Contributions (and related investment results). If you did not exceed one of the applicable PESP annual contribution limits during the year for which Catch-Up Contributions were made, or you do not qualify for some other reason, all or part of your Catch-Up Contributions will be treated as regular Before-Tax and/or Roth 401(k) Contributions (as applicable), to the extent allowed under PESP. As a result, although Catch-Up Contributions are deferred throughout the Plan Year, the total dollar amount of your Catch-Up Contributions can only be determined after the year ends.

After-Tax Contributions

You may contribute any whole percentage from 1% to 50% of your Eligible Earnings on an after-tax basis, subject to Internal Revenue Code limitations. If you choose to make Before-Tax, Roth 401(k) and/or After-Tax Contributions, the most you can contribute is a combined maximum rate of 50% of your Eligible Earnings, subject to Internal Revenue Code limitations. However, if you are a Highly Compensated Employee, as defined in the Internal Revenue Code, you have a lower contribution limit. For 2024, Highly Compensated Employees may contribute up to 11% of Eligible Earnings on an after-tax basis (see the "**Highly Compensated Employees**" section for more information).

When you contribute to PESP on an after-tax basis, your contributions are made with money that has already been taxed. Therefore, you will not pay Federal income taxes on your After-Tax Contributions when they are distributed to you. However, you will pay income taxes when you take a distribution of any related investment results, which are distributed on a pro-rata basis from your After-Tax Account.

Assurance Transferred Amounts

If you were a participant of the Assurance Savings Plan on July 31, 2023, your account balances under the Assurance Savings Plan were transferred to PESP as of August 1, 2023. The funds previously held for you in your account(s) in the Assurance Savings Plan were credited to new account(s) established for you in PESP. See Appendix B for additional information.

Changing Your Contributions

You may change your Before-Tax, Roth 401(k) and/or After-Tax Contributions rate to any whole percentage from 0% to 50% at any time, subject to Internal Revenue Code limitations. If you change any of these contribution rates, the combined maximum rate of your Before-Tax Contributions, your Roth 401(k) Contributions and your After-Tax Contributions cannot exceed 50% of your Eligible Earnings, subject to Internal Revenue Code limitations. For those who are eligible, Catch-Up Contributions can also be changed at any time, subject to Federal limits. However, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

You can change your contributions online or by telephone. (See the "**Performing Transactions**" section for more information.)

Your changes will take effect as soon as administratively practicable.

Auto Increase Feature

The Auto Increase Feature will automatically increase your PESP contribution amount over time in measured, manageable increments of 1%, unless you are considered a Highly Compensated Employee. These minimal increases are designed to make a small difference in your paycheck over the coming years, but are expected to have a potentially powerful long-term impact on your retirement savings.

Here's how the Auto Increase Feature works:

- All active, eligible participants (except Highly Compensated Employees) who are contributing from 1% to 14% on a before-tax or Roth 401(k) basis will be automatically enrolled in the Auto Increase Feature. You do not need to take any action unless you choose to opt out of this program. ***Note:*** *You are considered to have opted out of the Auto Increase Feature if you elect a deferral rate of 0%.*
- Your contribution rate will automatically be increased by 1% each year, up to a maximum of 15%.
- You can choose to have your contributions increased by a larger amount if you would like to boost your savings even faster. And, you can change the amount any time, up or down, in the future. You have a right to elect not to participate, or to participate at a different percentage, at any time.
- Your contributions will be invested according to your current investment allocation selections. However, if you did not specify how your contributions are to be allocated during automatic enrollment, or since that time, your contributions are invested in the Plan's Advisor GoalMaker Model designated as your Qualified Default Investment Alternative, unless you specify otherwise. See the "**Qualified Default Investment Alternative (QDIA)**" section for more information.

- Your annual percentage increase will become effective as soon as administratively feasible following April 1 of each year unless you choose another date for it to take effect. Having these automatic increases at the same time each year helps you plan for them.
- You can opt out of the program or change your percentage of contributions or your future investment allocations at any time by visiting the Empower website (at **www.empower.com/prudential**) or by calling Empower at 1-800-PRU-PESP (1-800-778-7377).

Stopping Your Contributions

You may stop your Before-Tax, Roth 401(k) and/or After-Tax Contributions at any time. You can stop your contributions online or by telephone. (See the “**Performing Transactions**” section for more information.)

Your contributions will cease as soon as administratively practicable. Company Matching Contributions, if applicable, will also cease when your contributions cease.

Company Contributions to PESP

If you are contributing to PESP, you may be eligible to receive matching contributions from the Company. You may also be eligible to receive contributions from the Company in other limited circumstances. The Internal Revenue Code imposes certain limitations that could affect the amount you otherwise would be eligible to receive as matching contributions from the Company (see the "**Maximum Contributions Limit**" section for more information).

Company Matching Contributions

If you are eligible, each payroll period the Company matches 100% (50% for employees of Assurance IQ beginning January 1, 2024) of your Before-Tax and/or Roth 401(k) Contributions to PESP (other than your Catch-Up Contributions), up to a combined maximum of 4% of your Eligible Earnings for that period (subject to Internal Revenue Code limitations). For example:

If Your Eligible Earnings Are:	And Your Combined Before-Tax and Roth 401(k) Contributions Are:		Then if you are an employee of Prudential, the Company Contributes:		Then if you are an employee of Assurance IQ, the Company Contributes:	
$65,000	2%	$1,300	2%	$1,300	1%	$650
$65,000	4%	$2,600	4%	$2,600	2%	$1,300
$65,000	10%	$6,500	4%	$2,600	2%	$1,300

Any Company Matching Contributions you receive are credited to your Company Match Account (or, if you are an Employee of Assurance IQ, your Assurance Match Account). Any Company Matching Contributions credited to your Company Match 2 Account prior to January 1, 2017, were automatically invested in the PFI Common Stock Fund, and will remain invested in that fund unless you elect to invest them in one of PESP's other investment funds. Note: Company Matching Contributions automatically invested in the Plan's default investment option were transferred from the Company Match 2 Account to the Company Match 1 Account effective December 20, 2023.

Who Is Eligible to Receive Company Matching Contributions

If you are enrolled in PESP and you are making Before-Tax and/or Roth 401(k) Contributions, you are eligible to receive Company Matching Contributions as follows:

- If you are an Employee other than a Prudential Advisors Financial Professional Associate or an Assurance IQ Hourly Agent Employee, your Company Matching Contribution will be made beginning with your first contribution to PESP.
- If you are a Prudential Advisors Financial Professional Associate or an Assurance IQ Hourly Agent Employee, your Company Matching Contribution will be made beginning with the first pay period after your one-year anniversary with Prudential.

PESP Company Match True-Up Feature

The PESP Company Match true-up feature is designed to ensure that you receive the full Company Matching Contributions to which you are entitled for the prior year. In the first quarter of each Plan Year, a calculation is performed based on your prior year's contributions. If you are eligible, Prudential will make an additional Company Matching Contribution (known as a PESP true-up contribution) on your behalf that will be credited to your PESP account during the first quarter of the following Plan Year. The PESP true-up contribution is considered part of your Company Matching Contributions.

Example: If you contribute 4% on average throughout the Plan Year, you may be eligible for a PESP true-up contribution if you did not receive a full match on a portion of your contributions. For example:

- **Prudential Employee:** If you contributed 2% for the first six months of the Plan Year (during which time you received a 2% Company Matching Contribution) and 6% for the last six months (during which time you received a 4% Company Matching Contribution), then because you contributed 4% on average for the full Plan Year, you will receive an additional PESP true-up contribution. In this case, the PESP true-up contribution will provide you with an extra 2% of match (for the first six months of the year) for a total Company Matching Contribution of 4% for the full Plan Year.
- **Assurance IQ Employee:** If you contributed 2% for the first six months of the Plan Year (during which time you received a 1% Company Matching Contribution) and 6% for the last six months (during which time you received a 2% Company Matching Contribution), then because you contributed 4% on average for the full Plan Year, you will receive an additional PESP true-up contribution. In this case, the PESP true-up contribution will provide you with an extra 1% of match (for the first six months of the year) for a total Company Matching Contribution of 2% for the full Plan Year.

Requirements for PESP true-up contributions:

- You must be actively employed on December 31 of the Plan Year to be included in the PESP true-up calculation for that Plan Year.
- Only the period that you have satisfied the eligibility requirements for Company Matching Contributions is considered in the PESP true-up calculation.
- PESP true-up contributions are considered part of Company Matching Contributions and are invested in the same manner as your other Company Matching Contributions.
- PESP true-up contributions, like regular Company Matching Contributions, are subject to all applicable legal and Plan requirements. You are not eligible to receive a PESP true-up contribution for any Plan Year in which those contributions, if made, would violate an IRS limit or the non-discrimination requirements applicable to PESP.

If you are eligible, the PESP true-up contribution made for a Plan Year will be deposited directly into your PESP account no later than March 15 of the following Plan Year. The same process is repeated each year.

Other Company Contributions

The Company may, in its sole discretion, make Qualified Matching Contributions, Qualified Non-Elective Contributions and/or Discretionary Company Contributions to PESP. You will be notified if the Company decides to make any such contribution to PESP.

- **Qualified Matching Contributions,** if made on your behalf, are credited to your Qualified Matching Contributions Account and are always fully vested.
- **Qualified Non-Elective Contributions,** if made on your behalf, are credited to your Qualified Non-Elective Contributions Account and are always fully vested.
- **Discretionary Company Contributions,** if made on your behalf, are credited to your Discretionary Company Contributions Account and are subject to the same vesting and distribution rules as Company Matching Contributions.

Limits on Contributions

While the Plan allows you to contribute from 1% to 50% of Eligible Earnings, the Internal Revenue Code imposes certain limitations that could affect the amount you otherwise would be eligible to contribute. The Plan also imposes limits on the amounts that Highly Compensated Employees may contribute to the Plan each year (see the "**Highly Compensated Employees**" section for more information).

Before-Tax and Roth 401(k) Contributions Limit

Federal law limits the total dollar amount of Before-Tax and Roth 401(k) Contributions you may make each year to the Plan, even if your contribution percentage is less than the Plan maximum of 50% of Eligible Earnings. For 2024, the annual limit for Before-Tax and Roth 401(k) Contributions combined is $23,000. The Before-Tax and Roth 401(k) Contributions limit are subject to inflation adjustments. This statutory limit is also known as the Internal Revenue Code 402(g) limit.

Your Before-Tax Contributions, Roth 401(k) Contributions and Catch-Up Contributions made during a Calendar Year will be used to determine whether you have reached this limit. If your contributions reach this dollar limit during a Calendar Year, your Before-Tax and/or Roth 401(k) Contributions for the remainder of that year will cease and you will not receive any Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions or Discretionary Company Contributions during the suspension period. You will continue to be able to make Catch-Up Contributions subject to any other applicable contribution limit.

Catch-Up Contributions Limit

If you are eligible, you can make Catch-Up Contributions to PESP from your Eligible Earnings in an amount up to the Internal Revenue Code limit ($7,500 in 2024). The Catch-Up Contributions limit is subject to adjustment for inflation.

Beginning January 1, 2025, in the years you turn age 60, 61, 62 and 63, the Catch-Up Contributions limit will be the greater of:

- $10,000; or
- 150% of the regular annual catch-up limit.

In the year you turn age 64 and thereafter, the Catch-Up Contributions limit will be the regular annual catch-up limit for that year (for example, $7,500 in 2024).

Before-Tax and Roth 401(k) Contributions Limit and Catch-Up Contributions Limit Apply Across All 401(k) Plans

The Before-Tax and Roth 401(k) Contributions limit ($23,000 for 2024) and the Catch-Up Contributions limit ($7,500 for 2024) apply across all Tax-Qualified Plans in which you participate during a Calendar Year (that is, each plan is not subject to a separate limit). Therefore, if you participate in PESP and you participated in another employer's Tax-Qualified Plan (including a plan of an Affiliate that is a Non-Participating Affiliate of the Company) during the same year, it is your responsibility to monitor these limits to ensure you have not exceeded them.

In your hire year, you can indicate in the "My Contributions" section of the Empower website (at **www.empower.com/prudential**) if you have made any contributions to another retirement plan during the current year. Doing so will allow Empower to help you monitor these limits. Otherwise, you should notify Empower if your total Before-Tax Contributions, Roth 401(k) Contributions and/or Catch-Up Contributions made to PESP and another employer's Tax-Qualified Plan exceed the annual maximum allowed by law. You must advise Empower no later than March 1 of the following year by calling 1-800-PRU-PESP (1-800-778-7377).

In such an event, the following will apply:

- Your excess Before-Tax Contributions under PESP will be returned to you by April 15 and will be taxable income to you for the **prior** year. The investment results on your excess contributions also will be returned to you and will be considered taxable in the year they are paid to you. Any Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions and related investment results that correspond to these excess Before-Tax Contributions will be forfeited immediately.
- Your excess Roth 401(k) Contributions under PESP will be returned to you by April 15. The investment results on your excess contributions also will be returned to you and will be considered taxable in the year they are paid to you. Any Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions and related investment results that correspond to these excess Roth 401(k) Contributions will be forfeited immediately.
- If you do not advise Empower on a timely basis, the excess Before-Tax and/or Roth 401(k) Contributions can be paid to you only under the normal Plan distribution rules, and other taxes and penalties may apply. You are encouraged to consult with your own tax, financial and/or legal advisor regarding these rules.

Maximum Contributions Limit

In addition to the annual dollar limitation on Before-Tax, Roth 401(k) and Catch-Up Contributions, the total amount of your Before-Tax Contributions (excluding Catch-Up Contributions), Roth 401(k) Contributions (excluding Catch-Up Contributions), After-Tax Contributions, Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions and Discretionary Company Contributions (if any) to PESP is subject to an annual limit set by the Internal Revenue Code. The maximum contributions total for 2024 is the lesser of:

- $69,000; or
- 100% of your compensation (as defined in Section 415(c)(3) of the Internal Revenue Code).

If your total Before-Tax Contributions, Roth 401(k) Contributions, After-Tax Contributions, Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions and Discretionary Company Contributions to PESP meet the lesser of these limits during a Calendar Year, all of your contributions (except Catch-Up Contributions) will need to stop. In this situation, you will be notified and advised of action you should take.

Example 1: Let’s assume you are a Prudential employee, your annual Eligible Earnings are equal to $130,000 and you contribute 17% of these earnings on a combined Before-Tax and/or Roth 401(k) basis ($22,100) and 33% on an after-tax basis ($42,900) for a combined total of 50% ($65,000) to PESP. Under the terms of the Plan, you would be entitled to a Company Matching Contribution of 100% of the first 4% of your Before-Tax and/or Roth 401(k) Contributions ($5,200). In this case, however, your total Before-Tax, Roth 401(k) and After-Tax Contributions plus your total Company Matching Contributions equal $70,200, or $1,200 more than the annual maximum contribution limit permitted by the Internal Revenue Code. As a result, once you reach the maximum contribution amount of $69,000, your contributions–Before-Tax, Roth 401(k), After-Tax and Company Matching Contributions–will need to stop for the remainder of the Calendar Year. You will be notified and advised of action you should take. Any Qualified Matching Contributions, Qualified Non-Elective Contributions or Discretionary Company Contributions cannot be credited for the remainder of the Calendar Year.

Example 2: Let's assume you are an Assurance IQ employee, your annual Eligible Earnings are equal to $135,000 and you contribute 17% of these earnings on a combined Before-Tax and/or Roth 401(k) basis ($22,950) and 33% on an after-tax basis ($44,550) for a combined total of 50% ($67,500) to PESP. Under the terms of the Plan, you would be entitled to a Company Matching Contribution of 50% of the first 4% of Eligible Earnings you contribute as Before-Tax Contributions and/or Roth 401(k) Contributions ($2,700). In this case, however, your total Before-Tax, Roth 401(k) and After-Tax Contributions plus your total Company Matching Contributions equal $70,200, or $1,200 more than the annual maximum contribution limit permitted by the Internal Revenue Code. As a result, once you reach the maximum contribution amount of $69,000, your contributions–Before-Tax, Roth 401(k), After-Tax and Company Matching Contributions–will need to stop for the remainder of the Calendar Year. You will be notified and advised of action you should take. Any Qualified Matching Contributions, Qualified Non-Elective Contributions or Discretionary Company Contributions cannot be credited for the remainder of the Calendar Year.

Maximum Eligible Earnings

The Internal Revenue Code limits the maximum amount of Eligible Earnings that a Tax-Qualified Plan, like PESP, can consider for contribution purposes. For 2024, the limit is $345,000. This limit is indexed for inflation. If you are affected by this limit, you will be notified.

Highly Compensated Employees

A Highly Compensated Employee is an Employee with a certain level of income in the prior year as defined by the Internal Revenue Code (indexed for inflation). Generally, all compensation received from Prudential and its Affiliates is included when determining whether an Employee is a Highly Compensated Employee. For the 2024 Plan Year, the income limit defined by the Internal Revenue Code is $150,000. So if you earned at least $150,000 at Prudential and its Affiliates during 2023, you are considered a Highly Compensated Employee for 2024. For the 2025 Plan Year, the income limit will be $155,000. So if you earn at least $155,000 in 2024, you will be considered a Highly Compensated Employee during the 2025 Plan Year.

Federal law requires the Plan to pass annual tests to ensure that contributions from or on behalf of Plan participants at all earnings levels are within a fair, non-discriminatory range. This non-discrimination testing is done on an ongoing basis during each Calendar Year and applies to Before-Tax Contributions (excluding Catch-Up Contributions), Roth 401(k) Contributions (excluding Catch-Up Contributions), After-Tax Contributions, Company Matching Contributions, any Qualified Matching Contributions, any Qualified Non-Elective Contributions and any Discretionary Company Contributions. For the Plan to pass these non-discrimination tests, the contribution rates of certain Highly Compensated Employees may have to be reduced or suspended. For example, for 2024, Highly Compensated Employees may contribute up to 17% of Eligible Earnings on a combined before-tax and Roth 401(k) basis and up to 11% of Eligible Earnings on an after-tax basis. These rates are subject to change at any time and may need to be reduced, as necessary, for the Plan to satisfy the applicable non-discrimination requirements. You will be notified if your contributions to PESP will be affected due to your status as a Highly Compensated Employee.

Rollovers Into PESP

Rollover Contributions

You may be able to roll over certain cash distributions into PESP from an Individual Retirement Account (IRA) or another Tax-Qualified Plan, including an eligible rollover distribution from another eligible retirement plan under Internal Revenue Code Section 402(c), as follows (all numbers below refer to sections of the Internal Revenue Code):

- A 401(a), 403(a) or 401(k) plan, including After-Tax Contributions;
- A tax-sheltered annuity 403(b) plan;
- A governmental 457(b) plan;
- A Simplified Employee Pension (SEP) plan;
- Your benefit under the Cash Balance Formula, Traditional Pension Formula and PSI Cash Balance Plan components of The Prudential Merged Retirement Plan, if applicable; and
- An IRA or another Tax-Qualified Plan for surviving Spouses (including Alternate Payees under a QDRO) who are Employees eligible for PESP.

All Rollover Contributions are non-forfeitable.

Note: If you obtained a Qualified Birth or Adoption Distribution, and you would like to rollover all or a portion of the distribution back into PESP, contact Empower at 1-800-PRU-PESP (1-800-778-7377).

Amounts rolled over into PESP on and after March 1, 2024, will be credited to your PESP accounts based on the type of account the rollover originated from as follows:

- All after-tax distributions, except Roth 401(k) distributions, that you elect to roll over into PESP will be credited to your After-Tax Rollover Account.
- Roth 401(k) distributions that you elect to directly roll over into PESP will be credited to your applicable Roth 401(k) Rollover Account and will take effect on the Roth start date of your Roth 401(k) account with your prior employer.
- Before-tax rollovers will be credited to your 401 Rollover Account, 403(b) Rollover Account, 457 Rollover Account, IRA Rollover Account or a general Rollover Account, as applicable. Collectively, these accounts will be referred to as your “Before-Tax Rollover Accounts.”

Amounts rolled over into PESP prior to March 1, 2024, were credited to your After-Tax Account, Before-Tax Rollover Account and/or Roth 401(k) Rollover Account, as applicable.

By directly rolling over an eligible rollover distribution to PESP, you can continue to defer Federal income taxes on the taxable amount of this distribution until you receive a distribution of these funds from the Plan. If you roll over After-Tax Contributions to PESP, these contributions will not be taxable when distributed from PESP and the earnings on these contributions will grow tax-deferred until distributed from PESP.

You do not need to be actively contributing to PESP to make a Rollover Contribution to the Plan. However, certain restrictions apply to Rollover Contributions:

- To roll over into PESP contributions you made on a Roth 401(k) or after-tax basis under another qualified plan described in Section 401(a) or 403(a) of the Internal Revenue Code, you must do a direct rollover. This means that the funds must be paid directly from the other qualified plan to PESP.
- Any direct rollover should be made in the form of a distribution check, made out directly to PESP on your behalf. Note that even if your distribution check is mailed to you, it will still constitute a direct rollover as long as the distribution check is made payable to PESP, for your benefit.

- If you do not do a direct rollover (that is, the distribution check is in your name instead of PESP), you may roll over only the taxable portion to PESP (Roth 401(k) and after-tax funds must be rolled over directly into PESP from the other Tax-Qualified Plan). To be eligible for continued favorable tax treatment, before-tax funds must be rolled into PESP generally within 60 days after the date you receive the payment from the other qualified plan. Under Federal law, your former employer's plan may be required to withhold 20% Federal income tax from the taxable amount being distributed to you. However, if you complete the rollover within 60 days, you are entitled to roll over the full taxable value of your distribution (including the amount that was already withheld for Federal income taxes). If you opt to make up for this withholding amount from your own savings, you may be eligible for a tax refund when you file your Federal income tax return for the year in which you received your distribution.

  If you do not roll over your distribution within 60 days after receipt, generally, you will not be allowed by law to roll over the funds, and you will be taxed on the distribution.
- Only cash may be rolled over into PESP (for example, direct rollover distribution check, personal check, money order, etc., but not securities).
- You cannot roll over money into PESP from a SIMPLE IRA, a Roth IRA or a Coverdell Education Savings Account.

If you are interested in making a Rollover Contribution from an Individual Retirement Account (IRA) or from another Tax-Qualified Plan, you must obtain an **Incoming Rollover Election Form**, available on the Empower website or by calling Empower at 1-800-PRU-PESP (1-800-778-7377). Additionally, you must request the distribution from the company or record keeper of the account you wish to roll over into PESP.

If you want to make a rollover to PESP from the Cash Balance component of the Prudential Merged Retirement Plan, you may contact the Prudential HR Service Center at 1-800-PRU-EASY (1 800-778-3279) to obtain a Benefit Commencement Package. You can complete the Benefit Commencement Form included in the package and return it to the Prudential HR Service Center. Alternatively, you may also initiate your commencement online via the My Total Rewards website (at **http://mytotalrewards.prudential.com**).

If you do not have an investment election for the Money Source Grouping into which the rollover will be added, and you do not make an investment election(s) for your rollover, the transferred funds will be invested in the Qualified Default Investment Alternative ("QDIA") selected for PESP. The QDIA for PESP is the Advisor GoalMaker Models' conservative model based on your assumed target retirement year. You may change your investment election(s) and/or transfer out of the QDIA at any time.

If you have an existing account balance in PESP, you may rollover amounts from another Tax-Qualified Plan to PESP—regardless of whether you are then actively employed by the Company. This feature is designed to allow a former Employee who is a terminated vested participant or a retiree and has a PESP account to consolidate their tax-qualified savings in PESP. If you meet these requirements and are interested in making a Rollover Contribution, you must obtain an Incoming Rollover Election Form, available on the Empower website or by calling Empower at 1-800-PRU-PESP (1-800-778-7377). Additionally, you must request the distribution from the company or record keeper of the account you wish to roll over into PESP.

Roth In-Plan Conversions

This feature allows a participant to convert an eligible portion of their PESP balance into a Roth account. This means that instead of rolling eligible amounts out of PESP into a stand-alone Roth IRA, a PESP participant may perform a conversion rollover all within PESP. However, even though the money stays in PESP, the amounts converted are taxable in the year of the conversion. A Roth In-Plan Conversion is a taxable event that requires careful thought and planning. You are encouraged to consult with your own tax, financial and/or legal advisor for advice regarding your situation.

Who Is Eligible to Convert

PESP permits participants who have account balances available for in-service withdrawal or distribution to convert some or all of their Vested eligible PESP accounts to Roth money through a Roth In-Plan Conversion. This includes active Employees, former Employees who have a Vested PESP balance, spousal Beneficiaries and Alternate Payees under QDROs. Note that non-Spouse Beneficiaries cannot elect a Roth In-Plan Conversion.

Spousal consent is not required for a Roth In-Plan Conversion. However, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

Accounts You Can Convert

In general, regardless of your age, you may convert all or part of the following accounts:

- After-Tax Account;
- After-Tax Rollover Account;
- Before-Tax Rollover Accounts;
- Prior Company Contributions Account;
- Qualified Matching Contributions Account; and
- Qualified Non-Elective Contributions Account

If you are age 59½ or older, you may also convert your Before-Tax Account.

If you are a former Employee, a spousal Beneficiary or an Alternate Payee under a QDRO, you may also convert:

- Vested Company Match 1 Account;
- Vested Company Match 2 Account; and
- Vested Discretionary Company Contributions Account.

You may not convert your Roth 401(k) Account or Roth 401(k) Rollover Account.

Important Considerations

In addition to the tax consequences discussed in the section that follows, here are some important things to consider when deciding to convert:

- New "Roth In-Plan Conversion" accounts under PESP will be created based on the type of account the conversion came from. For example:
  - A conversion of amounts from the After-Tax Account will result in these amounts being deposited into an After-Tax Roth In-Plan Conversion Account;
  - A conversion of amounts from the After-Tax Rollover Account will result in these amounts being deposited into an After-Tax Rollover Roth In-Plan Conversion Account; and
  - A conversion of amounts from the 457 Rollover Account will result in these amounts being deposited into a 457 Rollover Roth In-Plan Conversion Account.

- You may elect to convert specific accounts, assuming you meet the eligibility requirements described above. To do so, you will need to request the conversion via paper form (available on the Empower website); this type of election cannot be done online. In the absence of an election of specific accounts (for example, if you process the request online), a pro rata portion of your eligible accounts will be converted according to your Roth In-Plan Conversion election.
- A Roth In-Plan Conversion is irrevocable. There is no option to recharacterize it.
- A participant who has reached their required minimum distribution age (see the "**Distributions After You Reach Your Required Minimum Distribution Age**" section) may elect a Roth In-Plan Conversion for Vested eligible PESP accounts. However, converted amounts held in the participant's Roth In-Plan Conversion Accounts will continue to be subject to Internal Revenue Code required minimum distribution rules.
- If you elect to convert amounts invested in the PFI Common Stock Fund, the cost basis of the converted stock will change to the current market value as of the conversion date.
- If you elect voluntary tax withholding and the amount you wish to convert is invested in an IncomeFlex Select or IncomeFlex Target fund, the amount withdrawn from IncomeFlex Select or IncomeFlex Target to pay your tax liability will reduce your IncomeFlex Select or IncomeFlex Target guarantee, even if you have already elected a Lock-In date. (For an example of the reduction calculation and for more information on how withdrawals may impact your IncomeFlex Select or IncomeFlex Target guarantees, refer to IncomeFlex materials [available on the Empower website, or which you may have received upon your initial investment in IncomeFlex Select or IncomeFlex Target], or call Empower at 1-800-PRU-PESP (1-800-778-7377).)
- There is no limit on the total number of Roth In-Plan Conversions that may be elected with respect to a specific account during a Plan Year.

General Tax Consequences of a Roth In-Plan Conversion

A Roth In-Plan Conversion is a taxable event. Converted amounts are generally taxable (Federal and state) in the year of the conversion at the ordinary income tax rate in effect and applicable to you in the year of conversion.

At the time of conversion:

- You must pay income taxes on all Before-Tax Contributions and Before-Tax Rollovers, including related investment results, that you convert. Income taxes are due in the year of conversion;
- While After-Tax Contributions and After-Tax Rollovers are not subject to income tax, you will be required to pay income tax on the related investment results attributable to any converted After-Tax Contributions and After-Tax Rollovers, in the year of the conversion; and
- If you elect voluntary tax withholding, the amount you convert will be reduced by the amount of the withholding. If you elect not to withhold taxes, you will need to pay your income tax liability outside the Plan.

At the time of distribution:

- You will not pay Federal income taxes on your Roth In-Plan Conversion amounts (i.e., the amounts you converted and previously paid taxes on) when they are distributed to you. Additionally, you will not pay Federal income taxes when you take a distribution of any related investment results from your Roth In-Plan Conversion, provided your distribution meets the requirements for a Qualified Roth Distribution. (See the "**Special Rules Applicable to Distributions of Roth 401(k) Contributions**" and "**Tax Treatment of Roth In-Plan Conversions**" sections); and
- If your distribution is not a Qualified Roth Distribution, you will pay income taxes on any related investment results from your Roth In-Plan Conversion and, if you are under age 59½, you may be required to pay the 10% Federal early distribution tax on both the converted amounts and related investment results.

Important: Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

For More Information

For general questions about Roth In-Plan Conversions or to obtain the necessary forms to complete a Roth In-Plan Conversion, call Empower at 1-800-PRU-PESP (1-800-778-7377).

You are encouraged to consult with your own tax advisor or financial professional to help you understand the details of a Roth In-Plan Conversion and how it may impact your overall investment goals.

Vesting

Vesting means that you have a non-forfeitable right to your PESP account balance under the Plan. You are always fully Vested in your Before-Tax Contributions, Roth 401(k) Contributions, Catch-Up Contributions, After-Tax Contributions, Rollover Contributions (if any), Qualified Matching Contributions, Qualified Non-Elective Contributions and any related investment results on all those contributions. You are Vested in your Company Matching Contributions, Discretionary Company Contributions and any related investment results based on your service dates with Prudential and its Affiliates.

Vesting Service

Your Vesting Service is used to determine whether you are Vested in your PESP Company Match Accounts and Discretionary Company Contributions Account.

All of your Employment with the Company or any of its Affiliates, from your date of hire until the date your Employment ends, counts as Vesting Service under the Plan. This service includes time worked and certain approved or authorized time away from work, including vacations, holidays, sick days and certain time away on a paid or unpaid leave of absence. Generally, your Vesting Service will end when your Employment ends. However, the period after a separation from service will be included in your Vesting Service if you return to work at the Company or an Affiliate within one year after your Employment ended.

Generally, you receive Vesting Service for periods of Employment with the Company or any of its Affiliates, and certain periods of Employment with an entity before it becomes an Affiliate (subject to the terms of the contract governing the transaction).

When You Become Vested

You become 100% Vested in Company Matching Contributions, Discretionary Company Contributions and any related investment results, under any of the following scenarios:

- You complete three years of Vesting Service;
- You reach age 65 (normal retirement age under the Plan) while Employed by the Company or any of its Affiliates, regardless of your years of service;
- You become totally disabled, which is defined as being eligible to receive long term disability benefits under The Prudential Welfare Benefits Plan;
- You die while Employed by the Company or any of its Affiliates; or
- You were 100% Vested during a prior period of service with the Company or any of its Affiliates.

If you leave the Company or any of its Affiliates before you are fully Vested, you will lose your non-Vested Company Matching Contributions, Discretionary Company Contributions and related investment results when your Period of Separation equals five years. If you return to the Company or any of its Affiliates before five years have passed, you will have your Company Matching Contributions, Discretionary Company Contributions and any related investment results (if any) reinstated, which allows you to continue to earn Vesting Service on them as well as on any future contributions.

Current and Former Employees of Assurance IQ

As a result of the winddown of the Assurance IQ business, all Company Matching Contributions in your Assurance Match Account are 100% vested regardless of your years of service. If you become an Employee of Prudential, your Company Matching Contributions from Prudential are subject to the Vesting requirements above.

Period of Separation

A Period of Separation is generally the period between your severance-from-service date with the Company or any of its Affiliates and your reemployment date with the Company or any of its Affiliates. Generally, you do not receive credit toward Vesting during a Period of Separation. If you have a Period of Separation, your prior service may or may not be counted for vesting purposes when you rejoin the Company or any of its Affiliates.

- If you are 0% Vested in your Company Matching Contributions, Discretionary Company Contributions and related investment results at the time your Employment ends and you are re-hired after incurring a five-year Period of Separation, your prior service will not be counted for vesting under the Plan.
- If you are 0% Vested in your Company Matching Contributions, Discretionary Company Contributions and related investment results at the time your Employment ends and you are re-hired before incurring a five-year Period of Separation, your Company Matching Contributions, Discretionary Company Contributions and related investment results will be reinstated, which allows you to continue to earn Vesting Service on them.
- If you are on an approved leave of absence (other than a maternity/paternity or military leave), special rules apply. The date your Employment with the Company or any of its Affiliates ends if you are absent from work due to such an approved leave is the earlier of:
  - Your severance-from-service date with the Company and any of its Affiliates or the date of your death; or
  - The first anniversary of the first day you are absent from service (with or without pay) for any reason other than a termination of Employment or your death.
- If you are on an approved maternity/paternity leave, special rules apply. Only for the purposes of determining if a Period of Separation has occurred, the date your Employment with the Company or any of its Affiliates ends if you are absent from work due to an approved maternity or paternity leave is the second anniversary of the first day of such absence.

  To be considered on maternity or paternity leave, you must demonstrate that you are absent for reasons of:
  - Your pregnancy;
  - The birth of your child;
  - Your adoption of a child; or
  - The need to care for your child for a period immediately after birth or adoption.
- If you are on a qualified military leave, special rules apply. (See the "**Qualified Military Service**" section for more information.)

Forfeitures

Non-Vested account balances will be forfeited on the earlier of the date that you receive a total distribution of your Account from the Plan or the date you incur a five-year Period of Separation.

Forfeited amounts will be applied first to Company Matching Contributions and/or Discretionary Company Contributions to PESP that would otherwise be payable by the Company, and then to pay reasonable Plan administrative expenses that are not paid by the Company.

Note: If you return to Prudential before incurring a five-year Period of Separation, any non-Vested Company Contributions Account balance will be reinstated.

Investing Your PESP Account

One of the advantages of a plan like PESP is the opportunity to invest amounts under the Plan in a range of investment options. PESP offers access to:

- A guaranteed investment account;
- Collective investment trusts;
- Mutual funds;
- Separate accounts;
- Prudential Financial, Inc. (PFI) Common Stock; and
- A guaranteed retirement income product.

Each investment option represents a different profile of risk and potential return.

You can design the portfolio, or mix of investment options, that you feel best meets your financial needs and goals. Alternatively, you can select an Advisor GoalMaker Model, an asset allocation tool, available at no additional cost to you, that can help you create an investment portfolio using some of the investment options available through PESP. See the "**Advisor GoalMaker Models**" section for more information.

Different investment option allocations can be made for each of the following Money Source Groupings:

- Pre-Tax, including the Before-Tax Account, all Before-Tax Rollover Accounts and the Qualified Non-Elective Contributions Account;
- Roth, including the Roth 401(k) Account, the Roth 401(k) Rollover Account, the Prior Roth In-Plan Rollover Account and all Roth In-Plan Conversion Accounts;
- After-Tax, including the After-Tax Account and the After-Tax Rollover Account;
- Employer Contributions, including the Company Match 1 Account, the Assurance Match Account, the Prior Company Contributions Account, the Discretionary Company Contributions Account, the Qualified Matching Contributions Account and the Prior MullinTBG Employer Contributions Account; and
- Employer Contributions (closed), including the Company Match 2 Account.

You can change current or future investment option allocations for each of these Money Source Groupings noted above by visiting the Empower website (at **www.empower.com/prudential**) or calling Empower at 1-800-PRU-PESP (1-800-778-7377).

Default Elections

If you do not provide an investment election or direction according to the rules of the Plan established by the Administrative Committee, and you previously made an investment election, your most recent investment election or direction will remain in effect. If you never provided an investment election (for example, if you become a participant through automatic enrollment), your account will be invested in the Plan's Qualified Default Investment Alternative (QDIA) until you direct otherwise. The QDIA for PESP is the Advisor GoalMaker Models' conservative model based on your assumed target retirement year. See the "**Qualified Default Investment Alternative (QDIA)**" section for more information.

The Administrative Committee may decline to implement investment instructions where deemed appropriate, including, without limitation, those that may:

- Violate the Administrative Committee's procedures for investment instructions (including the Policy on Market Timing in Large Amounts);
- Result in a prohibited transaction under ERISA Section 406 or Internal Revenue Code Section 4975;
- Generate income that would be taxable to the Plan or Trust;
- Violate applicable Federal securities laws; or
- Violate Prudential Financial, Inc.'s policies regarding compliance with such laws.

Qualified Default Investment Alternative (QDIA)

If you are automatically enrolled or you do not make an investment election, your contributions and any Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions or Discretionary Company Contributions (and any related investment results) will be invested in the Qualified Default Investment Alternative (QDIA). Your PESP account will remain invested in the QDIA until you affirmatively elect different investment options. The QDIA is the Advisor GoalMaker Models' conservative model appropriate for you, based on your assumed target retirement year. Each GoalMaker model automatically invests your account balance across a range of investments to be consistent with:

- A conservative risk tolerance; and
- Your assumed target retirement year (if you do not select a retirement year, the model will assume your retirement at age 65).

See the "**Advisor GoalMaker Models**" section for more information about the Advisor GoalMaker Models.

Here are some important things you should know if you are defaulted to the QDIA:

- Your future contributions will continue to be invested in the GoalMaker QDIA appropriate for your age unless you make a different investment choice for your future contributions.
- Advisor GoalMaker Models include a feature called automatic rebalancing. This feature automatically adjusts your account investments quarterly (based on your birth date) to maintain specific investment percentages that are appropriate for a conservative risk tolerance and your age.
- If you are eligible to receive Company Matching Contributions or Discretionary Company Contributions, 100% of these contributions will be automatically invested in the QDIA appropriate for your assumed target retirement year on the date of the allocation.
- If you are eligible to receive any Qualified Matching Contributions or Qualified Non-Elective Contributions and you have not made any investment elections for your PESP account, 100% of these contributions will be automatically invested in the QDIA appropriate for your assumed target retirement year on the date of the allocation.

Default investment in an Advisor GoalMaker Model for Section 16 Officers and/or Designated Persons does not have to be pre-cleared. However, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as other restrictions on Section 16 Officers and Designated Persons.

Your Investment Choices

You have a choice of selecting your own mix of investments for your PESP account from the investment options available through the Plan or selecting an Advisor GoalMaker Model.

- If you select your own investments, you can invest your future contributions, or reallocate your current account balances, by Money Source Grouping in the available investment options in 1% increments.
- If you select an Advisor GoalMaker Model, you will select a model portfolio with a pre-determined mix of investments based on your risk tolerance and your anticipated retirement date. See the "**Advisor GoalMaker Models**" section for more information.

Generally, whatever allocation you elect remains in effect until you change it.

Investment Options

The investment options available through PESP are summarized below in alphabetical order. For more information regarding these options, see the investment overviews available on the Empower website (at **www.empower.com/prudential**) or call Empower at 1-800-PRU-PESP (1-800-778-7377):

- **AllianceBernstein Core Opportunities Fund (available through April 25, 2024):** This separate account is advised by AllianceBernstein LP and invests primarily in stocks of U.S. companies, including large and smaller companies. The fund seeks to generate capital appreciation through superior stock selection–a process that is rooted in research, insight and portfolio manager skill. Note: This fund was replaced by the T. Rowe Price U.S. All-Cap Opportunities Fund effective April 26, 2024.
- **BlackRock International Stock Index Fund (MSCI ACWI ex-U.S.):** This separate account invests wholly in the underlying collective investment trust fund, BlackRock MSCI ACWI ex-U.S. Index Fund. This index fund seeks investment results corresponding generally to the performance, before fees and expenses, of the MSCI ACWI Ex-U.S. Index. This index is composed of publicly-traded stocks of companies outside of the U.S., weighted by size (measured by market capitalization).
- **BlackRock U.S. Small Cap Stock Index Fund (Russell 2000):** This separate account invests wholly in the underlying collective investment trust fund, BlackRock U.S. Small Cap Stock Index Fund. This index fund seeks investment results corresponding generally to the performance, before fees and expenses, of the Russell 2000 Index. This index is composed of approximately 2,000 publicly-traded stocks of smaller U.S. companies weighted by size (measured by market capitalization).
- **BlackRock U.S. Stock Index Fund (Russell 3000):** This separate account invests wholly in the underlying collective investment trust fund, BlackRock U.S. Stock Index Fund (Russell 3000). This index fund seeks investment results corresponding generally to the performance, before fees and expenses, of the Russell 3000 Index. This index is composed of approximately 3,000 publicly-traded stocks of U.S. companies weighted by size (measured by market capitalization) and is designed to broadly represent the U.S. stock market.
- **Delaware Small Cap Core Equity Fund:** This separate account is advised by Macquarie Investment Management Advisors. The fund seeks long-term capital appreciation by investing in stocks of small companies based in the U.S. that are believed to have a combination of attractive valuations, growth prospects and strong cash flows.
- **DFA Global Allocation 60/40 Fund (Ticker: DGSIX):** This mutual fund is a global balanced fund. It is a fund of funds that invests in underlying funds to achieve an allocation of approximately 60% in U.S. and international equities (with a range of 40% to 80%) and 40% in U.S. and international fixed income instruments (with a range of 20% to 60%).
- **PESP Fixed Rate Fund (available through December 27, 2024):** The goal of the PESP Fixed Rate Fund is to provide safety of principal and stable, competitive interest rates based on current market conditions. The guaranteed rate of return is reset periodically (currently on a quarterly basis) and the rate is announced in advance. The PESP Fixed Rate Fund is offered under a group annuity contract issued by The Prudential Insurance Company of America and is therefore subject to the credit risk of the Company. Direct transfers from the PESP Fixed Rate Fund to a competing fund are restricted in that amounts must be transferred first to a non-competing fund for at least 90 days (see the "**Equity Wash Provision**" section).
- **PESP IncomeFlex® Select℠ (IncomeFlex Select):** This option provides a guaranteed income for life without requiring an irrevocable election to receive PESP benefit payments as an Annuity. This investment option is only available to participants already invested in one of the PESP IncomeFlex Select investment options. PESP IncomeFlex Select was closed to new investors effective December 31, 2013. See the "**Additional Information About PESP IncomeFlex Select**" section for more information.

- **PESP IncomeFlex Target® Balanced Fund (IncomeFlex Target Balanced):** The fund invests in a mix of other investment funds offered through PESP, seeking to maintain blended exposures of 60% to global stocks and 40% to U.S. bonds. It is used exclusively with the IncomeFlex Target, a guaranteed minimum withdrawal benefit program. The asset allocation is designed to increase the potential that a participant's account balance, in conjunction with the IncomeFlex Target Guarantees, will provide a reliable source of lifetime income. The IncomeFlex Target Guarantees are supported by the general account of the Empower Annuity Insurance Company; the asset allocation fund itself provides no guarantees. There is no assurance the objectives will be met. See the "**Additional Information About PESP IncomeFlex Target**" section for more information.
- **PESP Principal Protection Fund (available beginning December 30, 2024):** The fund will invest in a combination of stable value contracts backed by high-quality life insurance companies and banks, along with short-term fixed income investments. The fund is intended to provide participants with (i) interest income consistent with prevailing market and interest rate conditions, (ii) principal stability, (iii) capital preservation and (iv) liquidity for participant activity. As a stable value investment option, this Fund is designed for retirement savers whose objectives include safety of principal. Direct transfers from the PESP Principal Protection Fund to a competing fund are restricted in that amounts must be transferred first to a non-competing fund for at least 90 days (see the "**Equity Wash Provision**" section).
- **PGIM Global Total Return Fund (Ticker: PGTQX):** The fund seeks total return of current income and capital appreciation through a diversified portfolio of U.S and non-U.S. fixed income securities. The fund normally invests at least 65% of its total assets in income-producing debt securities of U.S. and foreign corporations and governments, supranational organizations, semi-governmental entities or government agencies, authorities or instrumentalities, investment-grade U.S. or foreign mortgages and mortgage-related securities and U.S. or foreign short-term and long-term bank debt securities or bank deposits.
- **Prudential Core Conservative Bond Fund:** This collective investment trust is sub-advised by PGIM, Inc. The fund is a benchmark-focused U.S. investment-grade bond fund that seeks an excess return of 0.25% over the benchmark, gross of fees, over a full market cycle. The strategy is designed to achieve excess return through bottom-up subsector and security selection, with top-down decisions such as duration, yield curve and sector positioning tightly constrained to benchmark weightings at all times.
- **Prudential Financial, Inc. (PFI) Common Stock Fund:** This option primarily invests in Prudential Financial, Inc. common stock (for approximately 98% of the total value of the fund) and short-term investment funds or other liquid investments (for approximately 2% of the total value of the fund). The goal is to approximate the returns of a direct investment in shares of PFI Common Stock in a fund that also provides modest liquidity.

  The PFI Common Stock Fund has two portions, an Employee Stock Ownership Plan (ESOP) portion and a non-ESOP portion; see the "**Employee Stock Ownership Plan**" section for more information. Investments in the ESOP and non-ESOP portions of the PFI Common Stock Fund will have the same rate of return over the same period.

  Additional information about the administration of the PFI Common Stock Fund, including voting procedures and restrictions on transactions by some participants, is described in the "**Additional Information About the Prudential Financial, Inc. Common Stock Fund**" section.
- **Prudential High Yield CIT Fund (High Yield CIT):** The objective of this fund is to outperform the Bloomberg Barclays U.S. High-Yield Ba/B 1% Issuer Capped Index over a full market cycle. This fund will be invested primarily in fixed income securities rated below investment grade by a Nationally Recognized Statistical Ratings Organization (NRSRO) or, if not rated, determined by the Trustee to be of comparable quality to securities so rated.
- **PGIM Retirement Real Estate Fund:** This separate account is a real estate fund of funds that allows investors to gain exposure to portfolios of direct real estate investments. The strategy seeks to provide maximum exposure to private real estate (75% target weighting) while maintaining liquidity for the purpose of meeting withdrawal requests through a combination of investments in marketable real estate securities, including REIT (Real Estate Investment Trust) securities, cash and cash equivalents. The fund's objective is to exceed, over a complete market cycle, the fund's customized benchmark return, gross of fees.

Certain individuals, known as PGIM Retirement Real Estate Fund Covered Persons, are subject to blackout restrictions and pre-clearance for transactions in the fund. (The PGIM Retirement Real Estate Fund blackout period is not necessarily the same as the blackout period imposed upon Designated Persons for the PFI Common Stock Fund.)

- **T. Rowe Price U.S. All-Cap Opportunities Fund (available beginning April 26, 2024):** This separate account is advised by T. Rowe Price Associates, Inc. The fund invests primarily in common stocks of U.S. companies. The manager employs a flexible stock selection framework, seeking high quality companies at attractive valuations where fundamentals are improving and underappreciated by the market. While not all stocks will strongly exhibit all four characteristics, the manager seeks favorable combinations of these traits. Holdings range from large-cap to small-cap companies.
- **Vanguard Cash Reserves Federal Money Market Fund Admiral Shares (Ticker: VMRXX):** The investment (also known as the Vanguard Money Market Fund) seeks to provide current income while maintaining liquidity and a stable share price of $1. The fund invests primarily in high-quality short-term money market instruments. Under normal circumstances at least 80% of assets are invested in securities issued by the U.S. Government and its agencies and instrumentalities. The fund adviser maintains a dollar-weighted average maturity of 60 days or less and a dollar-weighted average life of 120 days or less. This fund is considered a competing fund to the PESP Fixed Rate Fund and the PESP Principal Protection Fund, and is subject to an equity wash provision (see the "**Equity Wash Provision**" section).
- **Vanguard Short-Term Investment-Grade Fund (Ticker: VFSIX):** This mutual fund (also known as the Vanguard Short-Term Fund) seeks to provide current income while maintaining limited price volatility. The fund invests in a variety of high-quality and, to a lesser extent, medium-quality, fixed income securities, at least 80% of which will be short- and intermediate-term investment-grade securities. High-quality fixed income securities are those rated equivalent of A3 or better. Medium-quality fixed income securities are those rated the equivalent of Baa1. This fund is considered a competing fund to the PESP Fixed Rate Fund and is subject to an equity wash provision (see the "**Equity Wash Provision**" section).
- **Wellington Trust Company CIF II Diversified Inflation Hedges Portfolio (Wellington DIH):** This collective investment trust seeks to provide strong relative performance versus broad equity and fixed income markets for investors during periods of rising inflation. The fund is designed to provide diversifying exposure to a traditional equity and fixed income portfolio, that is, a typical portfolio comprised of assets that are not highly inflation-sensitive.
- **Wellington Trust Company CIF II International Opportunities Portfolio (International Opportunities Portfolio):** This collective investment trust fund invests primarily in foreign stocks in developed and emerging markets, focusing on companies where improvement or sustainability of future returns on capital is not reflected in current prices.

There is no assurance that these options will achieve their investment goals. Your portfolio value will fluctuate up or down, depending on investment selection, timing and market conditions.

Equity Wash Provision

The PESP Fixed Rate Fund and the PESP Principal Protection Fund have an equity wash provision. In general, an equity wash provision is a restriction that prevents money from being transferred directly from one fund to a competing fund without first being invested in a non-competing fund (an interim investment option).

A competing fund is an investment option that triggers the equity wash provision for the PESP Fixed Rate Fund and the PESP Principal Protection Fund. The Vanguard Money Market Fund is a competing fund to both the PESP Fixed Rate Fund and the PESP Principal Protection Fund. The Vanguard Short-Term Investment-Grade Fund is a competing fund to the PESP Fixed Rate Fund only. In the future, there may be other competing funds within PESP's investment fund line-up. If this occurs, you will be notified of the investment fund's status as a competing fund.

The equity wash provision applies only to transfers ***from*** the PESP Fixed Rate Fund (prior to December 27, 2024) or the PESP Principal Protection Fund to a competing fund. The equity wash provision does not apply to transfers ***to*** the PESP Fixed Rate Fund or the PESP Principal Protection Fund.

Investment Management Fees

Investment management and other fees and expenses charged by each mutual fund will be described in the specific fund prospectus. Fees and expenses for the Plan's separate accounts, collective investment trusts and mutual funds are deducted from fund assets before performance is calculated, and therefore affect net returns. You can get more detailed information about fees of investment options offered in PESP by signing on to the Empower website (at **www.empower.com/prudential**) and reviewing the investment overviews, by reviewing fee information on your quarterly statement or by contacting the Plan Administrator. (See the "**Administrative Information**" section for more information on the Plan Administrator.) For the mutual funds, you may also consult each fund's prospectus.

Getting Information on Investment Options

Before you make your investment decisions, you should evaluate your choices carefully by reviewing each investment option's profile and performance, which can be found in mutual fund prospectuses and/or investment overviews or in other information available on the Empower website. Read the prospectus or other information carefully before you invest or contribute money to the investment option. For more complete information about the available investment options available through PESP, including charges and expenses, you can request mutual fund prospectuses and/or investment overviews and additional information by using any of the methods described in the "**Performing Transactions**" section.

Performance of Investment Options

This chart shows annual performance of the investment options offered under PESP, as average annual returns for the one-year, three-year and five-year periods ending December 31, 2023.

The historical performance of each investment option only reflects past performance; past performance is not a guarantee of future performance. The annual performance of your account may vary from what is shown in the chart, depending on the activity within your account for the year. Note that parentheses below denote negative returns, while "N/A" indicates the information was not available when this document was prepared.

Funds/Accounts	Investment Manager[1]	1 Year[2]	3 Year[2]	5 Year[2]
AllianceBernstein Core Opportunities Fund	AllianceBernstein	21.87%	9.06%	13.43%
BlackRock International Stock Index Fund (MSCI ACWI ex-U.S.)[3]	BlackRock Institutional Trust Company, N.A. (BTC)	15.58%	1.71%	7.31%
BlackRock U.S. Small Cap Stock Index Fund (Russell 2000)[3]	BlackRock Institutional Trust Company, N.A. (BTC)	17.13%	2.34%	10.09%
BlackRock U.S. Stock Index Fund (Russell 3000)[3]	BlackRock Institutional Trust Company, N.A. (BTC)	26.06%	8.70%	15.29%
Delaware Small Cap Core Equity Fund	Macquarie Investment Management Advisors	14.12%	5.87%	11.78%
DFA Global Allocation 60/40 Fund	Dimensional Fund Advisors LP	14.53%	4.56%	8.55%
PESP Fixed Rate Fund[4]	The Prudential Insurance Company of America	3.50%	3.50%	3.50%
PESP IncomeFlex Select Conservative Fund[5]	Empower Annuity Insurance Company	11.21%	(0.13%)	4.89%
PESP IncomeFlex Select Moderate Fund[5]	Empower Annuity Insurance Company	14.78%	2.02%	7.34%
PESP IncomeFlex Select Aggressive Fund[5]	Empower Annuity Insurance Company	17.47%	3.60%	9.09%
PESP IncomeFlex Target Balanced Fund[5]	Empower Annuity Insurance Company	15.25%	2.24%	7.59%
PESP Principal Protection Fund[6]	Goldman Sachs Asset Management, L.P.	N/A	N/A	N/A

Funds/Accounts	Investment Manager[1]	1 Year[2]	3 Year[2]	5 Year[2]
PGIM Global Total Return Fund[7]	PGIM, Inc.	9.68%	(6.84%)	(0.01%)
PGIM Retirement Real Estate Fund[8]	PGIM, Inc.	(6.77%)	4.61%	4.52%
Prudential Core Conservative Bond Fund[9]	PGIM, Inc.	5.97%	(3.24%)	1.22%
Prudential Financial, Inc. (PFI) Common Stock Fund[10,11]	Empower Trust Company under the direction of the Investment Oversight Committee[12]	9.97%	15.30%	10.50%
Prudential High Yield CIT Fund (High Yield CIT)[9]	Prudential Trust Company sub-advised by PGIM	11.59%	1.52%	5.55%
T. Rowe Price U.S. All-Cap Opportunities Fund	T. Rowe Price Associates, Inc.	29.85%	7.66%	19.76%
Vanguard Cash Reserves Federal Money Market Fund Admiral Shares	Vanguard	5.10%	2.21%	1.90%
Vanguard Short-Term Investment Grade Fund	Vanguard	6.20%	(0.06%)	2.16%
Wellington Trust Company CIF II Diversified Inflation Hedges Portfolio (Wellington DIH)[13]	Wellington Trust Company, NA	6.77%	13.04%	10.72%
Wellington Trust Company CIF II International Opportunities Portfolio (International Opportunities Portfolio)[13]	Wellington Trust Company, NA	12.32%	(0.29%)	8.53%

1 Investment managers are subject to change. In some cases, the investment manager delegates investment authority to another entity, commonly referred to as the sub-advisor. When appropriate, this column lists the sub-advisors who are responsible for managing the fund.

2 Returns for all investment options are listed as total returns net of investment management fees and expenses (i.e., after the investment management fees and expenses have been paid). These performance results represent the change in net asset value of an investment over the stated period of time, expressed as an annualized average, assuming the reinvestment of dividends and interest and capital gains distributions, if applicable, less expenses and fees. Investment return and principal value will fluctuate so that an investor's units in an investment option, other than the PESP Fixed Rate Fund and the PESP Principal Protection Fund, when redeemed, may be worth more or less than their original cost. Prior investment performance is not a guarantee of future performance.

3 Returns for these funds before April 30, 2021, represent the performance of the underlying collective investment trust after adjustment for the applicable fee: 0.0444% for the BlackRock International Stock Index Fund (MSCI ACWI ex-U.S.), 0.0132% for the BlackRock U.S. Small Cap Stock Index Fund (Russell 2000) and 0.0073% BlackRock U.S. Stock Index Fund (Russell 3000).

4 The PESP Fixed Rate Fund, which will be closed to new investments after December 27, 2024, has an interest crediting rate that is reset periodically (currently on a quarterly basis), subject to a contractual minimum crediting rate of 3.5%. The fund's crediting rate is based on a contract formula utilizing a number of factors. One of the factors includes a reference to the performance of a hypothetical investment portfolio consisting of public debt, private placement debt and mortgage loans net of a notional expense ratio of 0.21%, which is comprised of a 0.10% wrap fee and an investment management fee of 0.11%.

The PESP Fixed Rate Fund is a group annuity product issued by The Prudential Insurance Company of America (PICA), Newark, NJ 07102. Amounts contributed to the contract are deposited in PICA's general account. Payment obligations and the fulfillment of any guarantees specified in the group annuity contract are insurance claims supported by the full faith and credit of PICA. PICA periodically resets the interest rate credited on contract balances, subject to a minimum rate specified in the group annuity contract. Past interest rates are not indicative of future rates. This product is neither a mutual fund nor a bank product. The obligations of PICA are not insured by the FDIC or any other Federal governmental agency. Prudential Retirement Strategies is compensated in connection with this product when general account investment returns exceed the interest credited on contract balances. Other than such compensation, there are no additional charges imposed that reduce the interest rate credited. If the general account investment returns exceed the interest crediting rate, Prudential Retirement Strategies earns a profit; otherwise Prudential Retirement Strategies incurs a loss. Frequent exchanging between Plan investment options may harm long-term investors.

[5] The IncomeFlex suite of funds are structured as insurance company separate accounts issued by Empower Annuity Insurance Company pursuant to a group annuity investment agreement. Any guarantees related to this product, such as the IncomeFlex Target benefit or, if available, any annuity option offered under the group annuity, are guarantees that are supported by the general account of Empower Annuity Insurance Company.

[6] The PESP Principal Protection Fund's inception date is December 30, 2024. As such, historical performance is not available.

[7] Shares of the registered mutual funds are offered through Prudential Investment Management Services LLC (PIMS), Newark, NJ. PIMS is a Prudential Financial company.

[8] The PGIM Retirement Real Estate Fund is structured as an insurance company separate account offered through a group annuity insurance contract issued by PGIM, Inc. In keeping with the illiquid nature of real estate investments, there is no guarantee of the ability to make daily withdrawals or transfers from the fund. This fund may delay honoring withdrawal or transfer requests if it does not have sufficient cash available to satisfy requests, which under unusual market circumstances could potentially be for an extended period. In addition to its investments, the fund has a line of credit to meet cash needs, the costs of which would be charged to the fund. The fund may, with advance notice, temporarily suspend new deposits into the fund if the manager believes it will not be able to invest new deposits appropriately. If that happens, participant allocations to the fund during the suspension period would be invested in the PESP Fixed Rate Fund or the PESP Principal Protection Fund, as applicable. Daily valuation of an investment in the fund is based on a number of factors, including projected values of underlying real estate holdings, which are valued quarterly.

[9] This investment is structured as a collective investment trust of the Prudential Trust Company.

[10] The PFI Common Stock Fund is held in a trust agreement with Empower Trust Company, as a directed trustee, under which a unitized stock fund is established to invest in PFI Common Stock and shares of a money market fund to provide modest liquidity. Because the PFI Common Stock Fund invests in the stock of only one company, it has more risk than investment options that invest in a wide range of securities. Read the prospectus carefully before you invest or contribute money. (See the "**Additional Prospectus Information**" section.)

[11] Investments in the ESOP and non-ESOP portions of the PFI Common Stock Fund have the same unit value. Differences in returns result from the timing of transfers into the ESOP portion of the fund.

[12] Management of the PFI Common Stock Fund is determined on the basis of guidelines set by the investment fiduciaries of the Participating Plans, with day-to-day transactions initiated by the custodian consistent with those guidelines.

[13] This investment is structured as a collective investment trust of Wellington Trust Company.

The Prudential Investment Oversight Committee (IOC) selects, and may add, change or eliminate, any of the PESP investment options, other than the PFI Common Stock Fund. You will be informed of any changes in the available investment options.

The Plan or the Plan's investment funds may have provisions to deter exchanges that may be abusive. These policies may require the Plan's investment funds or the Plan's recordkeeper to modify, restrict or suspend purchase or exchange privileges and/or impose redemption fees.

For more complete information about the investment options available through PESP, including charges and expenses, or to request a mutual fund prospectus and/or an investment overview, visit **www.empower.com/prudential** or call Empower at 1-800-PRU-PESP (1-800-778-7377). Read the prospectus or other information carefully before investing.

Advisor GoalMaker Models

Advisor GoalMaker Models are an asset allocation tool, available at no additional cost to you, that can help you create an investment portfolio suitable to your risk tolerance, using some of the investment options available through PESP. When you use GoalMaker, the tool will guide you to one of the model portfolios consistent with your risk tolerance–conservative, moderate or aggressive–and target retirement year, in five-year increments (e.g., 2035, 2040, 2045, and so on). Each GoalMaker model will gradually become more conservative over time as you approach the aligned target retirement year. You can always opt in or out of an Advisor GoalMaker Model at any time without charge or penalty. (Investment options used in the GoalMaker models are subject to investment fees.) An Advisor GoalMaker Model itself is not a PESP investment option; it is a program available to help you allocate your account among the Plan's various options.

If you select an Advisor GoalMaker Model, your account investments will be automatically adjusted quarterly (based on your birth date) to maintain the specific investment percentages of the Advisor GoalMaker Model you selected.

If you are a Section 16 Officer and/or Designated Person, you must pre-clear selection of an Advisor GoalMaker Model during an open trading window if any portion of your account, other than your Company Match 2 Account (which is the 50% of your Company Matching Contributions that were automatically invested in the PFI Common Stock Fund prior to January 1, 2017), is invested in the PFI Common Stock Fund. In addition, if you are a Section 16 Officer and/or Designated Person, you are only permitted to select an Advisor GoalMaker Model during a closed trading window if you are not currently allocating funds to the PFI Common Stock Fund and if no portion of your account, other than your Company Match 2 Account, is invested in the PFI Common Stock Fund. Default investment in an Advisor GoalMaker Model does not have to be pre-cleared. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

Note: The application of asset allocation and diversification concepts does not ensure safety of principal and interest. It should also be noted that diversification does not assure a profit or protect against loss in a declining market. **It is possible to lose money by investing in securities**.

For Enrollment and More Information

To find out more about the Advisor GoalMaker Models, including obtaining information regarding allocations to the investment options within each GoalMaker model, or to select an Advisor GoalMaker Model, visit the Empower website (at **www.empower.com/prudential**).

Important: The Advisor GoalMaker Models information is not intended as investment or tax advice.

Important: Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

Additional Information about PESP IncomeFlex Target®

IncomeFlex Target helps you accumulate assets and convert them into guaranteed income. IncomeFlex Target includes a feature that guarantees that the current IncomeFlex Target Market Value and any future contribution into the IncomeFlex Target Fund are used toward calculating the amount of guaranteed income that you will be able to withdraw from the Target fund annually for the rest of your life. IncomeFlex Target provides this guaranteed income without requiring you to make an irrevocable election to receive PESP benefit payments as an Annuity.

IncomeFlex Target Balanced Fund	Target Percentage of Fund Investment	
	Stocks	Bonds
PESP IncomeFlex Target Balanced Fund	60%	40%

Investing in IncomeFlex Target

The IncomeFlex Target Fund works similar to other investments offered in the plan. To invest, all you need to do is transfer some or all of your current Plan Balance and/or direct future contributions into the PESP IncomeFlex Target Balanced Fund.

You can get more detailed information about IncomeFlex by signing on to the Empower website (at **www.empower.com/prudential**) and reviewing the "*IncomeFlex Important Considerations*" brochure.

Cost to Participate in IncomeFlex Target

Investment Management Fees: Because the PESP IncomeFlex Target Balanced Fund consists of investment options already in PESP, the same aggregate expense ratios apply (including investment management fees) as if you had invested the same amount directly in those options. The aggregate expense ratio, which is currently 0.04%, is reflected in the total return of the fund. The expense ratio may change in the future and is not guaranteed. In addition, the investment funds in the PESP IncomeFlex Target Balanced Fund can change from time to time.

Annual Guarantee Fee: There is a 0.95% annual guarantee fee for IncomeFlex Target that is added to the existing expense ratio for the IncomeFlex Target fund and applies for as long as you remain invested in or receive guaranteed benefits from, your IncomeFlex Target account. Empower Annuity Insurance Company retains the right to change the fee in the future, applicable only to future contributions or benefit increases after starting guaranteed IncomeFlex Target withdrawals, but not above a maximum of 1.50%.

Additional Information About PESP IncomeFlex® Select℠

IncomeFlex Select provides a guaranteed income for life without requiring you to make an irrevocable election to receive PESP benefit payments as an Annuity. IncomeFlex Select is designed to help you invest your PESP account to provide future retirement income that is guaranteed to last for your lifetime. This investment option is only available to participants already invested in one of the IncomeFlex Select investment options. IncomeFlex Select is closed to new investors. **Important: If you are invested in IncomeFlex Select and move your money out of this option, you will be unable to return that money to IncomeFlex Select in the future.**

Investing in IncomeFlex Select Funds

While you participate in IncomeFlex Select, you can choose to invest your money in one or more of three IncomeFlex Select funds. Each IncomeFlex Select separate account holds interest in other investment options already in PESP. Each fund has a different investment strategy (and associated investment risk) resulting in a diversified mix of stocks and bonds, as shown in the following table. The investment risks of these funds affect the market value of your account, although the IncomeFlex Select guarantee may provide some protection from the relatively higher market volatility of the Moderate and Aggressive Growth Funds if you choose payment of your benefits in the form of the guaranteed annual withdrawals.

IncomeFlex Select Fund	Target Percentage of Fund Investment	
	Stocks	Bonds
PESP IncomeFlex Select Conservative Growth Fund	35%	65%
PESP IncomeFlex Select Moderate Growth Fund	55%	45%
PESP IncomeFlex Select Aggressive Growth Fund	70%	30%

Just like other funds in PESP, these IncomeFlex Select funds have a market value that rises and falls based on market performance and is not guaranteed. This market value (your IncomeFlex Select account balance) is available for transfers, withdrawals, loans and any other transactions permitted under PESP.

You can get more detailed information about IncomeFlex by signing on to the Empower website (at **www.empower.com/prudential**) and reviewing the "*IncomeFlex Important Considerations*" brochure.

Cost to Participate in IncomeFlex Select

Investment Management Fees: Because the IncomeFlex Select funds consist of investment options already in PESP, the same aggregate expense ratios apply (including investment management fees) as if you had invested the same amount directly in those options. Those aggregate expense ratios, which range from 0.06% for the most conservative model to 0.03% for the most aggressive portfolio, are reflected in the total return of the funds. These expense ratios may change in the future and are not guaranteed. In addition, the investment funds in the IncomeFlex Select funds can change from time to time.

Annual Guarantee Fee: There is a 0.85% annual guarantee fee for IncomeFlex Select that is added to the existing expense ratios for the IncomeFlex Select funds and applies for as long as you remain invested in or receive guaranteed benefits from, your IncomeFlex Select account. Empower Annuity Insurance Company retains the right to change the fee in the future, applicable only to future benefit increases after starting guaranteed IncomeFlex Select withdrawals, but not above a maximum of 0.95%. If you elect the Spousal Benefit, your annual guarantee fee will increase by 0.50%.

Additional Information About the Prudential Financial, Inc. Common Stock Fund

Administration

The PFI Common Stock Fund is an investment fund established under a trust agreement with the Empower Trust Company as directed trustee. The PFI Common Stock Fund primarily invests in PFI Common Stock, but also invests in cash equivalents to provide liquidity. Dividends are credited to participants' accounts and reinvested in the PFI Common Stock Fund to the extent they are not paid out to participants (see the "**ESOP Cash Dividend Election and Dividend Distributions"** section for more information). Guidelines for managing the liquidity of the PFI Common Stock Fund are established by the IOC.

- **Units:** Interests in the PFI Common Stock Fund are acquired in units, each of which represents an equal right to share in the PFI Common Stock Fund, its net earnings, profits, losses and expenses. Units are revalued each business day by dividing the total value of the PFI Common Stock Fund by the total number of units allocated to participants. For this purpose, the PFI Common Stock is valued at the closing price of the shares on the New York Stock Exchange each business day, while money market shares or similar holdings are valued at the end-of-day net asset value. The daily unit value will fluctuate to reflect changes in the market value of the PFI Common Stock and other investments, plus any expenses, but not the value of dividends, which are used to purchase additional units in the PFI Common Stock Fund.

- **Purchases of Prudential Financial, Inc. Common Stock:** Purchases and sales of PFI Common Stock by the PFI Common Stock Fund generally are made on the open market at the current market price. Purchases also may be made directly from the Company or an Affiliate. The per share price paid for PFI Common Stock purchased from the Company will not exceed the mean between the highest and lowest quoted selling price per share for a 100-share lot of the PFI Common Stock on the composite tape of the New York Stock Exchange issued on the date of purchase.
- **Expenses:** Currently, all expenses of the PFI Common Stock Fund, including brokerage and custody fees, are paid by the Company. The Company reserves the right to stop paying the expenses and, in that case, the expenses will be paid by the PFI Common Stock Fund.
- **Voting and Tender Offers:** Participants in the PFI Common Stock Fund are entitled to vote the number of whole shares that represents their pro rata interest in the shares of the PFI Common Stock held in the PFI Common Stock Fund, and to decide whether to respond to a tender or exchange offer for those shares.

  As further explained below, voting instructions of participants who exercise their voting rights normally will apply to any shares of PFI Common Stock held under PESP that are not voted by other PESP participants, which are sometimes called undirected shares (including any shares that are not allocated to participants), unless the Investment Oversight Committee directs the Trustee otherwise; for example, by appointing an independent Fiduciary to vote. In addition, the instructions of all participants will be applied to any unallocated shares held by PESP in the case of a tender or exchange offer by a person (other than an Affiliate).
- **Voting:** With respect to any annual or special meeting of the Company's stockholders, you will receive proxy solicitation materials that include, among other things, a proxy or instruction form. The proxy or instruction form will permit you to direct the Plan Trustee how to vote the shares of PFI Common Stock represented by your beneficial interest in the PFI Common Stock Fund. If you vote, your instructions will apply to your pro rata interest in the shares of PFI Common Stock in the PFI Common Stock Fund and normally to a pro rata portion of shares of PFI Common Stock that are not voted by other participants. If you do not vote, your shares will generally be voted according to the directions of other PESP participants.
- **Tender or Exchange Offers:** In the case of a tender or exchange offer by a person other than an Affiliate, the Plan Trustee will notify you of the offer and provide you with the information distributed to other stockholders of Prudential Financial, Inc. in connection with the offer. The Plan Trustee will follow your directions unless they are contrary to applicable law. If you do not respond to the request for instructions in the case of a tender or exchange offer, the Plan Trustee will not tender or exchange the shares. If there are any shares of PFI Common Stock held in PESP and not allocated, the Plan Trustee will normally tender a pro rata portion of unallocated shares equal to the portion of allocated shares that the Plan Trustee has been directed to tender by participants, unless otherwise directed by the IOC or an independent Fiduciary. In the case of a tender or exchange offer by an Affiliate, the Fiduciaries of PESP determine who provides instructions.
- **Confidentiality:** Information about your purchase, holding and sale of PFI Common Stock under PESP and your individual voting, tender or exchange instructions to the Plan Trustee, is confidential and may not be disclosed to any person, including officers of the Company or its Affiliates (except for the Company's Corporate Compliance department). The Plan Administrator or its delegate is responsible to ensure that sufficient procedures are maintained to safeguard the confidentiality of this information and to monitor compliance with these procedures. If you have a question or concern about the confidentiality of information about your purchases, holdings or sales of PFI Common Stock or your voting, tender or exchange instructions, contact the Plan Administrator.

Restrictions on Transactions in the PFI Common Stock Fund

Insider Trading: Employees are prohibited from trading Prudential Financial, Inc. securities while in possession of material, nonpublic information about Prudential Financial, Inc. This restriction applies to PESP, and participants with material, nonpublic information about Prudential Financial, Inc. may not:

- Make exchanges into or out of the PFI Common Stock Fund; or
- Sell any shares of PFI Common Stock received as a withdrawal or distribution from PESP.

Prudential Financial, Inc.'s policy statement on insider trading is contained in the Global Insider Trading Policy, which is available on Prudential's PolicyHub. More information is also available by contacting the Chief Disclosure Counsel in the Law Department.

Section 16 Officers: Section 16 of the Securities Exchange Act of 1934 requires that transactions of Insiders (that is, directors, certain officers and 10% owners of the issuer) in securities of Prudential Financial, Inc. be reported to the Securities and Exchange Commission no later than two business days after the transaction has been executed, and allows for the recovery by Prudential Financial, Inc. of short swing profits by these Insiders (that is, any profit from any sale and purchase, or purchase and sale, of Prudential Financial, Inc. securities in less than a six-month period). A Section 16 Officer, for the purposes of the rule, is defined as President, Principal Financial Officer, Principal Accounting Officer or Controller, any Vice President in charge of a principal business unit, division or function and any other executive officer who performs similar policy-making functions.

Section 16 Officers may be subject to certain restrictions in connection with purchases and sales of Prudential Financial, Inc. securities. More information about these restrictions is available by contacting the Chief Disclosure Counsel in the Law Department.

Designated Persons: Designated Persons are those individuals who are so designated from time to time, usually due to those individuals having routine access to quarterly financial data constituting material, nonpublic information. Designated Persons may be subject to certain restrictions in connection with purchases and sales of Prudential Financial, Inc. securities. As a result, there may be restrictions (including pre-clearance requirements and blackout periods) on a Designated Person's ability to make or enter into:

- Transfers or exchanges;
- Automatic rebalancing;
- On-demand rebalancing;
- Loan initiations and single-sum repayments;
- Affirmative Advisor GoalMaker Model selections; and
- Disbursements, including non-hardship in-service withdrawals.

More information on these restrictions is available by contacting the Chief Disclosure Counsel in the Law Department or **pst.help@prudential.com**.

The Administrative Committee may adopt administrative procedures designed to ensure that the provisions of PESP and, specifically with respect to Section 16 Officers and Designated Persons, do not violate applicable securities laws or Prudential Financial, Inc.'s policies regarding compliance with these laws.

Additional Prospectus Information

A prospectus is a document describing securities that are offered to potential investors. The Securities Act of 1933 (the Securities Act) generally requires that potential investors in registered securities receive a prospectus, including participants in an employee benefit plan that have the opportunity to direct investments into stock of the employer/plan sponsor. You have the opportunity to invest in PFI Common Stock through the PFI Common Stock Fund. As a result, your participation in PESP is treated under the securities laws as an offer of registered securities that must be accompanied or preceded by a prospectus.

On July 16, 2012, Prudential Financial, Inc. registered 25,000,000 additional shares of PFI Common Stock and an indeterminate number of interests in PESP to be offered and sold under PESP by filing a Form S-8 registration statement (Registration Statement) with the Securities and Exchange Commission (SEC). This Registration Statement supplements the earlier S-8 registration statement that Prudential Financial, Inc. filed with the SEC on December 17, 2001, to register 25,000,000 shares of PFI Common Stock and an indeterminate number of interests in PESP to be offered and sold under PESP. Both registration statements are available online at the SEC's website (at **www.sec.gov**).

Part I of the Form S-8 generally provides that the prospectus requirement described in this section may be satisfied by providing PESP plan participants with descriptions of the PFI Common Stock Fund in one or more documents, so long as such documents are legended as part of such prospectus or as otherwise indicated by the Plan Sponsor, without requiring such documents to be filed with the SEC.

As indicated on the front of this Summary Plan Description (SPD) booklet, this SPD, including any subsequent related Summaries of Material Modifications (SMMs), is intended to satisfy the various requirements under ERISA and to constitute part of a prospectus covering the offer and sale of the PFI Common Stock and plan interests under PESP registered on Form S-8. In addition to this SPD booklet, including any subsequent related Summaries of Material Modifications (SMMs), the following documents also constitute part of the Form S-8 prospectus:

- The prospectus constituting part of Prudential Financial, Inc.'s Registration Statement on Form S-1 (File No. 333-58524) (the S-1 Registration Statement), filed with the SEC on December 13, 2001, under Rule 424(b)(1) under the Securities Act;
- A description of the PFI Common Stock, par value $0.01 per share, contained in the prospectus constituting part of the S-1 Registration Statement; and
- Various other documents, including the PFI Common Stock Fund investment overview, which are generally available on the Empower website (at **www.empower.com/prudential**).

Part II of the Form S-8 registration statement also allows an employer registering employer securities to be sold in connection with an employee benefit plan to "incorporate by reference" certain information publicly filed with the SEC and available on the SEC's website in the registration statement, which means that information can be disclosed to you by referring to those documents. The information incorporated by reference is considered to be part of the registration statements providing material information relating to the offer and sale of employer securities under PESP. These documents include the S-1 Registration Statement, as well as all documents that may in the future be filed by Prudential Financial, Inc. under Sections 13(a), 13(c), 14 and 15(d) of the Exchange Act and all documents that may be filed by PESP under Section 15(d) of the Exchange Act. These and related documents are also incorporated into Part II of PESP's Form S-8 registration statement by reference until updated and superseded by later information filed by Prudential Financial, Inc. and PESP. These additional documents may include, for example, annual and quarterly reports filed by Prudential Financial, Inc. on Forms 10-K and 10-Q and the annual report for PESP filed on Form 11-K. All of these documents are considered to be part of the prospectus for purposes of offering securities under PESP. All of these documents are available on the SEC's website (at **www.sec.gov**).

Each participant will receive (by electronic delivery or by mail) a copy of the Summary Plan Description. Copies of other documents referenced as part of the Part I prospectus are available free of charge by calling 1-800-PRU-PESP (1-800-778-7377).

Other ways you can obtain copies of these documents are:

- By written request to:
Empower
Attn: PESP (Plan Number 556357-01)
P.O. Box 173764
Denver, CO 80217-3764; or
- Email Empower at participantservices@empower.com.

Employee Stock Ownership Plan

The Employee Stock Ownership Plan (ESOP) is part of the PFI Common Stock Fund. To fund the ESOP portion of the PFI Common Stock Fund, the PESP record keeper will annually "sweep" any Vested money from the non-ESOP portion to the ESOP portion. This transaction will likely occur in early January each year and be summarized on both your PESP statement and on the website wherever account history is shown.

If you have vested shares in the PFI Common Stock Fund, you have the opportunity to elect how you would like to handle dividends on the PFI Common Stock in the ESOP portion of your account. In general, you may elect to receive the dividends in cash, payable to you, or they can be reinvested in additional units in the PFI Common Stock Fund that will remain in the ESOP portion of your PESP account. If you do not make an election, any dividends paid to the ESOP portion of the PFI Common Stock Fund in your PESP account will automatically be reinvested in additional units of the PFI Common Stock Fund within the ESOP.

Effective April 1, 2024, you may change an existing ESOP dividend election at any time. New ESOP dividend elections will apply only to dividends paid after the date the new election becomes effective. Your ESOP dividend election, or the default reinvestment election, will continue in effect until any future election is made. You may make or change your ESOP dividend election at any time on the Empower website (at **www.empower.com/prudential**) or by calling Empower at 1-800-PRU-PESP (1-800-778-7377).

You may not contribute directly to the ESOP portion of the PFI Common Stock Fund. Instead, all contributions, transfers or repayments that you or the Company make to the PFI Common Stock Fund will be made to the non-ESOP portion and then will become part of the annual sweep into the ESOP portion if they are Vested and remain on account at the time of the sweep. Generally, the ESOP portion of your account is subject to the same Plan rules as the non-ESOP portion and can be reallocated at any time to other PESP investment options.

See the "**ESOP Cash Dividend Election and Dividend Distributions**" section for more information.

Your Investment Decisions

When making your investment decisions, you should weigh many factors, including the degree of risk you are comfortable with and the time frame in which you intend to achieve your financial goals.

The terms "expected reward" and "risk" are often used to define the gain or loss potential of an investment:

- *Expected reward* means the potential increase in value of an investment over a long period of time. For example, the expected reward would be the interest to be earned by amounts in a savings account, or the capital appreciation and dividends to be paid on shares of stock.
- *Risk* refers to the variability in the value or return of an investment, including the possibility of a loss in value of all or part of the principal invested.

All investments bear risks, which can include the possibility of losing your entire investment. When choosing how to invest your PESP account, you will have to consider how much risk you are willing to accept for the potential reward. Modern investment theory holds that, in the long term, expected return and risk are related. Generally, investments with higher expected returns will have higher risk, in other words, a greater chance that actual returns may not live up to expectations.

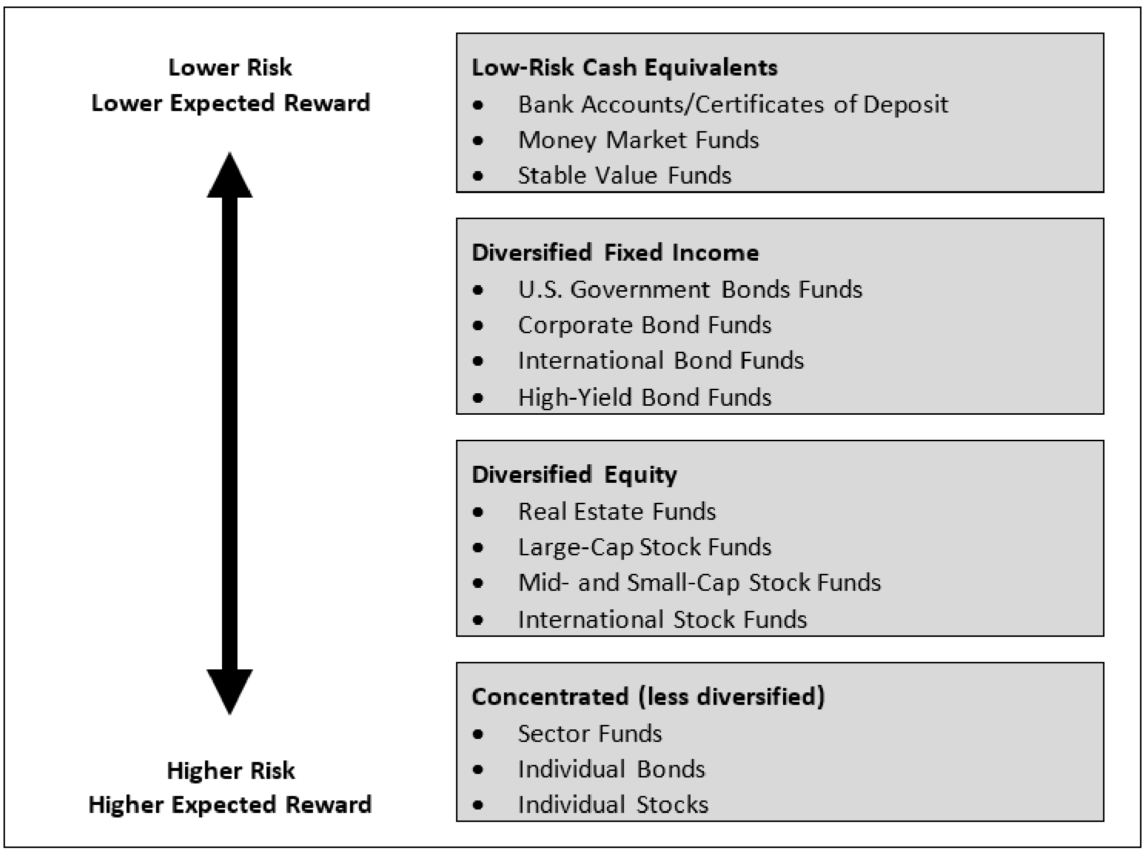
When a fund invests in debt securities, such as corporate bonds, the value of the fund's holdings may be affected by changing interest rates and the credit ratings of the bonds' issuers (which estimate the likelihood of the risk of a default on the bonds). For example, the value of debt securities in a portfolio generally will decline when interest rates rise and increase when interest rates fall. However, lower-rated, below-investment-grade bonds (also known as high yield bonds) may vary in value more like equity securities than like debt at times. In addition, such debt securities may be subject to an increased risk of default by the issuer and tend to be less liquid (that is, more difficult to sell).

When a fund invests in equity securities, such as common stock, the value of the fund's shares will go up and down based on the performance of the companies whose securities it owns and other factors generally affecting the securities markets. The value of the fund's shares may fluctuate significantly in the short-term. Generally, the stock prices of small and medium companies vary more than the prices of large company stocks and may present above-average risks. Foreign equity securities have additional risks, such as exchange rate changes, political and economic upheaval, the relative lack of information about foreign companies, relatively low market liquidity and potential lack of strict financial and accounting controls and standards.

One other factor in evaluating an investment's risk is the diversification it provides. Most mutual funds invest in numerous stocks or bonds and thus have lower risk than an undiversified investment in a single stock or bond. However, some funds concentrate their investments into a single industry sector (e.g., natural resources) or a single geographic region (e.g., emerging markets). These funds may be more volatile if prospects for that particular industry or region become negative.

The risk of failing to diversify into a wide range of securities or across a range of mutual funds may be heightened for Employees who invest in the PFI Common Stock Fund, since the economic impact on them of a decline in the value of their employer's securities could be accompanied by reduced compensation or job security.

The following chart indicates the relative risk of various types of investments. The chart is a general representation of risk and *not* an illustration of incremental risk.



This chart of the risk/reward spectrum is not to scale and does not represent actual or implied performance of any particular investment option. Risks associated with investment options can vary significantly within each investment category and the relative risk of the categories can change under certain economic conditions.

Making or Changing Your Investment Decisions

You can generally make or change your investment decisions for your current account balance (separately for each Money Source Grouping) or for your future contributions (separately for each Money Source Grouping) any business day in the ways shown below. However, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons (including pre-clearance requirements) In addition, specific investments may have limitations on transfers or withdrawals in some circumstances, such as sustained market closures for mutual funds invested in publicly traded securities or cash availability limits for the PGIM Retirement Real Estate Fund. Certain individuals, known as PGIM Retirement Real Estate Fund Covered Persons, are subject to blackout restrictions and pre-clearance for transactions in the fund. (The PGIM Retirement Real Estate Fund blackout period is not necessarily the same as the blackout period imposed upon Designated Persons for the PFI Common Stock Fund).

- **Make or change the allocation of your future contributions:** You may make or change the investment allocation of future contributions to your account for each Money Source Grouping in multiples of 1%. You may make allocation changes any business day. Changes will generally take effect as soon as administratively practicable after you request the change.
- **Transfer funds currently in your account:** You may change the investment of the money already in your account for each Money Source Grouping in multiples of 1%. You may generally make these transfers any business day, but they must be made by 4 p.m., Eastern time, to be effective the same day. You cannot transfer money into and out of an investment option on the same day. In certain situations (for example, excessive trading, market timing etc.), there may be limitations on the amount, timing or method for requesting transfers. Refer to the fund prospectus(es) and/or investment overview(s) available on the Empower website (at **www.empower.com/prudential**) for more information on any trading restrictions that may apply to the specific investment option(s) you choose and to the online Terms and Conditions on the Empower website for more information. You may also request a copy of the *PESP Policy on Market Timing in Large Amounts* by calling 1-800-PRU-PESP (1-800-778-7377).

  If you want to request a transfer **out** of the PFI Common Stock Fund, you may choose to transfer out of the non-ESOP portion of the PFI Common Stock Fund, the ESOP portion or both. However, if you request a transfer **into** the PFI Common Stock Fund, your funds can be transferred only into the non-ESOP portion of the PFI Common Stock Fund and then will become part of the annual sweep into the ESOP portion if they are Vested and remain on account at the time of the sweep. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.
- **Rebalance your account:** You may select the automatic (quarterly, semi-annually or annually) or on-demand (ad hoc at your request) rebalancing feature, so that your current PESP account is rebalanced to reflect your designated target investment allocation. This feature is separate and apart from the rebalancing associated with the Advisor GoalMaker Models and can be activated or deactivated at any time on the Empower website.

  If you are a Section 16 Officer and/or Designated Person, you must pre-clear your rebalancing decision during an open trading window if you are affecting your holdings in the PFI Common Stock Fund or if you have amounts contributed prior to January 1, 2017, in your Company Match 2 Account that are not invested in the PFI Common Stock Fund. In addition, if you are a Section 16 Officer and/or Designated Person, you are not permitted to choose the automatic rebalancing or the on-demand rebalancing during a closed trading window if the decision will affect the amount you hold in the PFI Common Stock Fund or if you have amounts contributed prior to January 1, 2017, in your Company Match 2 Account that are not invested in the PFI Common Stock Fund. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

You can generally make or change your investment decisions or transfer funds using any of the methods described in the "**Performing Transactions**" section.

Compliance with Section 404(c) of ERISA

PESP is intended to be a plan described in Section 404(c) of ERISA.

You have the authority and responsibility for deciding how to invest your money among the investment options available under the Plan. You are responsible for your investment decisions, including any losses attributable to those decisions. Neither Prudential nor the Plan fiduciaries nor any of their employees or agents are liable for any investment losses resulting from your decisions.

Compliance with ERISA's Participant Fee Disclosure Rules

Each year participants, Beneficiaries and Employees eligible but not yet participating in the Plan will receive specific disclosures about plan fees and investments in compliance with ERISA's participant fee disclosure rules. No action is required on your part with respect to the disclosures.

ESOP Cash Dividend Election and Dividend Distributions

At the discretion of the Prudential Financial, Inc. Board of Directors, the ESOP portion of PESP pays dividends quarterly. You have the choice—you may either reinvest the dividends (paid in cash on your PFI Common Stock Fund units in the ESOP portion of the Plan in additional units of the PFI Common Stock Fund) or you may elect to receive those dividends as cash. This election is not available for dividends paid in shares of PFI common stock.

Beginning April 1, 2024, you may make or change your election for cash dividends at any time during the year. ESOP dividend elections will apply only to dividends paid after the date the election becomes effective. If you do not make an election, you will be deemed to have elected that your dividends be reinvested and your dividends will default to reinvestment in your ESOP account. Your election, or the default reinvestment, will remain in effect and apply to any dividends that are declared by Prudential Financial, Inc. unless you make a new election to receive it in cash. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons. Note that the election applies only to future cash dividend payments and does not give you the opportunity to receive payment of cash dividends previously received in your account.

If you decide to have the cash dividends on your ESOP portion of the Plan paid in cash, you will receive a check for the full amount of your dividend payment. This distribution is taxable and will be reported as taxable income. These distributions are not eligible to be rolled over into either an IRA or another Tax-Qualified Plan. (See the "**Tax Consequences and Reporting for ESOP Cash Dividend Distributions**" section for more information.)

If you elect to have your cash dividends reinvested in additional units of the PFI Common Stock Fund (or if you have never made any election at all), your dividends will be paid to the ESOP portion of the PFI Common Stock Fund and be used to buy additional units of the PFI Common Stock Fund.

If you have an account as a Beneficiary or an Alternate Payee under a QDRO in addition to a participant account, you may make an election under each account.

Your dividend election will apply only to cash dividends paid under the vested ESOP portion of the PFI Common Stock Fund. Any cash dividends paid under the non-ESOP portion will be reinvested automatically in additional units of PFI Common Stock.

Loans

The rules in this section will apply, except as altered by the Administrative Committee consistent with applicable law and regulations.

If you had an outstanding loan from the Assurance Savings Plan transferred to PESP (together with the respective loan note) as of August 1, 2023, you are subject to the terms and conditions of PESP as described in this section for ongoing administration of the loan, except that the interest rate and loan period for the transferred loan does not change from the Assurance Savings Plan.

PESP is designed primarily to encourage long-term savings for your retirement. However, if you need to use some of your PESP money during your Employment with the Company or any of its Affiliates, you can request a loan from your PESP account for any reason. If you are an active Employee of the Company or any of its Affiliates, you may borrow against the value of your Before-Tax Account, your Before-Tax Rollover Accounts, your Prior Roth In-Plan Rollover Account, your Qualified Matching Contributions Account and your Qualified Non-Elective Contributions Account. You cannot borrow from your After-Tax Account, your After-Tax Rollover Account, your Roth 401(k) Account, your Roth 401(k) Rollover Account, your Roth In-Plan Conversion Accounts, any of your Company Match Accounts, or Discretionary Company Contributions Account. Within each account, money is taken proportionately from each investment option (including the ESOP portion of the PFI Common Stock Fund, but not from IncomeFlex Select or IncomeFlex Target) in which you have money invested.

When you take a loan from your PESP account, you:

- Do not pay income taxes on the loan amount if you repay it on time; and
- Repay to your account balance the principal and the interest on the loan.

Loans have certain advantages and disadvantages; they may not always be in the best financial interest of all PESP participants. You are encouraged to discuss the pros and cons of taking a loan from PESP with your tax, financial and/or legal advisor.

Requesting a Loan

You may request a loan online through the Empower website (at **www.empower.com/prudential**) or by calling Empower at 1-800-PRU-PESP (1-800-778-7377). See the "**Performing Transactions**" section for more information on how to access your PESP account. Loan amounts may be distributed to you by check or electronic funds transfer (ACH) only. Generally, loans are distributed to you within two weeks after the loan process is initiated. By signing the check, you are agreeing to the terms of the loan.

Note: There is a one-time $50 processing fee, which will be taken from the loan amount, for each new loan taken.

You may have only one loan outstanding at a time. Once you repay the loan, you must wait ten calendar days before requesting another loan. If you have a loan in default, you may not take out another loan until the defaulted loan is closed out or paid in full. (See the "**Loans in Default**" section for more information.)

Section 16 Officers and Designated Persons may initiate a loan from their PESP accounts during both closed and open trading windows. During a closed trading window, the proceeds for the loan will be taken from all investments except for the PFI Common Stock Fund. As a result, prior clearance is not required. Loans taken during an open trading window may need to be precleared if the loan proceeds will be taken from all your investments including the PFI Common Stock Fund. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

How Much You Can Borrow

The minimum amount you may borrow is $500. The maximum amount you may borrow is the least of:

- 100% of your Before-Tax Account and your Before-Tax Rollover Accounts balances;
- 50% of your entire Vested PESP account balance (including all contributions and the related investment results); or
- $50,000, less your highest outstanding loan balance(s) you currently have or may have had from any qualified plan maintained by an Affiliate in the previous 12 months (a loan granted on or after January 1, 2002, that has defaulted will continue to be treated as an outstanding loan, which will continue to accrue interest charges, until the date the loan is closed out).

However, certain other restrictions may apply (for example, related to loans from certain other Tax-Qualified Plans maintained by an Affiliate being counted for purposes of the $50,000 limitation mentioned earlier, etc.).

Interest on Your Loan

The loan interest rate will be the prime rate, as published in The Wall Street Journal, for the 15th business day of the month preceding the calendar quarter in which your loan is granted. For example, if your loan is granted in the fourth quarter (October through December), the interest rate will be the prime rate on the 15th business day of September. Once set, your loan's interest rate will generally remain fixed for the term of your loan.

Special provisions may apply if you are called to active duty military service. See the "**Qualified Military Service**" section for more information.

Repaying a Loan

You must repay your loan over a period of one to five years at a fixed rate of interest. When you apply for the loan, you choose the repayment schedule, which cannot be changed during the term of the loan. Generally, you repay the loan, plus interest, through substantially level periodic payments by payroll deductions. This means that the entire principal you repay, plus interest, is put back into your own PESP account.

Loan repayments will begin as soon as administratively practicable following approval of your loan application. Loan repayments are applied to your PESP account according to your investment allocation elections at the time of the repayment.

Repayments will be invested according to the investment elections in effect for each contribution type at the time repayments are made, including the PFI Common Stock Fund. Any loan repayments allocated to the PFI Common Stock Fund will be made to the non-ESOP portion of the fund (and then will become part of the annual sweep into the ESOP portion if they are Vested and remain on account at the time of the sweep).

Repayments of loans taken by Section 16 Officers and Designated Persons during a closed trading window will be invested in the investments from which the proceeds were taken. Repayments of loans taken by Designated Persons during an open trading window will be invested according to the investment elections in effect for each contribution type at the time repayments are made. In the event the proceeds were originally taken from the PFI Common Stock Fund, the loan repayment cannot be made until the window opens. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

Certain situations may impact your loan repayment:

- If you transfer to a Non-Participating Affiliate and you have an outstanding loan, you must submit certified checks, personal checks, money orders or bank wire transfers to continue repayment of that loan.
- Special provisions may apply if you are on an approved leave of absence. For information, see the "**If You Take a Leave of Absence**" section.

For information on loan repayments, including wire transfer instructions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

At any time during the term of the loan, you may repay your total outstanding loan balance in full–known as a single-sum repayment–after the first regular payment has been applied. Partial repayments are also permitted. Any repayment made outside of payroll deductions may be made by certified check, personal check, money order or bank wire transfer. Section 16 Officers and Designated Persons cannot make single-sum repayments or partial repayments during closed trading windows, if any portion of the repayment will be invested in the PFI Common Stock Fund and will need to pre-clear a repayment or partial repayment made during open trading windows if any portion of the repayment or partial repayment will be invested in the PFI Common Stock Fund. Such single-sum repayments or partial repayments are permitted during closed trading windows if no portion of the repayment will be invested in the PFI Common Stock Fund. (See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for more information.)

To determine your single-sum repayment amount, access the Empower website (at **www.empower.com/prudential**) or call Empower at 1-800-PRU-PESP (1-800-778-7377).

The balance of any outstanding loan becomes due and payable when your Employment with the Company or any of its Affiliates ends for any reason, including, but not limited to, retirement, disability or death. You must repay in full any outstanding loan balance within 60 days after the date your Employment ends to avoid having the loan default. Interest will continue to accrue during this 60-day period. If, prior to the end of the 60-day period, you take a full distribution from your PESP account without first repaying your loan in full, the loan will automatically be placed in default on the date of the distribution. You may, however, take partial distributions from your PESP account during the 60-day period without triggering an early default provided you retain a balance (excluding the loan note) in your account after the partial distribution is taken. If you default on a loan, there may be special tax consequences. (See the "**Loans in Default**" section for information.)

If you have an outstanding loan, you are subject to the terms and conditions of the loan agreement (and other loan documents) made at the time you took the loan.

Loans in Default

When a loan is in default, the unpaid balance of the loan (principal and interest) could become a taxable event to you. You are permitted to repay the loan in a single sum equal to the entire outstanding balance of the loan (principal and interest) after default, but before it is closed out under PESP. If you have a loan in default, you may not take another loan until the defaulted loan is closed out under PESP. (See the information at the end of this section for rules as to when loans are closed out under PESP.)

A loan that is not repaid will be in default upon the later of:

- The earliest of:
  - The 60th day following the date of a missed scheduled loan payment for which no payment was received during the 60 days following the missed scheduled payment (see Example 1 below);
  - The 60th day following the date your Employment with the Company or any of its Affiliates ends (see Example 2 below);
  - The 60th day following the end date defined by the loan term period (see Example 3 below); or
  - The date you obtain a final distribution of your PESP account, if the distribution occurs within 60 days after Employment termination and your loan has not been repaid in full by that date (see Example 4 below);

Or

- Such other date as determined by the Administrative Committee in its sole discretion, to the extent permitted by IRS regulations.

Loan Default Timing Examples

Example 1: If you are paid on a biweekly basis, miss a scheduled loan payment on May 4 and make no loan payments before July 3, your loan would be considered in default on July 3 – the 60th day following the missed payment scheduled for May 4. However, if you miss a scheduled loan payment on May 4, but make your scheduled payment on May 18 and make no further loan payments before July 17, your loan would be considered in default on July 17 – the 60th day following the May 18 scheduled payment, because the May 18 payment would be used to satisfy the missed loan payment scheduled for May 4.

Example 2: If your Employment ends on July 1, and you do not pay off your loan or take any distributions, your loan would be considered in default on August 29.

Example 3: If the term of your loan is for five years and your loan is not repaid by the end of the term, then your loan would be considered in default on the 60th day following the day the last payment should have been received.

Example 4: If your Employment ends on July 1 and you receive a final distribution from PESP on July 15 and you do not repay your outstanding loan, the loan would be considered in default on July 15.

If payment is not received within the period described above, your loan will be in default and the outstanding balance (principal and interest) of your loan will be treated as a deemed distribution for Federal income tax purposes. This deemed distribution will be reported to you and to the Internal Revenue Service (IRS) on IRS Form 1099-R. The form will be mailed to you by the end of January of the year following the Calendar Year in which the deemed distribution is made.

If a loan from your Before-Tax Account is in default, the loan will not be closed out until the earliest of the following events:

- You become totally disabled as defined under The Prudential Welfare Benefits Plan (or, if you are an Employee of Assurance IQ, you begin to receive Social Security Disability Income benefits);
- You reach age 59½;
- You leave the Company or any of its Affiliates;
- You die; or
- The Plan is terminated.

If a loan from any of your Before-Tax Rollover Accounts is in default, PESP will, on the default date, immediately close out the loan, and any outstanding balance (principal and interest) will be treated as a deemed distribution from the applicable Before-Tax Rollover Account for Federal income tax purposes as described above.

Accessing Your Money While You Are Employed with Prudential and its Affiliates (Withdrawals)

If you are an active Employee, you may be able to withdraw money from your PESP account, subject to certain limitations, taxes and tax penalties. When you take money from your Vested PESP account (other than in the form of a loan), you are making a withdrawal.

There are five types of withdrawals available under the Plan:

- In-service withdrawals;
- Qualifying hardship withdrawals;
- Qualified Birth or Adoption Distributions (QBAD);
- Domestic Abuse Violence Withdrawals; and
- Qualified Disaster Recovery Distributions.

These withdrawals are subject to certain restrictions:

- Withdrawals are paid in cash equivalents (that is, by check or Electronic Funds Transfer [EFT]). However, if a portion of your Vested account balance is invested in the PFI Common Stock Fund (either the ESOP or non-ESOP portions), you may choose to receive the portion of your distribution from the PFI Common Stock Fund entirely in PFI Common Stock (any fractional shares of PFI Common Stock will be distributed in cash). If you choose this option, you will retain ownership of your shares through an account at ComputerShare (fractional shares will be distributed in cash). The remaining account balance will be distributed in cash equivalents. You will not receive actual paper shares of stock. See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for more information.
- The withdrawal amount will be taken proportionally from each of the investment options (including the ESOP portion of the PFI Common Stock Fund) in which the affected withdrawn PESP account is invested.

In-Service Withdrawals

You must be actively Employed by the Company or any of its Affiliates to make an in-service withdrawal. See the "**Withdrawals From Your Account**" section for information on amounts available for in-service withdrawals. Also, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

There is no restriction on the number of withdrawals you can make each Calendar Year. Amounts in your Company Match 1 and 2 Accounts, any amounts in your Assurance Match Account and any amounts in your Other Company Contributions Accounts are not available for certain types of withdrawals.

You are generally subject to a 10% Federal early distribution tax on the taxable portions of the withdrawal if you are under age 59½, in addition to the regular income tax that applies to everyone who receives such a withdrawal, unless you qualify for an exception. (See the "**Tax Treatment of Distributions and Withdrawals**" section for more information.)

Generally, in-service withdrawals cannot be repaid to your account.

For more information on these in-service withdrawal rules, see the "**Withdrawals From Your Account**" chart.

Qualifying Hardship Withdrawals

Hardship withdrawals are governed by Internal Revenue Code rules. To qualify for a hardship withdrawal, you must be actively Employed by the Company or any of its Affiliates, and you must demonstrate that you need the money to meet an immediate and heavy financial need for which you have no other resources reasonably available to you. The hardship withdrawal may be for your own immediate and heavy financial need or the immediate and heavy financial need of your Spouse or eligible dependent. The immediate and heavy financial need must also be from one of the six categories listed below:

- **Medical Expenses:** Payment of certain medical expenses that would be deductible under Internal Revenue Code Section 213(d) (determined without regard to whether the expenses exceed the percent of adjusted gross income permitted for deductible medical expenses for you, your Spouse, your Primary Beneficiary, or your eligible dependents [as defined in Internal Revenue Code Section 152]), or payment of necessary expenses for these individuals to obtain medical care;
- **Purchase of Primary Residence:** Costs directly related to the purchase of your primary residence, excluding mortgage payments;
- **Tuition and Related Expenses:** Payment of tuition, related educational fees, and room and board expenses for the next 12 months of post-secondary education for you, your Spouse, your Primary Beneficiary, or your eligible dependents (as defined in Internal Revenue Code Section 152);
- **Eviction or Foreclosure:** Payments necessary to prevent your eviction from, or foreclosure on a mortgage on, your principal residence;
- **Burial Expenses:** Payment of funeral and/or burial expenses for your parent, Spouse, child, Primary Beneficiary or other eligible dependent (as defined in Code Section 152, without regard to Code Section 152(d)(1)(B)); or
- **Home Repair Expenses:** Payments necessary to repair damage to your principal residence where such damage would qualify for a casualty loss (that would qualify for the casualty deduction under Code Section 165, determined without regard to Code Section 165(h)(5) and without regard to whether the loss exceeds 10% of your adjusted gross income) and regardless of whether your primary residence is located in a disaster area designated by the Federal Emergency Management Agency (FEMA).

The amount of the hardship withdrawal must be no more than the amount needed to relieve the immediate and heavy financial need; however, this amount may include anticipated income tax and penalty amounts that may result from the hardship withdrawal.

You must obtain other available withdrawals (other than hardship withdrawals and loans) under the Plan and all other Company deferred compensation plans before requesting a hardship withdrawal form the Plan. You must provide documentation of the need for the qualifying hardship withdrawal (as noted during the withdrawal process). You must also represent to the Administrative Committee that you have insufficient cash or other liquid assets reasonably available to satisfy the financial need, and the Administrative Committee must not have actual knowledge to the contrary.

To apply for a hardship withdrawal, you may apply online on the Empower website (at **www.empower.com/prudential**).

In addition, if you:

- Take a qualifying hardship withdrawal, the taxable portion of the withdrawal will be subject to 10% voluntary Federal income tax withholding and will not be eligible for rollover treatment.
- Are under age 59½ at the time you receive a qualifying hardship withdrawal, you are generally subject to a 10% Federal early distribution tax on the taxable portion of the withdrawal, in addition to the regular income tax that applies to everyone who receives such a withdrawal, unless you qualify for an exception. (See the "**Tax Treatment of Distributions and Withdrawals**" section for more information.)
- Take a qualifying hardship withdrawal, your contributions to PESP through payroll deduction will continue to be made, unless you change your deferral election(s). You are free to change or suspend your deferral election(s) to PESP at any time.

ESOP Dividends: If you are considering taking a qualifying hardship withdrawal from PESP and you are eligible to make an election with respect to dividends declared and paid for shares of PFI Common Stock credited to your account, you may want to consider electing to receive your dividends in cash. See the "**ESOP Cash Dividend Election and Dividend Distributions**" section for more information.

See the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons.

Hardship withdrawals cannot be repaid to your account.

For more information on these hardship withdrawal rules, see the "**Withdrawals From Your Account**" section, which describes the eligible contributions that may be distributed to satisfy a hardship withdrawal and the order in which eligible contributions will be distributed from your PESP account.

Qualified Birth or Adoption Distributions

Qualified Birth or Adoption Distributions (QBAD) are governed by Internal Revenue Code rules. A QBAD must be made during the one-year period beginning on the date on which your child is born or on which your legal adoption of an eligible adoptee is finalized. An eligible adoptee is an individual, other than a child of your spouse, who has not attained age 18 or is disabled (as defined in Internal Revenue Code Section 72(m)(7)). The amount of the QBAD may not exceed $5,000 per child or eligible adoptee.

The following provisions apply to a QBAD:

- You may obtain the QBAD from your Before-Tax Account and/or your Roth 401(k) Account.
- The QBAD will be paid to you and will not be eligible for rollover treatment.
- You may repay the QBAD as a Rollover Contribution; repayment may not exceed the amount of the QBAD. (See the "**Rollover Contributions**" section for more information.) If you choose to repay the QBAD, you are generally subject to a three-year repayment period. A repayment date will be communicated to you when you request a QBAD distribution.
- The 10% Federal early distribution tax does not apply to any QBAD; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- QBADs are not subject to 20% mandatory Federal income tax withholding.

To request a QBAD or if you have any questions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Domestic Abuse Violence Withdrawal (Effective May 1, 2024)

Domestic Abuse Violence Withdrawals are governed by Internal Revenue Code rules. A Domestic Abuse Violence Withdrawal must be made within one year of an incident of abuse. A Domestic Abuse Violence Withdrawal, when added to all previous domestic abuse distributions from PESP, all other employer plans and IRAs, is limited to the lesser of $10,000 or 50% of your account balance.

Under SECURE Act 2.0 section 314, domestic abuse is defined as "physical, psychological, sexual, emotional, or economic abuse, including efforts to control, isolate, humiliate, or intimidate the victim, or to undermine the victim's ability to reason independently, including by means of abuse of the victim's child or another family member living in the household."

The following provisions apply to a Domestic Abuse Violence Withdrawal:

- Applications for a Domestic Abuse Violence Withdrawal may be made beginning May 1, 2024. An application must be received by Empower at least five days before the one-year deadline to allow time for processing.
- When you apply for a Domestic Abuse Violence Withdrawal, you will need to certify that the amount requested satisfies the requirements for a Domestic Abuse Violence Withdrawal and that the amount of the distribution requested, when added to all previous domestic abuse distributions from all other employer plans and IRAs, does not exceed the lesser of $10,000 or 50% of your vested account balance.
- You may only receive one distribution per twelve-month period from PESP.

- The Domestic Abuse Violence Withdrawal will be paid to you and will not be eligible for rollover treatment.
- You may repay the Domestic Abuse Violence Withdrawal as a Rollover Contribution; repayment may not exceed the amount of the distribution. (See the "**Rollover Contributions**" section for more information.) If you choose to repay the distribution, you are generally subject to a three-year repayment period.
- The 10% Federal early distribution tax does not apply to any Domestic Abuse Violence Withdrawal; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- Domestic Abuse Violence Withdrawals are not subject to 20% mandatory Federal income tax withholding, but rather will be subject to 10% Federal income tax withholding, unless you elect otherwise.

See the "**Withdrawals From Your Account**" section for information on the eligible contributions that may be distributed as a Domestic Abuse Violence Withdrawal.

To request a Domestic Abuse Violence Withdrawal or if you have any questions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Qualified Disaster Recovery Distributions (Effective October 15, 2024)

Qualified Disaster Recovery Distributions are governed by Internal Revenue Code rules. A Qualified Disaster Recovery Distribution must be made during the 179-day period beginning on the disaster start date. Qualified Disaster Recovery Distributions are limited to $22,000 across all qualified retirement plans, including IRAs, and across all tax years with respect to a single disaster.

To qualify for a Qualified Disaster Recovery Distribution, you must:

- Have experienced an economic loss because of a disaster;
- Have a principal residence in a federally declared disaster area; and
- Take the distribution within 179 days of the disaster start date with the distribution being completed within 180 days of that date. The start date of the disaster is defined as the later of:
  - The first date of the period specified by the Federal Emergency Management Agency (FEMA) as the period that the disaster occurred; and
  - The date of the disaster declaration.

The following provisions apply to a Qualified Disaster Recovery Distribution:

- Applications for a Qualified Disaster Recovery Distribution may be made beginning October 1, 2024 (even if the disaster occurred before this date).
- When you apply for a Qualified Disaster Recovery Distribution, you will need to certify that the amount requested satisfies the requirements for a Qualified Disaster Recovery Distribution and does not exceed the aggregate $22,000 limit across other retirement plans and IRAs.
- The Qualified Disaster Recovery Distribution will be paid to you and will not be eligible for rollover treatment.
- You may repay the Qualified Disaster Recovery Distribution as a Rollover Contribution; repayment may not exceed the amount of the distribution. (See the "**Rollover Contributions**" section for more information.) If you choose to repay the distribution, you are generally subject to a three-year repayment period.
- The 10% Federal early distribution tax does not apply to any Qualified Disaster Recovery Distribution; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- Qualified Disaster Recovery Distributions are not subject to 20% mandatory Federal income tax withholding.

You may only obtain a Qualified Disaster Recovery Distribution from Vested funds in your account. See the "**Withdrawals From Your Account**" section for information on the eligible contributions that may be distributed as a Qualified Disaster Recovery Distribution and the order in which eligible contributions will be distributed from your PESP account.

To request a Qualified Disaster Recovery Distribution or if you have any questions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Withdrawals From Your Account

For In-Service Withdrawals (other than hardship withdrawals and Qualified Disaster Recovery Distributions) and for QBADs, you may select the eligible contributions (i.e., money sources) to be distributed from your PESP account, as described in the following information. If you do not make a selection or you process your withdrawal on the Empower website, the distribution will be taken from the eligible contributions in your PESP account on a pro rata basis. Your withdrawal will be taken on a pro rata basis from all investments in your PESP account, with IncomeFlex funds distributed last. If you would like to take a withdrawal of specific eligible contributions, you will need to complete a paper form (available on the Empower website) and submit to Empower as indicated on the form.

Type of Withdrawal	You may elect to have your withdrawal made from any of the contribution types (including related contribution types) listed below, subject to satisfying the applicable eligibility rules:
In-Service Withdrawals	If you are under age 59½, the following are available for in-service withdrawal: • Your After-Tax Contributions made before 1987; • Your After-Tax Contributions made after 1986 (including After-Tax Rollover Contributions) and a pro rata portion of the related investment results on all After-Tax Contributions; • Your After-Tax Rollover Account; • Any of your Before-Tax Rollover Accounts; • Your Roth 401(k) Rollover Account; • Your Prior Roth In-Plan Rollover Account; and • Your Prior Company Contributions Account (excluding Prior MullinTBG Employer Contributions). If you are age 59½ or older, you may also withdraw the following: • Your Before-Tax Account; • Your Roth 401(k) Account; and • Any of your Roth In-Plan Conversion Accounts.
Qualified Birth or Adoption Distributions	• Your Before-Tax Account; and • Your Roth 401(k) Account.
Domestic Abuse Violence Withdrawal	• Your accounts in the After-Tax Money Source Grouping; • Your accounts in the Pre-Tax Money Source Grouping; and • Your accounts in the Roth Money Source Grouping.

Hardship withdrawals and Qualified Disaster Recovery Distributions must be made from your PESP account in a specific order, as follows:

- Your After-Tax Contributions made before 1987;
- Your After-Tax Contributions made after 1986 (including After-Tax Rollover Contributions) and a pro rata portion of the related investment results on all After-Tax Contributions;
- Your After-Tax Rollover Account;
- Your Before-Tax Rollover Accounts;
- Your Roth 401(k) Rollover Account;
- Your Prior Company Contributions Account (including Prior MullinTBG Employer Contributions);
- Your Before-Tax Account;
- Your Roth 401(k) Account;
- Your Roth In-Plan Conversion Accounts;
- Your Prior Roth In-Plan Rollover Account;

- Your Qualified Matching Contributions Account; and
- Your Qualified Non-Elective Contributions Account.

In connection with any decision to take a withdrawal from PESP, we encourage you to consult with your own tax, financial and/or legal advisor. For a description of the general Federal tax consequences of obtaining distributions from PESP, see the "**Tax Treatment of Distributions and Withdrawals**" section.

Accessing Your Money After Your Employment with Prudential and its Affiliates Ends (Distributions)

Your entire Vested PESP account is available to be paid 30 days after your Employment with the Company or any of its Affiliates ends, you become totally disabled under the terms of The Prudential Welfare Benefits Plan (or, if you are an employee of Assurance IQ, you begin receiving disability benefits from Social Security) or you die. (See the "**Tax Treatment of Distributions and Withdrawals**" section for more information.)

If your period of service with the Company and its Affiliates ends (or has ended) for any reason, including a divestiture, you generally will be eligible for payment of any portion of your Vested PESP account. One exception would be if your PESP account were transferred to a Tax-Qualified Plan sponsored by your new employer, in which case availability of your account balance would be governed by the terms of the new plan.

Automatic Payment of Small Balances

If your Vested PESP account balance is greater than $1,000, but is not more than $5,000 (or $7,000 starting April 1, 2024), your Vested account balance will be rolled over to an IRA and/or Roth IRA (if applicable) designated by the Plan, unless you elect to:

- Receive the entire portion of your account invested in the PFI Common Stock Fund in the form of shares of PFI Common Stock. You will retain ownership of your shares through an account at ComputerShare. Any fractional shares will be distributed in cash equivalents;
- Have your account paid to you in cash; or
- Have your account rolled over to an IRA, and/or Roth IRA (if applicable) or another Tax-Qualified Plan. See the "**Choosing to Roll Over Your Account into an IRA or Another Tax-Qualified Plan**" section for information.

If your Vested account balance is rolled over to an IRA and/or Roth IRA (if applicable) designated by the Plan, you will receive a written explanation describing the Plan's automatic rollover procedures, the nature of the investment product in which your distribution will be invested, and how the fees and expenses will be allocated.

Note: If you are age 65 or older at the time your distribution is made and you do not make a timely distribution election, your account will be distributed to you in a lump sum cash payment; your account will not be rolled over to an IRA.

If your Vested PESP account balance is $1,000 or less, and you do not elect another form of payment and you do not elect to roll it over to another Tax-Qualified Plan, it will be automatically distributed to you in a lump sum as cash.

Distributions from Your Account

You may select to receive a distribution from any of the following eligible contributions (i.e., money sources):

- Your After-Tax Contributions made before 1987;
- Your After-Tax Contributions made after 1986 (including After-Tax Rollover Contributions) and a pro rata portion of the related investment results on all After-Tax Contributions;
- Your After-Tax Rollover Account;
- Any of your Before-Tax Rollover Accounts;
- Your Roth 401(k) Rollover Account;
- Your Prior Company Contributions Account;
- Your Before-Tax Account;
- Your Roth 401(k) Account;

- Any of your Roth In-Plan Conversion Accounts;
- Your Prior Roth In-Plan Rollover Account;
- Your Qualified Matching Contributions Account;
- Your Qualified Non-Elective Contributions Account;
- Your Vested Discretionary Company Contributions Account;
- Your Vested Company Match 1 Account;
- Your Vested Company Match 2 Account; and
- Your Vested Assurance Match Account.

If you do not make a selection or you process your distribution on the Empower website, the distribution will be taken from the eligible contributions in your PESP account on a pro rata basis. Your distribution will be taken on a pro rata basis from all investments in your PESP account, with IncomeFlex funds distributed last. If you would like to take a distribution of specific eligible contributions, you will need to complete a paper form (available on the Empower website) and submit to Empower as indicated on the form.

How Your Vested Account Balance May Be Paid

If you are eligible to receive a distribution, you have several choices as to how your account balance may be paid if your Vested account balance exceeds $5,000 (or $7,000 starting April 1, 2024, or such higher amount as may be permitted under applicable law). Your election will be effective as soon as administratively practicable. You may request to have your entire Vested account balance or a portion of it:

- Paid to you in a single lump sum;
- Paid in any Annuity form that is available under the Plan (minimum purchase amount of $5,000 prior to April 1, 2024, or $7,000 starting April 1, 2024);
- Paid to you in monthly, quarterly or annual installments;
- Directly rolled over in cash and/or PFI Common Stock (if you meet certain requirements) to an IRA or another Tax-Qualified Plan;
- Paid to you as IncomeFlex lifetime withdrawals; or
- Paid to you in any combination of the above payment options.

Distributions are generally paid entirely as cash equivalents (that is, by check or electronic funds transfer [EFT]). However, if you elect a lump sum distribution of a portion or all of your Vested account balance, and if a portion of your Vested account balance is invested in the PFI Common Stock Fund, you may choose to receive the value of your PFI Common Stock Fund (both the ESOP and the non-ESOP portions together) entirely in PFI Common Stock. If you choose this option, you will retain ownership of your shares through an account at ComputerShare (fractional shares will be distributed in cash). The remaining account balance will be distributed in cash equivalents.

If you elect to receive PFI Common Stock, you will not receive share certificates. Instead, your shares will be transferred to ComputerShare and you will incur fees to sell or transfer those shares. However, see the "**Restrictions on Transactions in the PFI Common Stock Fund**" section for information on insider trading restrictions, as well as restrictions on Section 16 Officers and Designated Persons. Generally, you may not receive a distribution in the form of PFI Common Stock if you elect an Annuity form of payment, or had elected installments. However, if you are currently receiving installment payments and you decide to receive the value of your remaining installment payments as a lump sum distribution, you may elect to receive a portion of your lump sum distribution in PFI Common Stock, if applicable.

If you do not specify how you want to receive your PESP money, the distribution of your account will be determined in accordance with the Plan and sent to you when required. (See the "**Distributions After You Reach Your Required Minimum Distribution Age**" section for more information.)

Choosing a Lump Sum Distribution

You may choose to receive all or a portion of your Vested account balance in a single lump sum. If you receive a single lump sum distribution, no further benefits are payable from PESP. See the "**Partial Distributions**" section for more information. If you elect to receive a distribution but do not roll it over to another eligible retirement plan, such action triggers taxation (possibly including a 10% Federal early distribution tax), results in loss of future tax-deferred earnings (if any) and may diminish the funds available to you for retirement purposes.

Choosing an Annuity

Generally, you may choose to receive all or a portion of your Vested account balance (minimum purchase amount of $5,000 prior to April 1, 2024, or $7,000 starting April 1, 2024) in any form of Annuity that is available under the Plan.

If you are:

- **Single** at the time of distribution, you may choose any type of Annuity available under the Plan that you wish (subject to Internal Revenue Code Required Minimum Distribution [RMD] rules); or
- **Married** at the time of distribution, you will receive your Annuity as a 50% Joint and Survivor Annuity with a 10-year guaranteed payment period. You may choose another form of Annuity payment, but you will need your Spouse's written, notarized consent.

  Under the 50% Joint and Survivor Annuity with a 10-year guaranteed payment period, you will receive monthly payments until you die. If you die before your Spouse, the benefit amount paid to your surviving Spouse will be 50% of the amount you were receiving and will be paid until your Spouse dies. However, if you die before you receive 120 guaranteed monthly payments, the remainder of the guaranteed monthly payments will be made to your surviving Spouse. Then, after the guaranteed 10-year period ends, the benefit amount paid to your Spouse will be reduced to 50% of the original amount and will be paid until your Spouse dies.

  If both you and your Spouse die before 120 payments have been made, the remainder of the guaranteed monthly payments will be paid to your alternate Beneficiary(ies), if any, or to your estate. Once all guaranteed monthly payments have been made, all benefits will stop.

Two additional options–75% and 100% Joint and Survivor Annuities–are also available whether you are single or married. You may designate anyone as your Beneficiary (subject to RMD rules). For these Annuities, your Spouse's written, notarized consent is needed. Under these optional forms of payment, you will receive monthly payments until you die. If you die prior to your Beneficiary, the benefit amount paid to your Beneficiary will be 75% or 100%, depending on your election, of the amount you were receiving and will be paid until your Beneficiary dies. Note that, the higher the survivor benefit you elect, the lower your benefit will be.

Choosing Installments

You may choose to receive all or a portion of your Vested account balance in installments. Installment payments may be made monthly, quarterly or annually, according to rules established by the Administrative Committee.

Choosing to Roll Over Your Account into an IRA or Another Tax-Qualified Plan

You may choose to roll over all or a portion of your Vested PESP account into a traditional IRA (excluding a SIMPLE IRA or a Coverdell Education Savings Account), a Roth IRA or another Tax-Qualified Plan (including a governmental 457(b) plan that agrees to separately account for such amounts). Here are a few things to consider when deciding whether to roll over your PESP account:

- If you elect to roll over your PESP account to another eligible retirement plan, such as an IRA, the investment options offered under PESP (e.g., mutual funds, employer stock) may not be available to you or, if available, are likely to carry higher expenses if transferred to an IRA.
- Roth 401(k) Contributions can be directly rolled over to a Roth IRA or another employer's Tax-Qualified Plan that accepts Roth 401(k) rollovers and provides separate accounting for Roth 401(k) rollover amounts.

- After-Tax Contributions can be directly rolled over from your PESP account to another employer plan, annuity plan and/or tax-sheltered annuity if the other plan or annuity provides separate accounting for amounts rolled over, including separate accounting for the earnings on the After-Tax amounts. You **cannot** roll over After-Tax Contributions to a governmental 457(b) plan.
- Non-Roth 401(k) amounts can be rolled over into a Roth IRA if you meet certain requirements.
- You may be able to transfer or roll over all or part of your IncomeFlex Select guarantees to the Empower Retirement Security Annuity, an Empower Annuity contract that can be part of an Empower rollover IRA. The Empower Retirement Security Annuity is subject to regulatory approval in the state or territory where you live, and may have restrictions, substantially different fees and different provisions affecting the guarantees.
- You may be able to transfer or roll over all or part of your IncomeFlex Target guarantees to the Empower Retirement Security Annuity III, an Empower Annuity contract that can be part of an Empower SmartSolution IRA. The Empower Retirement Security Annuity III is subject to regulatory approval in the state or territory where you live, and may have restrictions, substantially different fees and different provisions affecting the guarantees.

See the "**Eligible Rollover Distributions**" section for more information about rolling over your Vested PESP account.

To make sure your rollover is successfully executed, you will need to follow the directions of your new employer or the institution, such as a bank, that will be receiving your distribution from PESP.

Choosing IncomeFlex Select and IncomeFlex Target Lifetime Withdrawals

If you are age 55 or older, IncomeFlex Select and IncomeFlex Target allow you to lock in a certain level of income that will be available for you to withdraw as retirement income every year for life. You can get more detailed information about IncomeFlex by signing on to the Empower website (at **www.empower.com/prudential**) and reviewing the "*IncomeFlex Important Considerations*" brochure.

Choosing Any Combination of Payment Methods

You can choose to receive your Vested PESP account balance through a combination of the payment methods available under the Plan. However, you will be subject to any restrictions that apply for each payment method you select.

Partial Distributions

If you have deferred receipt of your PESP account, you may take a partial distribution from your Vested account at any time. The distribution amount will be taken proportionally from each of the investment options in which the affected distributed PESP account is invested.

Distributions After You Reach Your Required Minimum Distribution Age

The Required Minimum Distribution (RMD) rules establish a Required Beginning Date, after which you must begin to receive distributions from your PESP account. Generally, your Required Beginning Date is April 1 of the Calendar Year in which you reach your required minimum distribution age. Your required minimum distribution age is:

- 70½ if you were born prior to July 1, 1949;
- 72 if you were born on or after July 1, 1949, but prior to 1951;
- 73 if you were born in 1951 through 1959; or
- 75 if you were born in 1960 or later.

However, if you are still Employed with the Company or any of its Affiliates when you reach your required minimum distribution age, you will not be required to begin receiving your PESP money until after your Employment ends.

Note: There may be a tax penalty if you do not take a RMD when required. Contact Empower at 1-800-PRU-PESP (1-800-778-7377) for more information.

Important: Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

Generally, the amount of your RMD payment each year will equal:

- Your account balance* as of the December 31 preceding the year for which the RMD is being paid;

Divided by

- A factor determined using the Uniform Lifetime table that is published by the IRS (unless your sole Beneficiary is your Spouse, or a non-Spouse Beneficiary or Alternate Payee under a QDRO, and is more than ten years younger than you, in which case you use a different IRS table based on the joint life expectancy of you and your Spouse).

  * Effective January 1, 2024, RMDs are no longer required to be taken from Roth contributions; therefore, when calculating an RMD payment for 2024 and later, Roth contributions will be excluded.

If you reach your required minimum distribution age after your Employment with the Company or any of its Affiliates ends, you will begin to receive these RMD payments unless you elect to receive your account more rapidly.

See the "**Distributions from Your Account**" section for more information.

Distribution in Case of Physical/Mental Incapacity

If you or anyone else entitled to a benefit under the Plan is a minor or determined by a court of competent jurisdiction to be physically or mentally incompetent, any benefits payable under the Plan will be distributed to or in accordance with the directions of a legally appointed guardian or other legal representative.

Qualified Birth or Adoption Distributions

Qualified Birth or Adoption Distributions (QBAD) are governed by Internal Revenue Code rules. A QBAD must be made during the one-year period beginning on the date on which your child is born or on which your legal adoption of an eligible adoptee is finalized. An eligible adoptee is an individual, other than a child of your spouse, who has not attained age 18 or is disabled (as defined in Internal Revenue Code Section 72(m)(7)). The amount of the QBAD may not exceed $5,000 (per child or eligible adoptee).

The following provisions apply to a QBAD:

- You may obtain the QBAD from your Before-Tax Account and/or Roth 401(k) Account.
- The QBAD will be paid to you and will not be eligible for rollover treatment.
- You may repay the QBAD as a Rollover Contribution; repayment may not exceed the amount of the QBAD. (See the "**Rollover Contributions**" section for more information.) If you choose to repay the QBAD, you are generally subject to a three-year repayment period. A repayment date will be communicated to you when you request a QBAD distribution.
- The 10% Federal early distribution tax does not apply to any QBAD; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- QBADs are not subject to 20% mandatory Federal income tax withholding.

To request a QBAD or if you have any questions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Domestic Abuse Violence Withdrawal (Effective May 1, 2024)

Domestic Abuse Violence Withdrawals are governed by Internal Revenue Code rules. A Domestic Abuse Violence Withdrawal must be made within one year of an incident of abuse. A Domestic Abuse Violence Withdrawal, when added to all previous domestic abuse distributions from PESP, all other employer plans and IRAs, is limited to the lesser of $10,000 or 50% of your account balance.

Under SECURE Act 2.0 section 314, domestic abuse is defined as “physical, psychological, sexual, emotional, or economic abuse, including efforts to control, isolate, humiliate, or intimidate the victim, or to undermine the victim’s ability to reason independently, including by means of abuse of the victim’s child or another family member living in the household.”

The following provisions apply to a Domestic Abuse Violence Withdrawal:

- Applications for a Domestic Abuse Violence Withdrawal may be made beginning May 1, 2024. An application must be received by Empower at least five days before the one-year deadline to allow time for processing.
- When you apply for a Domestic Abuse Violence Withdrawal, you will need to certify that the amount requested satisfies the requirements for a Domestic Abuse Violence Withdrawal and that the amount of the distribution requested, when added to all previous domestic abuse distributions from all other employer plans and IRAs, does not exceed the lesser of $10,000 or 50% of your vested account balance.
- You may only receive one distribution per twelve-month period from PESP.
- You may obtain a Domestic Abuse Violence Withdrawal from vested funds in your account. Distributions will be processed pro rata across all vested Money Source Groupings and investments.
- The Domestic Abuse Violence Withdrawal will be paid to you and will not be eligible for rollover treatment.
- You may repay the Domestic Abuse Violence Withdrawal as a Rollover Contribution; repayment may not exceed the amount of the distribution. (See the “**Rollover Contributions**” section for more information.) If you choose to repay the distribution, you are generally subject to a three-year repayment period.
- The 10% Federal early distribution tax does not apply to any Domestic Abuse Violence Withdrawal; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- Domestic Abuse Violence Withdrawals are not subject to 20% mandatory Federal income tax withholding, but rather will be subject to 10% Federal income tax withholding, unless you elect otherwise.

To request a Domestic Abuse Violence Withdrawal or if you have any questions, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Tax Treatment of Distributions and Withdrawals

The rules governing the income tax consequences of distributions from plans like PESP are complex. In this section the term "distribution" also includes withdrawals you may receive while you are Employed by Prudential or any of its Affiliates. This section is intended only to highlight some general tax information. Additional information can be found in the Special Tax Notice link, available on the Empower website (at **www.empower.com/prudential**) after you log in. You can also obtain a copy by calling 1-800-PRU-PESP (1-800-778-7377) and following the prompts to speak to a Customer Service Representative.

Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. You are encouraged to consult with your own tax, financial and/or legal advisors for advice regarding your situation.

In general, you are not taxed until you receive a distribution from your PESP account or you make a Roth In-Plan Conversion. When you receive a distribution, you may receive a separate check for the non-taxable portion of your distribution, if any. Generally, there is no Federal, state or local income tax withholding or 10% Federal early distribution tax associated with the non-taxable portion of your distribution (that is, any Roth 401(k) or After-Tax Contributions, but not necessarily any related investment results on such contributions).

In general, the appropriate Federal (and in most cases, state and local) income taxes will be withheld from the taxable portion of your distribution. The taxable portion generally includes:

- Before-Tax Contributions (including Before-Tax Catch-Up Contributions);
- Before-Tax Rollover Contributions;
- Vested Company Matching Contributions;
- Qualified Matching Contributions;
- Qualified Non-Elective Contributions;
- Vested Discretionary Company Contributions; and
- Any investment results related to Vested PESP contributions, including those related to After-Tax Contributions, After-Tax Rollover Contributions and Roth 401(k) Contributions, unless the investment results related to the Roth 401(k) Contributions are paid as part of a Qualified Roth Distribution. (Note that the tax consequences and reporting for any ESOP dividend distributions are discussed separately under the "**Tax Consequences and Reporting for ESOP Cash Dividend Distributions**" section.)

The Internal Revenue Code has rules on the taxation of distributions from the Plan. The tax treatment of your distribution may vary depending on how you receive your PESP account balance. In addition, taxes on a Plan distribution can be complex; you may want to determine the most tax-favorable payment methods for you before you receive a distribution.

If you take a distribution from your PESP account, it will be reported to you and to the Internal Revenue Service (IRS) on IRS Form 1099-R (see the "**Tax Consequences and Reporting for ESOP Cash Dividend Distributions**" section for additional information). This form will be mailed to you by the end of January of the year following the Calendar Year in which a distribution is made.

The following descriptions highlight several important tax rules.

Important: Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

Eligible Rollover Distributions

Generally, any single sum payment from PESP, including partial or total distributions and installment payments for less than ten years, is considered an eligible rollover distribution, if it is not a Required Minimum Distribution (RMD). All or part of any eligible rollover distribution you receive from PESP may be directly rolled over into another employer's Tax-Qualified Plan, including 403(b) plans or governmental 457(b) plans (subject to any rollover restrictions under the receiving plan), a traditional IRA (other than a SIMPLE IRA or a Coverdell Education Savings Account) or a Roth IRA. There are certain restrictions for rolling over Roth 401(k) and After-Tax Contributions:

- Your Roth 401(k) Account, Roth 401(k) Rollover Account and Roth In-Plan Conversion Accounts included in your eligible rollover distribution generally can be rolled over to a Roth IRA or another employer's Tax-Qualified Plan that accepts Roth 401(k) rollovers and provides separate accounting for Roth 401(k) rollover amounts.
- Your After-Tax Account and After-Tax Rollover Account included in your eligible rollover distribution can be rolled over to an IRA or another employer's Tax-Qualified Plan if the other plan or annuity provides separate accounting for amounts rolled over, including separate accounting for the earnings on the After-Tax amounts. You need to verify your receiving plan's rules. Your After-Tax Account and After-Tax Rollover Account cannot be rolled over to a governmental 457(b) plan.

Rollover of Non-Roth 401(k) Amounts

Non-Roth amounts in an eligible rollover distribution can be rolled over to another employer's Tax-Qualified Plan or a Traditional or Roth IRA. Tax treatment will differ depending on the type of rollover you choose.

- **Rollover to Another Employer's Tax-Qualified Plan or a Traditional IRA:** By directly rolling over some or all of the non-Roth 401(k) amounts to another employer's Tax-Qualified Plan or a traditional IRA, you can continue to defer Federal income taxes on the taxable amount of that portion of the distribution until you receive a distribution of those funds from the IRA or Tax-Qualified Plan to which you rolled them over. If you do not elect a direct rollover, the taxable portion of your eligible rollover distribution will be subject to 20% mandatory Federal income tax withholding and possibly an early distribution tax. For more information, see the "**20% Mandatory Federal Withholding Tax**" and "**10% Federal Early Distribution Tax**" sections.
- **Rollover to a Roth IRA:** The taxable portion of non-Roth 401(k) amounts directly rolled over from PESP to a Roth IRA will be taxable to you in the year in which your PESP distribution is paid, as if the amounts were not rolled over. The non-Roth 401(k) taxable amounts rolled over are not subject to 20% mandatory Federal income tax withholding or the 10% Federal early distribution tax; however, you may request voluntary withholding.

Rollover of Roth 401(k) Amounts

If the Roth 401(k) portion of your eligible rollover distribution (for example, Roth 401(k) Account, Roth 401(k) Rollover Account, and Roth In-Plan Conversion Accounts) does not meet the requirements for a tax-free Qualified Roth Distribution, you may want to roll it over to a Roth IRA or another employer's Tax-Qualified Plan that accepts Roth 401(k) rollovers. By directly rolling over some or all of your Roth 401(k) amounts, the taxable portion of the amount rolled over will not be taxed at the time of your PESP distribution and may be withdrawn tax-free in the future if it then meets the requirements for a Qualified Roth Distribution. Note that you can also roll over any of your Roth 401(k) accounts even if it does meet the requirements for a Qualified Roth Distribution and continue to have future investment earnings eligible to be withdrawn tax-free in the future if they then meet the requirements for a Qualified Roth Distribution. (See the "**Special Rules Applicable to Distributions of Roth 401(k) Contributions**" section for more information.)

Note: Currently Roth 401(k) IncomeFlex Select and IncomeFlex Target balances cannot be rolled over to a Roth IRA.

For More Information

You will receive more information about rollovers and taxation of distributions in your PESP distribution package.

Tax Treatment of Roth In-Plan Conversions

Roth In-Plan Conversions are treated as distributions or withdrawals that are rolled back into the Plan (although money does not leave the Plan). The distribution or withdrawal must be an eligible rollover distribution (see the "**Eligible Rollover Distributions**" section). If you elect to have the Plan convert all or part of the non-Roth amounts in your eligible rollover distribution, the taxable portion that is rolled back into the Plan is taxable to you in the year in which the conversion took place, as if it had not been rolled over. The taxable amounts rolled back into the Plan are not subject to 20% mandatory Federal income tax withholding or the 10% Federal early distribution tax; however, you may request voluntary withholding. See the "**Roth In-Plan Conversions**" section for more information.

20% Mandatory Federal Withholding Tax

Generally, payments of any taxable amounts from the Plan (for example, Before-Tax Contributions, Before-Tax Catch-Up Contributions, Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions, Discretionary Company Contributions, Before-Tax Rollover Contributions and all investment results, including investment results on After-Tax Contributions, After-Tax Rollover Contributions, and, in certain circumstances, investment results on Roth 401(k) Contributions, Roth 401(k) Rollovers and Roth In-Plan Conversions) are subject to 20% mandatory Federal income tax withholding, unless they are paid as a form of lifetime Annuity, installment payments for ten years or more, or directly rolled over, at your written request, to another Tax-Qualified Plan or an IRA (other than a SIMPLE IRA or a Coverdell Education Savings Account). Note that even though the taxable portion of non-Roth 401(k) amounts that are part of a Roth In-Plan Conversion or are directly rolled over to a Roth IRA are taxable in the year the PESP distribution or conversion occurs, 20% mandatory Federal income tax withholding does not apply to those amounts (you may request voluntary withholding).

Note: Withholding is a method of paying taxes. It does not change the amount of taxes that you must pay. Whether or not you are subject to the 20% mandatory Federal income tax withholding or you elect voluntary withholding for a rollover to a Roth IRA, you may still be responsible for payment of estimated taxes. Additionally, you may incur penalties under the tax laws if your withholding and estimated tax payments are not sufficient. You are encouraged to consult with your own tax, financial and/or legal advisor.

10% Federal Early Distribution Tax

PESP is designed primarily to supplement your retirement and savings. To discourage distribution before retirement or other specified events (for example, certain disabilities, death, etc.), the Internal Revenue Code generally imposes a Federal early distribution tax, in addition to ordinary income tax, of 10% on early withdrawals of taxable amounts distributed to you before you attain age 59½, unless you meet one of the exceptions. Generally, this tax applies to distributions of Before-Tax Contributions, Before-Tax Catch-Up Contributions, Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions, Discretionary Company Contributions, Before-Tax Rollover Contributions and any PESP account investment results (including investment results on After-Tax Contributions, After-Tax Rollover Contributions, and, in certain circumstances, investment results on Roth 401(k) Contributions, Roth 401(k) Rollovers and Roth In-Plan Conversions).

The 10% Federal early distribution tax is not withheld from your distribution; you must pay it at the time you file your Federal income tax return. If you directly roll over your distribution to PESP, or you elect a Roth In-Plan Conversion in PESP or if you roll over your PESP distribution to another employer's Tax-Qualified Plan or to a traditional or Roth IRA, your PESP distribution generally will not be subject to the 10% Federal early distribution tax (although a subsequent distribution from the other plan or IRA may be subject to the 10% early distribution tax if there is no exception.)

Terminal Illness Exception (Effective September 16, 2024)

You may be eligible for an exception to the 10% Federal early distribution tax if you take a distribution from your account and you have a terminal illness. To qualify for this exception, a physician must certify the illness and that it could reasonably result in death within 84 months of the certification. If approved, your distribution will be reported on a Form 1099-R as an exception to the 10% early distribution penalty.

To request this exception, you will need to complete the applicable distribution or withdrawal form and a separate "*Terminal Illness Penalty Tax Exception Request*" form, which must be attached to the applicable distribution or withdrawal form and sent to Empower (see the "**How to Contact Empower**" section for mailing instructions). The request cannot be made online or through the Empower call center.

You will need to submit a certification of terminal illness from your physician which must include:

- A statement that your illness or physical condition can be reasonably expected to result in death in 84 months or less after the date of certification;
- A narrative description of the evidence that was used to support the statement of illness or physical condition;
- The name and contact information of the physician making the statement;
- The date the physician examined you or reviewed the evidence provided by you, and the date that the certification is signed by the physician; and
- The signature of the physician making the statement, and an attestation from the physician that, by signing the form, the physician confirms that the physician composed the narrative description based on the physician's examination of you or the physician's review of the evidence provided by you.

Note that this exception does not apply to other applicable withholding, such as the 20% mandatory Federal income tax withholding.

In addition, you may be able to repay a distribution or withdrawal that was eligible for an exception due to a terminal illness, generally subject to a three-year repayment period.

Special Rules Applicable to Distributions of Roth 401(k) Contributions

The distribution of Roth 401(k) amounts (that is, Roth 401(k) Contributions, Roth 401(k) Rollovers and Roth In-Plan Conversions) and related investment results will not be subject to Federal income taxes if the distribution is made on or after the date you reach age 59½, die or become disabled, and the distribution occurs at least five years after the year in which you make your first Roth 401(k) contribution under PESP. This is known as a Qualified Roth Distribution. If your distribution does not meet the requirements to be a Qualified Roth Distribution, the investment results on your Roth 401(k) amounts will be taxed in the year distributed, unless you roll over these amounts.

You must make a separate rollover election for your Roth 401(k) amounts as they can only be rolled over to a Roth IRA* or to another employer Tax-Qualified Plan that accepts Roth 401(k) rollovers and separately accounts for Roth 401(k) amounts. If you request a direct rollover of Roth 401(k) amounts from PESP to another employer plan, your years of Roth 401(k) participation under PESP will count toward the five year period required for a Qualified Roth Distribution from the new plan. However, if you roll over Roth 401(k) amounts to a new Roth IRA, your Roth 401(k) participation in PESP is not used and the year of your rollover will count as the first Roth participation year for determining the qualification of future distributions from your Roth IRA. If you roll over Roth 401(k) amounts to an already established Roth IRA, the five-year rule would be satisfied based on the date your Roth IRA was established with respect to all assets in the Roth IRA, including those attributable to the rollover. Note that if you roll over Roth 401(k) amounts that meet the requirements to be a Qualified Roth Distribution, those amounts will continue to be qualified under the Roth IRA; however, future investment earnings will have to satisfy a separate five-year rule.

* Currently Roth 401(k) IncomeFlex Select and IncomeFlex Target balances cannot be rolled over to a Roth IRA.

Special Rules Applicable to Domestic Abuse Violence Withdrawals

The following special tax provisions apply to a Domestic Abuse Violence Withdrawal:

- The 10% Federal early distribution tax does not apply to any Domestic Abuse Violence Withdrawal; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- Domestic Abuse Violence Withdrawals are not subject to 20% mandatory Federal income tax withholding, but rather will be subject to 10% Federal income tax withholding, unless you elect otherwise.

Special Rules Applicable to Qualified Birth or Adoption Distributions

The following special tax provisions apply to a Qualified Birth or Adoption Distribution (QBAD):

- The 10% Federal early distribution tax does not apply to any QBAD; the Company will report the entire distribution amount on Form 1099-R for the year of distribution.
- QBADs are not subject to 20% mandatory Federal income tax withholding.

Special 10-Year Forward Averaging

If you were born before January 1, 1936, and meet certain other conditions (see IRS Tax Form 4972 for the year of distribution), you may be eligible to choose a special 10-year forward averaging and/or special capital gain treatment. In general, this treatment results in lower taxes than if your distribution were taxed as ordinary income.

Important: If you receive a distribution in any year after your Employment with the Company or any of its Affiliates ends, but before the year in which you receive your final distribution, your final distribution may no longer qualify for any favorable Federal income tax treatment that may be available to you, such as special ten-year forward averaging.

Special Tax Features for Employer Stock or Securities

There is a special rule for a payment from the Plan that includes in-kind distribution of PFI Common Stock. To use this special rule:

- The payment must qualify as a lump sum distribution, including actual shares of PFI Common Stock; or
- The PFI Common Stock included in the payment must be attributable to After-Tax Contributions.

Under this special rule, you may have the option of not paying tax on the net unrealized appreciation of the stock until you sell the stock. Net unrealized appreciation generally is the increase in the value of the employer stock while it was held by the Plan. For example, if PFI Common Stock was added to your Plan account when the stock was worth $1,000 but the stock is worth $1,200 when you receive it as a distribution, you would not have to pay tax on the $200 increase in value until you sold the stock.

You may instead elect not to have the special rule apply to the net unrealized appreciation. In this case, your net unrealized appreciation will be taxed in the year you receive the stock, unless you roll over the stock. The stock (including any net unrealized appreciation) can be rolled over to an IRA or another Tax-Qualified Plan, either in a direct rollover or a rollover that you make yourself.

If you receive only PFI Common Stock in a payment that can be rolled over, no amount will be withheld from the payment. If you receive cash, as well as employer stock, in a payment that can be rolled over, any Federal income tax withholding amount will be based on the entire amount paid to you (including the PFI Common Stock but excluding the net unrealized appreciation). However, the amount withheld will be limited to the cash paid to you.

Tax Consequences and Reporting for ESOP Cash Dividend Distributions

Note the following important tax considerations with respect to dividends paid to you in cash from the ESOP portion of the PFI Common Stock Fund under the Plan:

- Any such dividends will be considered dividend income in the year you receive them and will be subject to Federal income tax. They may not be rolled over into either an IRA or a Tax-Qualified Plan.
- Income taxes will not be withheld from your dividends at the time they are paid to you. However, you may still be responsible for the payment of estimated taxes.
- Your dividend distributions will be reported to the Internal Revenue Service as dividend income and will be summarized for you after the close of each distribution year on IRS Form 1099-DIV.
- Cash dividends from the ESOP portion will not be subject to the 10% Federal early distribution tax that is applied to many distributions to PESP participants under age 59½.
- You will not be able to file your Federal tax return on IRS Form 1040-EZ (since it is our understanding that this form may not be used when you have dividend income).
- Separate state, local and/or foreign tax implications may apply.

Tax Credit

IRS rules provide a special Federal income tax credit, the “saver’s credit,” for certain Employees who contribute to PESP. The saver’s credit is a yearly nonrefundable tax credit (against regular Federal income taxes or Federal alternative minimum tax [AMT]). Eligibility for the saver’s credit, and the amount of the saver’s credit, depends on your adjusted gross income reported on your Federal income tax return. For example, if you were married filing a joint return and your adjusted gross income in 2023 was more than $73,000 ($36,500 for most other filers), you would not have been eligible for a saver’s credit. For more information, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Important: Neither Prudential nor its representatives are authorized to provide tax, legal or financial advice on behalf of the Plan. The information in this SPD booklet regarding tax rules is a high-level summary and is solely for general information purposes. You are encouraged to consult your own tax, financial and/or legal advisors for advice regarding your situation.

Life Events

If You Take a Leave of Absence

Non-Military Leaves of Absence

If you are on an approved leave of absence for any reason other than to perform qualified military service, the rules outlined below apply.

Unpaid Leave of Absence

During an unpaid leave of absence:

- You will continue to be able to change your investment elections.
- You will continue to earn Vesting Service for up to six months (see the "**Vesting Service**" section for more information).

PESP Contributions

- All of your Before-Tax Contributions (including Catch-Up Contributions), Roth 401(k) Contributions (including Catch-Up Contributions) and/or After-Tax Contributions will be suspended.
- No Company Matching Contributions will be credited to your PESP account.
- When you return to work, your PESP contributions will automatically resume at the rate(s) in effect at the time your unpaid leave of absence began unless you elect to change your contribution rate(s).

PESP Loans

- You will be able to apply for and, if approved, receive new loans and hardship withdrawals under the terms applicable to actively Employed participants.
- While you are on leave, your loan repayment will be suspended for up to one year. Interest will continue to accrue during the suspension period.
- When you return from your leave, your loan will be re-amortized to extend the term of the loan, to include the length of your leave, not to exceed five years from the date of your loan initiation. For example, if your loan had a three-year term and you were on leave for six months, payment terms would change to three years and six months. If the original loan term plus the length of your leave exceeds five years, your loan will be re-amortized with the periodic repayment amounts increased to consider the interest accrued during the suspension period and that the loan will be repaid over a shorter period of time.

If you do not return from your leave of absence and you do not repay your loan within 60 days following the date your Employment with the Company or any of its Affiliates ends, your loan will be placed in default. See the "**Loans in Default**" section for more information.

Paid Leave of Absence

During a paid leave of absence (including a period of leave as a result of involuntary separation from service):

- Your contributions will continue, uninterrupted, at the most current contribution rate(s) on file.
- You may change your contribution rate(s) or stop your contributions at any time. (See the "**Performing Transactions**" section for more information.) Your election will be processed as soon as administratively practicable.
- Your loan repayments will continue uninterrupted. You will be able to apply for and, if approved, receive new loans and hardship withdrawals under the terms applicable to actively Employed participants.
- You will continue to be able to change your investment elections.
- You will continue to earn Vesting Service.

Qualified Military Service

Special Internal Revenue Code rules apply to PESP accounts of Employees who return to Employment after completing certain qualified military service covered by the Uniformed Services Employment and Reemployment Rights Act of 1994 (USERRA).

PESP Contributions

If you are reemployed by the Company or any of its Affiliates within the required time frame under USERRA after completing qualified military service:

- You may elect to make retroactive Before-Tax, Roth 401(k) and/or After-Tax Contributions for the time you were in qualified military service. You must designate the Plan Year to which your contributions will be applied. You will not be entitled to retroactive investment results on your contributions.
- You can begin making contributions and designate the Plan Year(s) to which your contributions will be applied on the date you are reemployed or any time during the period ending on the earlier of:
  - Three times the duration of your qualified military service following the date of your reemployment with the Company or any of its Affiliates; or
  - Five years following the date of your reemployment with the Company or any of its Affiliates.

  For example, if you were in qualified military service for:
  - Six months, you have 18 months to make up contributions after you are re-hired; or
  - Two or more years, you have five years to make up contributions after you are re-hired.
- You will receive Company Matching Contributions based on the Company Matching Contribution percentage and Plan provisions in effect for the Plan Year you designate for your contributions. You will not be entitled to retroactive investment results on the Company Matching Contributions.
- You will receive any Other Company Contributions made while in service, provided you meet all eligibility requirements for the contribution.
- Generally, your Eligible Earnings will be based on the rate of pay you would have received if you were not in qualified military service.

PESP Loans

- Loan repayment is suspended and you may be able to take longer than five years to repay the loan.
- Interest will continue to accrue during the suspension period, as outlined in the "**Interest on Your Loan**" section.
- Unless waived by you, any Plan loan outstanding on the date your military service begins will accrue interest at a rate of no more than 6% per year during the period of uniformed service in accordance with the provisions of the Soldiers' and Sailors' Civil Relief Act Amendments of 1942. This interest rate maximum applies even if loan payments are suspended during the period of uniformed service.

PESP Distributions

If you are on active duty with the U.S. armed forces for more than 30 days, you may take a distribution from your Before-Tax Account and/or your Roth 401(k) Account. However, you will be prohibited from making Before-Tax Contributions (including Catch-Up Contributions), Roth 401(k) Contributions (including Catch-Up Contributions) and/or After-Tax Contributions for six months following receipt of the distribution.

If you are a member of the reserves who has been ordered or called to active duty for more than 179 days or for an indefinite period, you may request a distribution of your Before-Tax Account and Roth 401(k) Account during your period of active duty.

If You Die While Performing Qualified Military Service

If you die while absent from Employment performing qualified military service in the uniformed services of the United States as described in the Uniform Services Employment and Reemployment Act of 1994 (USERRA), your Beneficiary will be entitled to the benefit that would have been provided had you returned to work the day before your death and subsequently died.

If you have any questions about such situations, call Empower at 1-800-PRU-PESP (1-800-778-7377).

If Your Employment Ends or You Become Totally Disabled

You can choose to receive a full or partial distribution of your Vested account from PESP when your Employment with the Company or any of its Affiliates ends or you become totally disabled under the terms of The Prudential Welfare Benefits Plan. You may also leave your account in PESP if your account balance is $5,000 or more (or $7,000 or more starting April 1, 2024). You will continue to receive quarterly PESP account statements as long as you have a balance in PESP.

Specifically, you may:

- Elect to defer receiving a distribution until your required minimum distribution age. (See the "**Distributions After You Reach Your Required Minimum Distribution Age**" section.) If your account balance does not exceed $5,000 (or $7,000 starting April 1, 2024), you may not have a right to defer payment. If you have questions regarding your right to defer a distribution or the consequences of not deferring a distribution, call Empower at 1-800-PRU-PESP (1-800-778-7377)
- Generally, change the investment of your accounts that remain in PESP up to once a day. The Plan investment options available to you thereafter (including related fees) generally will be the same as those available to active Employees. Prudential reserves the right to limit the percentage of assets that you may invest in the Prudential Financial, Inc. (PFI) Common Stock Fund. In order to comply with applicable law or Prudential policies, specific transactions, including, but not limited to, those in the PFI Common Stock Fund, may be limited for certain individuals. See the "**Investing Your PESP Account**" section and investment overviews available on the Empower website (at **www.empower.com/prudential**) for more information about Plan investment options, investment related expenses, and any Plan restrictions;
- Generally, elect to receive a distribution of your full Vested account balance at one time. If you elect to receive a distribution but do not roll it over to another eligible retirement plan, such action triggers taxation (possibly including a 10% Federal early distribution tax), results in loss of future tax-deferred earnings (if any) and may diminish the funds available to you for retirement purposes;
- Roll over your Vested account balance in cash and/or PFI Common Stock (if you meet certain requirements) to an IRA or another Tax-Qualified Plan. If you elect to receive a distribution that you roll over to another eligible retirement plan such as an IRA, the investment options offered under PESP (e.g., mutual funds, employer stock) may not be available to you or, if available, are likely to carry higher expenses if transferred to an IRA;
- Elect to receive partial distributions from your Vested account balance (see the "**Partial Distributions**" section for any restrictions and the "**Distributions from Your Account**" section for more information). If you elect to receive a distribution but do not roll it over to another eligible retirement plan, such action triggers taxation (possibly including a 10% Federal early distribution tax), results in loss of future tax-deferred earnings (if any) and may diminish the funds available to you for retirement purposes;
- Elect to receive a distribution of your Vested account balance in monthly, quarterly or annual installment payments;
- Elect to receive any Annuity form that is available under the Plan (minimum purchase amount of $5,000 prior to April 1, 2024, or $7,000 starting April 1, 2024);
- Pay back any loan balance in your account within 60 days of the date your Employment with the Prudential and its Affiliates ends to avoid default;

- Continue to submit elections concerning how you want to handle the dividends paid on your Vested account balance in the PFI Common Stock Fund of the ESOP portion of PESP, until you receive a total distribution of your Vested PESP account. You can receive these dividends in cash, payable to you, or in additional units in the PFI Common Stock Fund that will remain in the ESOP portion of your Vested PESP account;
- Change or update your Beneficiary election at any time. While your Vested PESP account remains in the Plan, it is advisable that you keep your Beneficiary elections and information as current as possible;
- Update your address at any time; and
- Request a statement of your Vested PESP account at any time.

Generally, you will continue to have the ability to review your PESP account 24 hours a day, 7 days a week, so that you can check your Vested account balance, request a statement at any time, transfer funds and perform certain transactions.

You may **not:**

- Earn additional vesting credit in the Company Matching Contributions or Discretionary Company Contributions portions of your PESP account and any related investment results;
- Make additional contributions to your PESP account (other than Rollover Contributions);
- Receive additional Company Matching Contributions, Qualified Matching Contributions, Qualified Non-Elective Contributions or Discretionary Company Contributions to your PESP account;
- Take hardship withdrawals;
- Take or continue a loan against your Vested account balance, in most cases, except in certain circumstances. For information, call Empower at 1-800-PRU-PESP (1-800-778-7377); or
- Leave your money in your PESP account if your Vested account balance is less than $5,000 (or less than $7,000 starting April 1, 2024). Note, however, that you may be able to roll over certain distributions from Prudential's Retirement Plan to raise your account balance above this level.

If You Die

If you die before your entire PESP account balance is paid to you, your remaining Vested PESP account balance may be paid to your surviving designated Beneficiary(ies) under PESP. If you are married, your surviving Spouse is automatically the Beneficiary, unless you designate someone other than your Spouse as a Beneficiary and your Spouse provides written, notarized consent to your PESP Beneficiary designation. If you are not married upon your death and have no surviving designated Beneficiary(ies), your remaining PESP account balance will be paid to your estate. The benefit will be distributed in a single lump sum unless you previously elected an optional form of distribution or unless your Spouse or other Beneficiary elects an optional form of distribution.

Note that special provisions may apply to a Beneficiary designation if a participant is killed by a person who would otherwise receive benefits under PESP as a Beneficiary of the participant, depending on the law of the state, territory or other governmental subdivision in which the participant resided immediately prior to their death. In this case, if the law provides that the person responsible for the death of the participant is treated as predeceasing the participant or otherwise ineligible to receive a benefit from PESP, then the Administrative Committee, if it has knowledge of these circumstances, will ensure that the person responsible for the death of the participant will not receive benefits under PESP. In some cases, there may be no benefit payable.

Generally, if you have not purchased an Annuity or locked in to pay an IncomeFlex Select or IncomeFlex Target spousal benefit, your Beneficiary(ies) may:

- Take a full or partial distribution of any remaining balance in your Vested PESP account (see the "**How Your Vested Account Balance May Be Paid**" section for information);
- Roll over all or a portion of your remaining Vested PESP account to an IRA or another Tax-Qualified Plan (if your Beneficiary is not your Spouse, the account must be rolled over into a special type of IRA called an Inherited IRA, subject to RMD rules);
- Leave the money in PESP, subject to the rules under the Internal Revenue Code for a Required Minimum Distribution and provided that the Vested account balance is $5,000 or greater (or $7,000 starting April 1, 2024).
- Change the investment of the accounts that remain in PESP, up to once a day. The Plan investment options available generally will be the same as those available to active Employees; or
- Pay back any loan in your account within 60 days to avoid default. (See the "**Loans in Default**" section for more information.)

If you have purchased an Annuity with all or a portion of your Vested PESP account, any survivor payments will be distributed in accordance with the terms of the Annuity form of payment in effect at your death.

If you elected to receive all or a portion of your Vested account balance in installments, the installment payments will stop upon your death.

If you elected the IncomeFlex Select or IncomeFlex Target spousal benefit, your Spouse will receive 100% of your IncomeFlex Select or IncomeFlex Target annual lifetime withdrawal amount for the rest of their lifetime if they should outlive you.

Other legally required distribution timing rules may apply.

For More Information

For more information on survivor benefits, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Other Important Information

Assignment of Benefits

The Plan summarized in this SPD booklet is used exclusively to provide benefits to you and, in some cases, to your Beneficiaries (including survivors, if you die). Neither you, any other person nor Prudential can generally assign, transfer or attach your benefits or use them for collateral.

Qualified Domestic Relations Orders

Federal law generally prohibits assignment or attachment of your benefits under the Plan, except, for example, in the case of a Qualified Domestic Relations Order (QDRO). A domestic relations order, or DRO, is a state court order issued in connection with a divorce, separation or family support proceeding that orders the Plan to pay benefits to your Spouse, former Spouse, child or other dependent (each called an Alternate Payee). The Plan Administrator must obey these DROs once they become Qualified (that is, the Plan Administrator determines they contain certain required information and do not require the payment of a benefit not allowed under the Plan) and has no discretion in these matters. Participants and Beneficiaries may obtain, from the Plan Administrator, without charge, a copy of Plan procedures for the submission of a DRO and its certification by the Plan Administrator as a QDRO.

Pursuant to the QDRO, the Plan Administrator may be required to make payments from your Vested PESP account balance while you are still working. These payments could even exhaust the total value of your Vested account under PESP. The Plan Administrator has no discretion in these matters.

The Plan Administrator has delegated its authority to administer QDROs to TELUS Health. If you have questions, or you would like to request a model QDRO or a copy of the Plan's QDRO procedures, visit the TELUS Health website (at **https://qdro.lifeworks.com**, access code PEB108) or call TELUS Health at 1-800-851-8621.

Claims and Appeals Procedures

You must follow the claims and appeals procedures outlined in this section before taking action in any other forum regarding a claim under the Plan.

The Plan Administrator and its delegate will treat any writing that is identified as a claim for benefits under the claims and appeals procedures outlined in this section, and may treat any other writing or communication received by the Plan Administrator or its delegate as a claim for benefits under these procedures, even if the writing or communication is not identified as a claim for benefits. If it is not identified as a claim for benefits or is in fact some other claim under PESP, the same terms and time periods for claims and appeals of benefits outlined in this section apply to those claims as well. The Plan Administrator or its delegate will provide you with a notice acknowledging its receipt of a communication that the Plan Administrator or its delegate considers a claim for benefits. If you do not receive such acknowledgement within 60 days after making a claim, you should contact the Plan Administrator or its delegate to determine that the claim has been received and identified as a claim for benefits. Pentegra Services, Inc. is the Claims Administrator and the Administrative Committee is the Claims Fiduciary.

A claim will be considered approved only if approval is communicated to you in writing. If you do not receive a response to any claim within the applicable time period, you may proceed with an appeal under the procedures described in this section.

Making a Claim

In general, when you apply for or request a benefit in any manner, this will constitute a claim.

If you wish to request a loan, withdrawal or distribution from PESP, refer to the applicable section of this SPD booklet for detailed information on the steps to take.

If you would like to file a formal claim for benefits under the Claim and Appeals Procedures established under PESP, review and follow the information provided below.

There are times when a phone call to Empower at 1-800-PRU-PESP (1-800-778-7377) questioning why you are not covered or how to apply for a benefit can constitute a claim. Claims may also include a determination automatically submitted on your behalf by Empower when you receive a benefit, even if you have not filed a claim under the procedure. When applicable, claims will be forwarded by Empower to the Claims Administrator for review and determination.

How to File a Claim

You may submit a claim by mail or email, as follows:

- Mail:
  Pentegra Retirement Services
  Consulting Team
  5350 Seventy-Seven Center Drive, Suite 200
  Charlotte, NC 28217
- Email: **ConsultingPrudential@Pentegra.com**

What Information to Include in a Claim

Your claim should state your name, address, the specific basis for your claim and any additional materials you wish to present.

Benefits under an ERISA-governed plan will be paid only if the Plan Administrator decides in its sole discretion that the claimant is entitled to them.

When to File a Claim

The best time to file a claim for benefits is as soon as possible after the circumstances creating the claim take place (for example, at the time your request for a benefit is denied, which is considered an Adverse Benefit Determination, etc.).

Time Frame for Claim Determinations

Your claim will be considered as soon as practicable following its receipt. Notice of an adverse determination will be provided no later than 90 days after receipt of the claim. In some instances, special circumstances may require a period of up to 90 additional days to review your claim. If so, prior to the expiration of the initial 90-day period, you will be notified of the reasons for the extension and the date by which the Claims Administrator expects to render a decision; however, in no case will the extension exceed 180 days from the date your claim was received.

Notice of Adverse Benefit Determination

Usually you will receive a notice from the Claims Administrator if your claim for a benefit is given an Adverse Benefit Determination (that is, any denial, reduction or termination of a benefit, or a failure to provide or make a payment). As part of the Adverse Benefit Determination process, you are entitled to the following information within 90 days from the date your claim was received:

- The specific reason(s) for the Adverse Benefit Determination;
- References to the specific Plan provisions on which the Adverse Benefit Determination is based;
- A description of any additional material or information needed to complete or support your claim and an explanation of why that material or information is necessary; and
- An explanation of how you can appeal the Adverse Benefit Determination or a copy of the Plan's claims review procedures and time limits applicable to such procedures and a statement of your right to bring a civil action under Section 502(a) of ERISA after you have completed all mandatory appeals under the Plan.

Appeal of an Adverse Benefit Determination

How to File an Appeal

If you have followed all of the required procedures and you have received an Adverse Benefit Determination, you have the right to appeal the decision. Within 60 days after you receive a notification of an Adverse Benefit Determination, you or your authorized representative must request that the Administrative Committee, who is the Claims Fiduciary, or its delegate, in this case the Appeals Committee, review your denied claim if you want to appeal that Adverse Benefit Determination.

Your request must be made in writing to:

Administrative Committee
The Prudential Insurance Company of America
Employee Benefits Department
751 Broad Street, 18th Floor
Newark, NJ 07102-3714

What Information to Include in Your Appeal

Your request, which must be in writing, must state specifically the reasons why you are requesting review of your Adverse Benefit Determination and should include all relevant facts. You also may request in writing that copies of the Plan Documents and other documents relevant to your claim be made available, free of charge, for your review.

Administrative Committee Consideration

The Administrative Committee will appoint one or more persons to serve on the Appeals Committee and act as its authorized delegate who will conduct a full and fair review of the appeal, which will include your right to:

- Submit written comments, documents, records and other information relating to your claim for a benefit;
- Request, free of charge, reasonable access to, and copies of, all documents, records and other information relevant to your claim for a benefit;
- A review that takes into account all comments, documents, records and other information submitted by you or your authorized representative relating to your claim, regardless of whether such information was submitted or considered in the initial benefit determination; and
- Receive a prompt written decision, written in a manner calculated to be understood by you and clearly setting forth the following:
  - Specific reason(s) for the decision containing references to the specific Plan provisions on which the decision is based;
  - A statement that you are entitled to receive, upon request and free of charge, reasonable access to, and copies of, all documents, records and other information relevant to your claim for a benefit; and
  - A statement of any voluntary procedures offered under the Plan and your right to obtain information about such procedures and a statement of your right to bring an action under Section 502(a) of ERISA.

When You Can Expect a Response

Normally, you will receive a written notice of the final decision on your appeal from the Administrative Committee or its delegate within 60 days of the date you request a review of your claim.

However, if the Administrative Committee or its delegate determines that an extension of review time (up to an additional 60 days) is necessary due to special circumstances (such as if a hearing is requested and granted), you will be notified in writing of the reasons for the delay prior to the expiration of the initial 60-day period and the date you may expect the final decision. In the event an extension is necessary due to your failure to submit necessary information, the Administrative Committee's (or delegate's) time frame for making a benefit determination on review is tolled (that is, stopped) from the date the Administrative Committee (or its delegate) sends you the extension notification until the date you respond to the request for additional information.

The ultimate decision of the Administrative Committee or its delegate is final and binding. Benefits under the Plan will be paid only if the Administrative Committee (or its delegate) decides in its sole discretion that you are entitled to them.

Legal Action

All the facts and circumstances of your case will be thoroughly reviewed. If you have completed all of the claims and appeals procedures (see the "**Claims and Appeals Procedures**" section) and your appeal is given an Adverse Benefit Determination, you have the right to bring legal action if you believe the adverse determination is incorrect and was decided in an arbitrary and capricious manner. Any suit or legal action initiated by you must be brought by the earlier of one year following a final decision on your claim, including any appeal, or two years measured from the date your claim arose (except that this two-year limitation period will be suspended during the review and appeal of a claim under the Plan's claims and appeals procedures and except to the extent any policy or contract of an insurer provides a longer period of time to institute any suit or legal action). This time period for bringing a suit or legal action for a benefit applies in all forums.

Administrative Information

This SPD booklet is intended to describe the specific provisions of The Prudential Employee Savings Plan (PESP or the Plan). In addition to knowing these provisions, you need to be aware of important administrative details, including what steps you may take if you believe that a claim has been wrongfully denied. You also need to know about your legal rights as a participant in the Plan under the Employee Retirement Income Security Act of 1974, as amended (ERISA).

Governing Plan Documents

This booklet constitutes the SPD of benefits of the previously stated classes of participants and Beneficiaries under PESP effective as of March 1, 2024. Terms and phrases used in this booklet are intended to have the meanings ascribed to them in the Plan Document. If there is any difference between the information contained in this booklet and the Plan Document, the Plan Document, as interpreted by the Plan Administrator (in its sole discretion), will always govern. If there are legal rules that require changes not yet written into the Plan Document, the Plan Document will be interpreted by the Plan Administrator (in its sole discretion) as including those legal rules.

This SPD booklet should in no way be considered a substitute for the Plan Document, which governs the operation of the Plan.

If you have questions about any of the information in this SPD booklet, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Plan Administration

Plan Name and Number

Plan Name	Plan Number	Type of Plan	Plan Administrator
The Prudential Employee Savings Plan (PESP)	002	Defined contribution pension, 401(k), ERISA Section 404(c), ESOP	Administrative Committee

Plan Administrator

The Plan Administrator for the Plan is the Administrative Committee or its delegate, which is responsible for plan administration matters under PESP. The address for the Plan Administrator is:

Administrative Committee
The Prudential Insurance Company of America
Employee Benefits Department
751 Broad Street, 18th Floor
Newark, NJ 07102-3714
Telephone: 1-973-802-6000

The Administrative Committee has the power to delegate its respective Fiduciary or other responsibilities to other individuals or organizations by notifying them as to the duties and responsibilities delegated. Any such delegate will be empowered with the same discretion and authority as granted to the Administrative Committee under the terms of the Plan. Each person to whom responsibilities are so delegated will serve at the pleasure of the Administrative Committee and, if a full-time employee of Prudential or an Affiliate, without payment by the Plan of additional compensation for such services. Any such person may resign by delivering a written resignation to the Administrative Committee. Vacancies created by resignation, death or other cause may be filled by the Administrative Committee or the assigned responsibilities may be reassumed or re-delegated by the Administrative Committee.

Plan Sponsor

The Plan Sponsor for PESP is:

The Prudential Insurance Company of America
751 Broad Street, 18th Floor
Newark, NJ 07102-3714
Telephone: 1-973-802-6000

A complete list of Participating Employers may be obtained by participants and Beneficiaries upon written request to the Plan Administrator, and is available for examination, without charge, by participants and Beneficiaries at the Plan Administrator's office. You may make a written request to the Plan Administrator for information as to whether a particular employer participates in PESP and, if so, the employer's address.

Employer Identification Number

The Plan Sponsor's employer identification number assigned by the Internal Revenue Service is 22-1211670.

Plan Year

The Plan Year is the 12-month period used for maintaining the Plan's financial records. The official Plan Year for the Plan is January 1 through December 31 of each Calendar Year.

Cost of Plan Administration

The costs of administering the Plan are paid from the Plan's assets, except to the extent Prudential pays the costs and does not seek reimbursement from the Plan.

Funding of Plan Benefits

Generally under PESP, benefits are funded by both Company and Employee contributions. PESP funding is held through group annuity contracts and a trust.

Trustee Information

The Plan is a defined contribution pension plan under ERISA. PESP is an individual account plan (that is, each participant has their own account). The ultimate benefits you receive from PESP are determined by the amounts you and Prudential contribute and any investment results, less any distributions.

All PESP accounts are held under group annuity contracts issued by the Company and the Empower Annuity Insurance Company, for which the Trustee is the contract holder, or in trust, and are invested according to the terms of the Plan Documents and the direction of the participants.

The Trustee for the Plan is:

Empower Trust Company
8525 E. Orchard Road
Greenwood Village, CO 80111

Plan Amendment or Termination

The Company has reserved the right in its sole discretion, subject to applicable law, to amend, modify, suspend or terminate any part or all of the Plan at any time with or without notice or consent. Plan amendment, modification, suspension or termination may be made for any reason, and at any time. Such amendments may be made retroactive if necessary to meet statutory requirements or for any other appropriate reason as determined by the Company in its sole discretion.

If the Plan is terminated, you will become fully Vested in your account balance under the Plan to that point, to the extent that it is funded. Upon full termination of the Plan, assets will be distributed (for example, among participants and Beneficiary(ies), etc.) in accordance with the Plan's provisions and with applicable law. None of the Plan's assets can revert to the Company or any Affiliate until the Plan's liabilities have been satisfied.

The Plan Document describes the procedures for amending or terminating the Plan and who may make amendments.

Pension Benefit Guaranty Corporation

Because PESP is a defined contribution pension plan, it cannot be insured by the Pension Benefit Guaranty Corporation (PBGC).

Top-Heavy Rules

Under a complicated set of rules under the Internal Revenue Code set out in the Plan Documents, PESP may become top-heavy when more than 60% of the contributions have been allocated to Key Employees. Key Employees are certain owners, highly paid employees or officers. The PESP Plan Administrator is responsible for determining whether PESP is top-heavy each Plan Year. In the unlikely event that PESP becomes top-heavy, non-key employees may be entitled to certain minimum benefits, and special rules will apply. The Plan Administrator will advise you of your rights if such circumstances exist.

Service of Legal Process

Most questions about your PESP account can be resolved by calling Empower at 1-800-PRU-PESP (1-800-778-7377), or by completing the claims and appeals process. (See the "**Claims and Appeals Procedures**" section for more information.) However, if, after you have completed all of the claims and appeals procedures described in this SPD booklet, you feel you need to take legal action to resolve a question governing your benefits or your claim, then you may contact the agent for service of legal process in a timely manner at the following address:

The Prudential Insurance Company of America
Vice President, Employee Benefits
Employee Benefits Department
751 Broad Street, 18th Floor
Newark, NJ 07102-3714
Telephone: 1-973-802-6000

Legal papers may also be served in a timely manner on the Plan Administrator. Any suit or legal action must be brought by you no later than one year following a final decision on your claim for benefits and is subject to a two-year limitation period measured from the date your claim arose (however, the two-year limitation period will be suspended during the review and appeal of a claim). The date the claim arose is presumed to be when you have actual or constructive notice of the events giving rise to the claim. This time period for bringing a suit or legal action applies in all forums.

Statement of ERISA Rights

Your Rights

As a participant in the Plan, you are entitled to certain rights and protections under the Employee Retirement Income Security Act of 1974, as amended (ERISA). ERISA provides that all ERISA-governed plan participants are entitled to:

- **Receive information about the Plan,** including:
  - Examine, without charge, at the Plan Administrator's office and at other specified locations, such as work sites, all documents governing the Plan. This includes a copy of insurance contracts, collective bargaining agreements and a copy of the latest annual report (Form 5500 series) filed by the Plan with the U.S. Department of Labor and available at the Public Disclosure Room of the Employee Benefits Security Administration;
  - Obtain, upon written request to the Plan Administrator, copies of documents governing the operation of the Plan, including insurance contracts, collective bargaining agreements and the latest annual report (Form 5500 series) and the updated SPD. The Plan Administrator may make reasonable charges for the copies;
  - Receive a summary of the Plan's annual financial report. The Plan Administrator is required by law to furnish each participant with a copy of this summary annual report; and
  - Obtain a statement telling you the value of your account under the Plan, the value of each investment option in your account and whether you are Vested in any portion of the Company Matching Contributions made on your behalf. If you do not have a right to a benefit, the statement will tell you when you will be Vested. This statement must be furnished in writing or electronically and is required to be given at least quarterly. The Plan must provide the statement free of charge.
- **Enforce your rights:** If your claim for a pension benefit is denied or ignored, in whole or in part, you have the right to know why this was done, to obtain copies of documents relating to the decision, without charge, and to appeal any denial, all within certain time schedules.

  Under ERISA, there are steps you can take to enforce these rights. For instance:

  - If you request a copy of the Plan Document or the latest annual report from the Plan Administrator and do not receive it within 30 days, you may file suit in a Federal court. In such a case, the court may require the Plan Administrator to provide the materials and pay you up to $110 a day until you receive the materials, unless the materials were not sent because of reasons beyond the control of the Plan Administrator;
  - If you have a claim for benefits that is denied or ignored, in whole or in part, you may file suit in a state or Federal court after you complete (or if your claim is ignored, have attempted to complete) all of the claims and appeals procedures. (See the "**Claims and Appeals Procedures**" section);
  - If you disagree with the Plan's decision or lack thereof concerning the qualified status of a domestic relations order (DRO), you may file suit in Federal court after you complete (or if your claim is ignored, have attempted to complete) all of the claims and appeals procedures. (See the "**Claims and Appeals Procedures**" and "**Assignment of Benefits**" sections for more information); and
  - If it should happen that the Plan fiduciaries misuse the Plan's money, or if you are discriminated against for asserting your rights, you may seek assistance from the U.S. Department of Labor, or you may file suit in a Federal court after you complete all of the claims and appeals procedures. (See the "**Claims and Appeals Procedures**" section.)

  The court will decide who should pay court costs and legal fees. If you are successful, the court may order the person you have sued to pay these costs and fees. If you lose, the court may order you to pay these costs and fees if, for example, it finds your claim is frivolous.

Prudent Actions by Plan Fiduciaries

In addition to creating rights for Plan participants, ERISA imposes duties upon the people who are responsible for the operation of employee benefit plans. The people who operate the Plan, called fiduciaries of the Plan, have a duty to do so prudently and in the interest of all Plan participants and Beneficiaries. No one, including your employer, your union (if applicable), or any other person, may fire you or otherwise discriminate against you in any way to prevent you from obtaining a benefit or exercising your rights under ERISA.

Assistance with Your Questions

If you have any questions about the Plan, contact the Plan Administrator.

If you have any questions about this statement or about your rights under ERISA, or if you need assistance in obtaining documents from the Plan Administrator, you should contact the nearest office of the Employee Benefits Security Administration, U.S. Department of Labor, listed in your telephone directory or contact:

Division of Technical Assistance and Inquiries
Employee Benefits Security Administration
U.S. Department of Labor
200 Constitution Avenue, N.W.
Washington D.C. 20210
1-866-444-EBSA (1-866-444-3272)
www.dol.gov/agencies/ebsa

You may also obtain certain publications about your rights and responsibilities under ERISA by calling the publications hotline of the Employee Benefits Security Administration at 1-866-444-3272.

Glossary

In this section, you will find definitions for some of the terms used in this SPD booklet. If you need more help understanding a certain term, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Adverse Benefit Determination

An Adverse Benefit Determination is any denial, reduction or termination of a benefit, or a failure to provide or make a payment. You have the right to appeal any Adverse Benefit Determination under the claims and appeals procedures described in this SPD booklet.

Advisor GoalMaker Models

Advisor GoalMaker Models (GoalMaker) is a free, optional asset allocation service that can help you quickly and easily create an investment portfolio to fit your financial needs and goals, using some of the investment options available through PESP (see the "**Advisor GoalMaker Models**" section for more information).

Affiliate or Affiliated Company

Affiliated Company means any corporation that is a member of a controlled group of corporations, which includes the Company, any trade or business that is under common control with the Company, any organization included in the same affiliated service group as the Company, and any other entity required to be aggregated with the Company pursuant to regulations promulgated under Section 414(o) of the Internal Revenue Code. Any such entity will be treated as an Affiliated Company only for the period while it is a member of the controlled group or considered to be in such common control group.

After-Tax Contributions

After-Tax Contributions mean that a portion of your income is deducted from your Eligible Earnings after any applicable Federal income taxes (and, in most cases, state and local income taxes) and Social Security taxes have been withheld. Your deducted pay will still be part of your taxable income.

After-Tax Account

The After-Tax Account is a separate account, maintained for the participant, which contains the value of the After-Tax Contributions, including after-tax Rollover Contributions contributed to PESP prior to March 1, 2024, made by the participant under the Plan and any related investment results.

Alternate Payee

An Alternate Payee is any Spouse, former Spouse, child or other dependent of a participant who is recognized by a domestic relations order as having a right to receive all, or a portion of, the benefits payable to such participant under PESP.

Annuity

An Annuity is a contract between you and an insurance company that provides you with a series of periodic payments in the future.

Assurance IQ Hourly Agent Employee

An Assurance IQ Hourly Agent Employee is an hourly paid regular employee of Assurance IQ scheduled to work for an agency division of Assurance IQ on U.S. payroll.

Assurance Match Account

Assurance Match Account is a separate account, maintained for a participant, that contains the value of 100% of the Company Matching Contributions made by Assurance under the Plan, and any related investment results.

Auto Increase Feature

The Auto Increase Feature is a feature under PESP that will automatically increase your PESP contribution amount over time in measured, manageable increments based on your election (see the "**Auto Increase Feature**" section for more information).

Before-Tax Account

The Before-Tax Account is a separate account, maintained for the participant, which contains the value of the Before-Tax Contributions, including before-tax Catch-Up Contributions, made by the participant under the Plan and any related investment results.

Before-Tax Contributions

Before-Tax Contributions are the portion of your income that is deducted from your Eligible Earnings before any applicable Federal (and, in most cases, state and local) income taxes have been withheld. When you make Before-Tax Contributions to PESP, such amounts are still subject to Social Security taxes, and income taxes are merely deferred until you receive a withdrawal or distribution.

Before-Tax Rollover Accounts

Before-Tax Rollover Accounts refers collectively to the types of before-tax rollover accounts that you may have under PESP, including a 401 Rollover Account, 403(b) Rollover Account, 457 Rollover Account, IRA Rollover Account or a general Rollover Account.

Beneficiary/Beneficiaries

Your Beneficiary(ies) is the person(s) or legal entity you name under procedures prescribed by the Program or insurance contract to receive benefits that are payable if you die while covered under an applicable Prudential benefits plan or program, or who will receive those benefits automatically under the terms of the applicable plan or program. You may make different Beneficiary designations for different plans or programs.

Calendar Year

A Calendar Year begins January 1 and ends December 31.

Catch-Up Contributions

Catch-Up Contributions are additional Before-Tax and/or Roth 401(k) Contributions that can be made only if you reach age 50 or older during the year and otherwise exceed certain other contribution limits. Before-tax Catch-Up Contributions are deducted from your Eligible Earnings before any applicable Federal (and, in most cases, state and local) income taxes have been withheld. When you make these Before-Tax contributions to PESP, such amounts are still subject to Social Security taxes, and income taxes are merely deferred until you receive a withdrawal or distribution. Roth 401(k) Catch-Up Contributions are deducted from your Eligible Earnings after any applicable Federal income taxes (and, in most cases, state and local income taxes) and Social Security taxes have been withheld.

Catch-Up Contributions are not subject to the Internal Revenue Service (IRS) contribution limits described in the "**Maximum Contributions Limit**" section. Catch-Up Contributions are not eligible for Matching Contributions.

Claims Administrator

The Claims Administrator is the entity designated to handle the requests for payment of benefits under the various plans and programs. Pentegra Services, Inc. is the Claims Administrator and the Administrative Committee or its delegate is the Claims Fiduciary.

Claims Fiduciary

The Claims Fiduciary is the Fiduciary for all actions involving the payment of benefits under an ERISA Plan. The Administrative Committee is the Claims Fiduciary for PESP, for all benefit appeals, including enrollment and eligibility.

Company

The Company is The Prudential Insurance Company of America or Assurance IQ, LLC, a wholly owned subsidiary of Prudential Financial, Inc., as applicable.

Company Match 1 Account

Company Match 1 Account is a separate account, maintained for a participant, that contains the value of:

- 100% of the Company Matching Contributions made by Prudential under the Plan:
  - On or after January 1, 2001, and ending December 31, 2001, and any related investment results; and
  - On or after January 1, 2017, and any related investment results;
- 50% of the Company Matching Contributions made by Prudential under the Plan on or after January 1, 2002, and ending December 31, 2016, and any related investment results; and
- Company Matching Contributions transferred effective December 20, 2023, from Company Match 2 Account that were made to the Plan on behalf of participants who became enrolled in the Plan during the period beginning January 1, 2008, and ending December 31, 2016, and who did not make any investment elections.

Company Matching Contributions for Employees of Assurance IQ are made to the Assurance Match Account, not Company Match 1 Account.

Company Match 2 Account

Company Match 2 Account is a separate account, maintained for a participant, which contains the value of 50% of the Company Matching Contributions made by Prudential under the Plan on or after January 1, 2002, and ending December 31, 2016, and any related investment results, except amounts transferred to Company Match 1 Account effective December 20, 2023. The Company Matching Contributions to this account are invested initially in the PFI Common Stock Fund.

Company Matching Contributions

Company Matching Contributions are contributions the Company makes to PESP on your behalf if you also contribute to PESP. The Company matches 100% (50% for Employees of Assurance IQ effective January 1, 2024) of your Before-Tax and Roth 401(k) Contributions (but not Catch-Up Contributions) to PESP up to a maximum of 4% of your Eligible Earnings, subject to Internal Revenue Code limitations. For Employees of Assurance IQ, the maximum Company match in a year is 2% of Eligible Earnings. For Prudential Advisors Financial Professional Associates and Assurance IQ Hourly Agent Employees, eligibility for Company Matching Contributions begins after you have one year of service with the Company. All Company Matching Contributions and any related investment results are subject to vesting rules.

Discretionary Company Contribution Account

The Discretionary Company Contribution Account is a separate account, maintained for the participant, which contains the value of any Discretionary Company Contributions to PESP made by the Company under the Plan and any related investment results.

Discretionary Company Contributions

Discretionary Company Contributions are contributions the Company may, in its sole discretion, periodically make to PESP on your behalf. Discretionary Company Contributions and any related investment results are subject to vesting rules.

Generally, you do not need to be contributing to PESP to be eligible for a Discretionary Company Contribution. If and when these contributions are made, and who is eligible for the contribution, are at the discretion of the Company. You will be notified if such a contribution is to be made.

Eligible Earnings

Under PESP, your Eligible Earnings generally include base pay, overtime pay, disability benefits paid under Prudential's Short Term Disability (STD) Program, non-retail sales professional sales bonuses, certain retail distribution management sales bonuses, certain sales bonuses paid by Assurance IQ and certain commissions.

If you are eligible to participate in PESP and you elect to make Before-Tax, Roth 401(k) and/or After-Tax Contributions to the Plan, your Eligible Earnings for any Plan Year cannot exceed the annual Internal Revenue Code compensation limit.

Your Eligible Earnings generally do *not* include:

- Any recognition and other awards;
- Any incentive or bonus payments, including recruiting bonuses;
- Any imputed income;
- Any allowances and reimbursement expenses, including, but not limited to:
  - Moving expenses;
  - Car allowances;
  - Travel and entertainment; and
  - Tuition payments and reimbursements;
- Any payments made after your employment with Prudential and its Affiliates ends, or made as a result of the fact that your employment ends;
- Any other variable or irregular compensation unless specifically included under relevant Plan rules; and
- Amounts paid to settle or comply with the holding in actual or threatened litigation except to the extent the amount is specifically designated as a payment in lieu of compensation that would have been Eligible Earnings if paid in due course.

If you are Retirement-Eligible under the Traditional Pension Formula or the Cash Balance Formula Components of The Prudential Merged Retirement Plan, your Eligible Earnings will include any payment you receive for remaining Paid Time Off (PTO) days and PTO allotments when your Employment ends.

For more information on which payments are included in and excluded from Eligible Earnings, call Empower at 1-800-PRU-PESP (1-800-778-7377).

Employee

Generally, any person who is categorized as an Employee on the books and records of the Company or any Affiliate will be considered an Employee for the purposes of this Plan.

The term Employee never includes any individual who is associated with the Company or any Affiliate as:

- A Prudential Advisors Financial Professional or Emeritus Financial Professional;
- Any individual classified by the Company as an independent contractor;
- A service provider compensated through an employee leasing company, temporary employment agency or other third-party agency;
- An individual who would be treated as an employee solely by reason of such individual being treated as either part of an affiliated service group or a leased employee under the Internal Revenue Code and regulations; or
- Any other individual who performs services for the Company or an Affiliate but is not treated as an Employee for Federal tax purposes at the time the individual renders services.

Refer to the Plan Documents for a complete listing of the classes of Employees and other individuals who are ineligible to participate in the Plan. See also the "**Who Is Not Eligible**" section.

Employee Stock Ownership Plan (ESOP)

An ESOP is a tax-qualified, defined contribution plan that is designed to invest primarily in the plan sponsor's stock. It enables eligible participants to have some of their retirement savings invested in the plan sponsor's stock in a tax-advantaged manner. It can provide an additional feature that permits the plan to make cash dividend payments available to participants. An ESOP may be a stand-alone plan, or it can be added to an existing defined contribution plan, similar to the way that the Company added an ESOP portion to the PFI Common Stock Fund within PESP.

ERISA

ERISA is the Employee Retirement Income Security Act of 1974, as amended, which is the Federal statute governing private pension and welfare plans.

Fiduciary

A Fiduciary is one who exercises discretion on behalf of an ERISA plan and its participants in the management or disposition of ERISA plan assets, other than a participant controlling investment of their own account, or ERISA plan administration and/or one who renders investment advice for a fee with respect to ERISA plan assets.

Highly Compensated Employee

A Highly Compensated Employee is a participant in the Plan with a certain level of income (indexed for inflation) as defined by the Internal Revenue Code. Such an individual may be limited in the amount they can contribute to PESP. You will be notified if your PESP participation will be affected due to your status as a Highly Compensated Employee.

Individual Retirement Account/Annuity (IRA)

IRA refers to a personal, tax-sheltered savings vehicle, generally used to save for retirement (other than a SIMPLE IRA or a Coverdell Education Savings Account). You should consult with a tax advisor to see how Federal tax laws affect the various forms of IRAs.

Inherited Individual Retirement Account (Inherited IRA)

An IRA that is established on behalf of the designated Beneficiary and that will be treated as an Inherited IRA under the Required Minimum Distribution rules (Code Section 402(c)(11)). An Inherited IRA cannot contain other contributions or rollovers and timing of distributions from the Inherited IRA must follow the Required Minimum Distribution rules for non-Spouse Beneficiaries.

Internal Revenue Code

The Internal Revenue Code of 1986, as amended, is the Federal statute governing taxes and certain benefits plans and programs.

International Employee

An International Employee means an Employee or retiree who is not or was not an Employee of a Participating Employer operating in the United States of America and is or was compensated for services rendered for an Affiliate in currency other than currency of the United States of America and paid from a payroll system other than that used by a Participating Employer to pay Employees in the United States of America.

Investment Oversight Committee (IOC)

The IOC is a group of Company executives responsible for monitoring PESP investment options and performance. IOC members are Plan Fiduciaries under ERISA. The IOC selects, and may add, change or eliminate, any of the PESP investment options other than the PFI Common Stock Fund, which is required by the Plan Documents. The IOC also designates default investment options to be used when no participant investment election has been received.

Lock-In

Lock-In means the event or process of establishing one's Lifetime Annual Withdrawal Amount under IncomeFlex. Refer to the "*IncomeFlex Important Considerations*" brochure available on the Empower website (at **www.empower.com/prudential**).

Money Source Groupings

Money Source Groupings are the groupings of a participant's accounts under PESP into one of five groups: Pre-Tax, Roth, After-Tax, Employer Contributions and Employer Contributions (closed). Money Source Groupings are used for making investment elections. See Appendix A for information on how each account under PESP is grouped within one of the Money Source Groupings.

Non-Participating Affiliate

As of January 1, 2024, Non-Participating Affiliates include:

- Jennison Associates;
- Investment Affiliates (as defined by the applicable Plan Document); and
- Foreign (non-United States) subsidiaries.

Other Company Contributions

Other Company Contributions are Qualified Matching Contributions, Qualified Non-Elective Contributions and/or Discretionary Company Contributions the Company may, in its sole discretion, make to PESP.

Other Company Contributions Accounts

Other Company Contributions Accounts refers collectively to the Qualified Matching Contributions Account, Qualified Non-Elective Contributions Account and Discretionary Company Contributions Account.

Participating Affiliate or Participating Employer

The Prudential Insurance Company of America and its Affiliated Companies that elect to participate in the benefits plan or program.

Period of Separation

A Period of Separation is generally the period between the date your employment by Prudential and its Affiliates ends and your reemployment date.

PFI

PFI is Prudential Financial, Inc.

PGIM Retirement Real Estate Fund Covered Persons

PGIM Retirement Real Estate Fund Covered Persons are subject to blackout restrictions and pre-clearance. (The PGIM Retirement Real Estate Fund blackout period does not coincide with the blackout period imposed upon Designated Persons for the PFI Common Stock Fund.)

Plan Administrator

Generally, the Plan Administrator is the entity that has overall responsibility for administration of a benefits plan or program, including interpreting the Plan Documents, establishing procedures, recordkeeping and filing all necessary reports regarding the benefits plan or program and publishing and distributing communication materials. The Plan Administrator is the Administrative Committee.

Plan Document(s)

The Plan Documents are the written documents describing all the benefits and limitations pertaining to a particular employee benefits plan or program.

Plan Sponsor

The Plan Sponsor is the employer establishing a benefits plan or program for its eligible participants and/or beneficiaries. The Prudential Insurance Company of America is the Plan Sponsor for the Plan.

Plan Trustee

The Plan Trustee is the person or entity that holds title to and administers certain of the assets of certain benefits plans or programs for the benefit of participants and beneficiaries. The Plan Trustee for each of the ERISA benefits plans and programs is listed in the "**Administrative Information**" section in the SPD booklets.

Plan Year

The Plan Year is the period used for all plan administration accounting and reporting. The Plan Year for each of the benefits plans or programs is the Calendar Year, beginning each January 1 and ending the following December 31.

Primary Beneficiary

Primary Beneficiary means an individual who is named as your Beneficiary under PESP and has an unconditional right to all or a portion of your account balance under PESP upon your death.

Prior Company Contributions Account

Prior Company Contributions Account means the separate account, maintained for a participant, which contains the value of the Company Matching Contributions made by Prudential under the Plan before January 1, 2001, and any related investment results.

Prior Roth In-Plan Rollover Account

Prior Roth In-Plan Rollover Account means the separate account, maintained for a participant, which contains the value of the Roth in-plan rollovers made by an Employee of Assurance IQ under the Assurance Savings Plan prior to August 1, 2023, and any related investment results.

Prudential

The term Prudential refers to The Prudential Insurance Company of America and its Participating Affiliates.

Prudential Advisors Financial Professional or Financial Professional

A Prudential Advisors Financial Professional is a full-time life insurance salesperson as defined under Internal Revenue Code Section 3121(d)(3)(B) and the regulations prescribed thereunder, including an associate under any of the following contracts: Senior Life Representative, Statutory Agent Agreement, Prudential Advisors Financial Professional Agreement or Career Special Agent.

Prudential Advisors Financial Professional Associate or Financial Professional Associate

A Prudential Advisors Financial Professional Associate is a common law Employee participating in a developmental program within Prudential Advisors.

Prudential Financial, Inc. (PFI) Common Stock

PFI Common Stock means the shares of common stock issued by Prudential Financial, Inc.

Qualified Default Investment Alternative (QDIA)

A QDIA is a single investment fund or model portfolio that is designed to meet retirement savings needs through long-term appreciation and capital preservation while minimizing the risk of large losses. The QDIA must provide a mix of equity and fixed income investments that vary based on the participant's age or expected retirement date. Generally, the QDIA cannot invest participant contributions directly into an employer stock fund and it must be managed by an investment manager (as defined under ERISA Section 3(38)) or an investment company registered under the Investment Company Act of 1940. The Advisor GoalMaker Models (GoalMaker) are designated as QDIAs under PESP. A participant who does not make an investment election will be placed in the appropriate Advisor GoalMaker Model based on their assumed target retirement year. See the "**Qualified Default Investment Alternative (QDIA)**" section for more detailed information.

Qualified Domestic Relations Order (QDRO)

A QDRO is a court order issued in connection with a state domestic relations law, which orders the Plan to pay Vested benefits to your Spouse, former Spouse, child or other dependent, and that meets certain requirements, as determined by the Plan Administrator. The Plan Administrator has delegated its authority to administer QDROs to TELUS Health.

Qualified Matching Contributions

Qualified Matching Contributions are contributions made by the Company and allocated to participants accounts per Treasury Regulation Section 1.401(k)-2(a)(6). These contributions are 100% vested and nonforfeitable when allocated, and may be distributed only to the extent of elective deferrals (including Before-Tax Contributions and Roth 401(k) Contributions). In general, Qualified Matching Contributions must be made to the Plan by the end of the 12-month period following the applicable Plan Year.

Qualified Matching Contributions Account

Qualified Matching Contributions Account means the separate account, maintained for a participant, that contains Qualified Matching Contributions made by the Company under the Plan, and any related investment results.

Qualified Non-Elective Contributions

Qualified Non-Elective Contributions are contributions made by the Company, other than Matching Contributions, and allocated to participants accounts per Treasury Regulation Section 1.401(k)-2(a)(6) or per Employee Plans Compliance Resolution System (Revenue Procedure 2021-30 or its successor. These contributions are 100% percent vested and nonforfeitable when allocated, and may be distributed only to the extent of elective deferrals (including Before-Tax Contributions and Roth 401(k) Contributions). In general, Qualified Non-Elective Contributions must be made to the Plan by the end of the 12-month period following the applicable Plan Year.

Qualified Non-Elective Contributions Account

Qualified Non-Elective Contributions Account means the separate account, maintained for a participant, that contains Qualified Non-Elective Contributions made by the Company under the Plan, and any related investment results.

Qualified Roth Distribution

The distribution of Roth 401(k) Contributions and related investment results that are not subject to Federal income taxes because the distribution is made on or after the date you reach age 59½, die or become disabled, and the distribution occurs at least five years after the year in which you make your first Roth 401(k) Contribution. For distributions that do not meet the requirements of a Qualified Roth Distribution, investment results on the Roth 401(k) Contributions will be taxed in the year distributed, unless rolled over.

Required Beginning Date

The Required Beginning Date is the date after you reach your required minimum distribution age, or later (if you are an Employee), when you must begin receiving at least minimum payments (called Required Minimum Distribution payments) from PESP, as required by the Internal Revenue Code. See the "**Distributions After You Reach Your Required Minimum Distribution Age**" section for more detailed information.

Retirement Plan

Retirement Plan refers to The Prudential Merged Retirement Plan, which is a defined benefit pension plan. It was first adopted in 1941, and has been amended over the years. The Retirement Plan consists of The Prudential Traditional Retirement Plan Document Component One (referred to as the Traditional Pension Formula), the Prudential Securities Incorporated Cash Balance Pension Plan Document Component Two (the PSI Plan), and the Prudential Cash Balance Pension Plan Document Component Three (referred to as the Cash Balance Formula).

Rollover or Rollover Contribution

A Rollover or Rollover Contribution is a transfer of money to PESP from an IRA or another Tax-Qualified Plan.

Rollover Accounts

Rollover Accounts are separate accounts, maintained for the participant, that contain the associated before-tax, after-tax or Roth 401(k) Rollover Contributions made by the participant under the Plan and any related investment results.

Roth 401(k) Account

The Roth 401(k) Contributions Account is a separate account, maintained for the participant, which contains the value of the Roth 401(k) Contributions made by the participant under the Plan and any related investment results.

Roth 401(k) Contributions

Roth 401(k) Contributions are deducted after Federal income taxes (and, in most cases, state and local income taxes) are paid. However, these contributions are subject to all of the same limitations under the Plan as Before-Tax Contributions. You will not pay these income taxes on any related investment results unless you receive a distribution from PESP that is not a Qualified Roth Distribution.

Roth In-Plan Conversion

A Roth In-Plan Conversion is a transaction in which you convert eligible non-Roth dollars in a qualified retirement plan, like PESP, to a Roth account within the Plan. Even though the converted money stays in the Plan, the converted amount is treated as a distribution and is taxable to you in the year of conversion.

Roth In-Plan Conversion Accounts

Roth In-Plan Conversion Accounts are separate accounts, maintained for the participant, which contain the value of each type of Roth In-Plan Conversion made by the participant under the Plan and any related investment results.

Section 16 Officers

Section 16 of the Securities Exchange Act of 1934 requires that transactions of Insiders (that is, directors, certain officers and 10% owners of the issuer) in equity securities of Prudential Financial, Inc. be reported to the Securities and Exchange Commission no later than two business days after the transaction has been executed, and allows for the recovery by Prudential Financial, Inc. of short swing profits by these Insiders (that is, any profit from any sale and purchase, or purchase and sale, of Prudential Financial, Inc. securities in less than a six-month period). A Section 16 Officer, for the purposes of the rule, is defined as President, Principal Financial Officer, Principal Accounting Officer or Controller, any Vice President in charge of a principal business unit, division or function and any other executive officer who performs similar policy-making functions.

Spouse

Spouse, whether capitalized or lowercase, means the person to whom a participant is legally married (whether the same or opposite sex) under the laws of any U.S. or foreign jurisdiction having the authority to sanction marriages. The term Spouse also includes an individual to whom a participant was previously married to the extent so required under the terms of a Qualified Domestic Relations Order.

Tax-Qualified Plan

A Tax-Qualified Plan is a plan that meets certain Internal Revenue Code requirements and is eligible for special tax advantages, including an Internal Revenue Code Section 401(a) plan, 401(k) plan, 403(a) plan, 403(b) plan and governmental 457(b) plan.

Vested

Being Vested means you have a non-forfeitable right to your PESP account balance under the Plan.

Vesting Service

Generally, your Vesting Service includes time worked and certain approved or authorized time away from work, including vacations, holidays, sick days and certain time away on a paid or unpaid leave of absence. You receive credit for Vesting Service beginning with your first day of Employment with the Company and its Affiliates and ending on the date your Employment with the Company and its Affiliates ends.

Appendix A

Each money source under PESP will be included in a Money Source Grouping and, for purposes of this SPD, may also be included in a term used to refer to a similar group of accounts collectively.

Money Sources by Money Source Grouping and Collective Term

Money Source Grouping	Money Source
After-Tax	• After-Tax Account • After-Tax Rollover Account
Pre-Tax	• Before-Tax Account • Qualified Non-Elective Contributions Account • Before-Tax Rollover Accounts (collective term): – 401 Rollover Account – 403(b) Rollover Account – 457 Rollover Account – IRA Rollover Account – Rollover Account (general)
Roth	• Roth 401(k) Account • Roth 401(k) Rollover Account • Roth In-Plan Conversion Accounts (collective term): – In-Plan Roth Conversion Account (conversions prior to March 1, 2024) – After-Tax Roth In-Plan Conversion Account – After-Tax Rollover Roth In-Plan Conversion Account – Before-Tax Roth In-Plan Conversion Account – Qualified Non-Elective Contributions Roth In-Plan Conversion Account – 401 Rollover Roth In-Plan Conversion Account – 403(b) Rollover Roth In-Plan Conversion Account – 457 Rollover Roth In-Plan Conversion Account – IRA Rollover Roth In-Plan Conversion Account – Rollover Roth In-Plan Conversion Account – Company Match 1 Roth In-Plan Conversion Account – Company Match 2 Roth In-Plan Conversion Account – Prior Company Contributions Roth In-Plan Conversion Account – Assurance Match Roth In-Plan Conversion Account – Prior Roth In-Plan Rollover Account (Assurance only) – Prior MullinTBG Employer Contributions Roth In-Plan Conversion Account – Discretionary Company Contributions Roth In-Plan Conversion Account – Qualified Matching Contributions Roth In-Plan Conversion Account

Money Source Grouping	Money Source
Employer Contributions	• Company Match 1 Account • Prior Company Contributions Account • Assurance Match Account • Prior MullinTBG Employer Contributions Account • Discretionary Company Contributions Account • Qualified Matching Contributions Account
Employer Contributions (closed)	• Company Match 2 Account

Appendix B

Assurance Transferred Amounts

If you were a participant of the Assurance Savings Plan on July 31, 2023, your account balances under the Assurance Savings Plan were transferred to PESP as of August 1, 2023. The funds previously held for you in your account(s) in the Assurance Savings Plan were credited to new account(s) established for you in PESP effective August 1, 2023, as follows:

- All before-tax deferrals and catch-up contributions, including related earnings, were allocated to your Before-Tax Account.
- All after-tax rollover contributions, including related earnings, and all after-tax contributions, including related earnings, were allocated to your After-Tax Account.
- All Roth deferrals, including related earnings, were allocated to your Roth 401(k) Account.
- All before-tax rollover contributions, including related earnings, were allocated to your Before-Tax Rollover Account and are accounted for separately.
- All Roth rollover contributions, including related earnings, were allocated to your Roth 401(k) Rollover Account.
- All in-plan rollovers, including related earnings, were allocated to your Prior Roth In-Plan Rollover Account (no further contributions will be allocated to this account).

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